



THE LABAT AFRICA

INTEGRATED ANNUAL REPORT

AUGUST 2021

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CHIEF EXECUTIVE'S REPORT AND REVIEW OF OPERATIONS



Results

The Board of Directors of Labat Africa (**"the Board"**) are pleased to announce that the fuel business has now been de-consolidated from the Group in the August 2020 financial year. There is no doubt that the complete transition into the Healthcare business with a strong Cannabis focus has put severe pressure on the resources of the Group. Labat Africa has now concluded its strategic intent of from seed to customer. Its dedicated focus ensures that the Company achieves only the best when it comes to technical ability, personnel experience and the in the field of Cannabis Genetics.

Labat has completed the transition to the Cannabis Healthcare sector. The Company does expect a further slowdown with the outbreak of the fourth wave of the COVID-19 pandemic, together with the slow pace of South African regulatory framework. Under the circumstances, the Board has decided to move out the forecast published last year, by at least a year.

The Board present the results for the year ended 31 August 2021. The Group incurred a Total Comprehensive (loss) of (R22.8m), compared to the prior year profit of R10.1 million.

The key indicators in the results for the year ended 31 August 2021 are as follows:-

Statement of Comprehensive Income

- Total Revenue for the year is R29.3 million. This represents a decline of 27.3% on the previous year's revenue of R40.3 million. The decline is mainly due to the impact of the COVID period which hampered growth in all of the Group's segments. The Medical Cannabis Industry experienced major delays in getting the off-take agreements in operations.
- Gross Margin has increased to 42.9% in the current year from 31.7% in the prior year. This was possible due to the successful implementation of the new operating model adopted during the year, despite lower turnover levels during the COVID period.
- Other Income of R21.1 million is as a result of the further provisioning (R18.0 million) of the VAT related amount receivable from SARS. A more detailed disclosure is provided in a separate (note 13) to this report. Also included in other income is the bargain purchase related to the acquisitions of Ace Genetics (R2.3 million) and BioData (R0.8 million).
- The EBITDA has turned around from a loss of (R12.2 million) in FY2020 to R2.2 million profit in the current year primarily due to the provision for the VAT related amount receivable from SARS.
- Taxation gain was mainly due to the deferred tax effect on timing differences arising on the intangibles and capitalisation of development costs.
- Loss per share from continuing operations for the year is (5.7) cents per share compared to the prior year (loss) per share from continuing operations of (16.4) cents. The headline (loss) per share from continuing operations improved to (6.5) cents from a loss of (15.8) cents per share from continuing operations in the prior year

Statement of Financial Position

- Property, plant and equipment increased by R117k during the year.
- The right of use assets recorded an increase of R1.1 million which was mainly because of the increase in value on the new lease agreements entered into.
- Intangible assets decreased by a nett R7.2 million which was mainly due to an amortisation of intangibles charge of R28.2 million charge to the statement of comprehensive income. Nett additions to intangibles during the year was R21 million.
- Deferred taxation assets decreased by a net R1 million notwithstanding the increased assessed tax losses at SAMES which were offset by the increased deferred tax provisioning on intangible assets at Labat Healthcare group of companies.
- Inventories increased because of increased inventory levels at Labat Healthcare for the CannAfrica, BioData and Ace Genetics businesses. The provision for obsolete stock for the year was R393k.

CHIEF EXECUTIVE'S REPORT AND REVIEW OF OPERATIONS (CONTINUED)

- Share Capital increased by R44.6 million as a result of the issue of shares for cash of R9 million, R20.6 million for business acquisitions and R15 million for the shares issued to Royale Energy. More details are presented in the Share Capital note below.
- Long Term Provisions decreased by R15 million as a result of the settlement of Royale Energy creditor in the Fuel business.
- Deferred taxation liability decreased by R2.3 million as result of the utilisation of the liability relating to the amortisation of the intangible assets.
- The increase in deferred revenue relates to the licence period of the CannAfrica franchise model.
- The increase in taxation is due to VAT receivable provided for. The group is still in a net tax receivable position and discussions are on-going with SARS to conclude on these matters. Further details are provided in note 13
- Net asset value per share at 31 August 2021 increased to 21.1 cents, compared to 19.6 cents at 31 August 2020.
- Net tangible assets per share at 31 August 2021 improved to a negative of (3.1) cents from a negative of (12.3) at 31 August 2020. This includes an amortisation charge of R28.2 million as a non-cash charge for the year.

During the year under review, Labat has been concentrating on growing its Healthcare business and has been able to complete various acquisitions which are expected to increase the value of the business over time. These acquisitions also resulted in an increase in the intangible assets acquired.

As of 31 August 2021, the Company assessed whether there were events or changes in circumstances that would indicate that a Cash Generating Unit ("CGU") or group of CGUs were impaired. The Company considers external and internal factors, including overall financial performance and relevant entity-specific factors, as part of this assessment.

As the cannabis operating segment comprises various CGUs, management tested the individual CGUs for impairment. The recoverable amount of all CGUs is determined based on the value in use ("VIU") method using level 2 and level 3 inputs that are ultimately determined to be market participant assumptions. The recoverable amount for all CGUs is valued using a discounted cash flow ("DCF") model, a variation of the income approach, and is corroborated with value indications from certain market approaches, specifically the publicly traded company method and the comparable transaction method.

SAMES

SAMES is nearing completion of the design of its new product range, which will be launched into the international market in the coming year. SAMES continued to operate profitably albeit at a lower level as a result of the worldwide micro-chip shortages and challenges. This shortage has had a negative impact on the roll out of the new devices and the group will have to assist SAMES with working capital in the next 12 months.

Labat Logistics

The Labat Logistics business is currently operating on the extended logistics contract with a major business entity. In the interim, it is envisaged that the Logistics division will also take over the Healthcare logistics function from the external service provider.

Labat Healthcare

The Healthcare group still requires funding with the roll out of the various initiatives. The roll out of the Healthcare business is now gaining momentum. It has been very difficult to operate in a very complex and changing legislative framework. We have renewed our off-take agreement with New Frontier Holdings (Pty) Ltd ("New Frontier") and have now positioned Labat Healthcare as an entity that will be able to fulfil its off-take contract commitments by sourcing product from cannabis and hemp farmers in South Africa.

Recently the Minister of Rural Development and Land Affairs announced that Hemp licenses would be issued from the 1 November 2021. At the moment there is not a single off-take processing facility in the country. Labat Healthcare has extended its relationship with both New Frontier, as well as discussions around the acquisition of a minority interest in a European based pharmaceuticals company. This will allow Labat Healthcare to source product from local farmers and supply product internationally.

Finally, the company has decided to accept the sellers' proposed cancellation of the transaction with Leaf Botanicals. The shares that have been issued for this transaction are being treated as treasury shares for the purpose of these results and are in the process of being cancelled.

CHIEF EXECUTIVE’S REPORT AND REVIEW OF OPERATIONS (CONTINUED)

Financial risk management and fair value

There has been no material change in the Group's financial risk management objectives and policies compared to those disclosed in the condensed consolidated financial results for the year ended 31 August 2020. The Group does not currently carry any assets or liabilities at fair value which required any disclosure on its fair value measurement, other than those disclosed above. The carrying value of the Group's financial instruments however approximates their fair values.

Business Combinations

As announced on SENS on 21 October 2020 and 9 December 2020 respectively, the company concluded the acquisition of 70% of BioData (Pty) Ltd (BioData), a research and development operation in Cannabis, and the acquisition of 100% of African Cannabis Enterprises Proprietary Limited (“Ace Genetics”), a seed bank business which has developed more than 50 strains of cannabis. The effective dates for these acquisitions are 1 September 2020 and 2 December 2020 respectively.

The acquisition of BioData greatly complements the Healthcare business as it is the only company in South Africa which has obtained Ethics Approval from SAHPRA for its clinical trials. The agreement concluded with ZCMA HOLDINGS and Medigrow to acquire an 80% interest in its Lesotho based operations as previously announced, has again been delayed as the vendors were not able to comply with the terms of the agreement mainly because of the continued lockdowns as a result of the Covid 19 pandemic. We have initiated discussions to amend the proposed agreement.

Labat remains in discussions with other cannabis and healthcare related businesses to further expand its Healthcare operations and offerings.

BioData

In December 2020 the Company announced the acquisition of 70% of the shares in BioData.

This business combination enhances Labat Healthcare's plans to realise its strategy of an end-to-end integrated Healthcare offering.

The investment in BioData is accounted for at fair value of the consideration payable. The business combination is disclosed below:

BioData is a revolutionary medical science and research organisation which was acquired by Labat and will be utilised to drive research and development of Labat Africa’s Cannabis products for the market. BioData has, and continues to conduct medical research and clinical trials involving various cannabinoids. BioData has an exclusivity agreement with a Canadian medicinal cannabis company to exclusively distribute THC and CBD medicines in South Africa. The products are currently being registered with SAHPRA. BioData is headed up by Dr Shiksha Gallow, a qualified medical doctor with a wealth of medical cannabis experience.

The following provides a summary of the results of Bio-Data for the financial year since acquisition as if the business was acquired at the beginning of the financial year.

Figures in R'000	Since Acquisition	
	1 September 2020	Full year results
Revenue	499	499
Profit / (Loss)	(10)	(10)

At the time of the half – year reporting for the period ending 28 February 2021 the valuation of the business acquisition was not yet completed. Additional work was required which was concluded at year end. As a result, the Labat identified the clinical trials as a key enabler in medical cannabis research and developed a detailed forecast model for this business.

The intangible assets were identified as additional assets at acquisition, a deferred tax liability was raised and the effect of the PPA allocation resulted in a bargain purchase amount of R770k.

CHIEF EXECUTIVE'S REPORT AND REVIEW OF OPERATIONS (CONTINUED)

Ace Genetics

In December 2020 the Company announced the acquisition of all the shares in African Cannabis Enterprises (Ace Genetics) resulting in, Ace Genetics becoming a wholly-owned subsidiary.

This business acquisition enhances Labat Healthcare's plans to realise its strategy of an end-to-end integrated Healthcare offering.

COVID-19 Impact and Social Unrest

The COVID-19 pandemic and lockdowns have had a severe impact on the businesses of Labat, especially our SAMES business and Labat Healthcare business. The impact on SAMES was due to the challenges around the supply of micro-chips, as mentioned earlier. The Labat Healthcare business was impacted through the delayed roll out of CannAfrica stores in particular.

The business was fortunately not impacted by the July 2021 social unrest.

The Board has carefully considered the current cash position and facilities available to the Group. Various options taking into consideration the impact of COVID-19, were discussed and assessed in terms of the Group's financial obligations. The Group pro-actively engaged with its financiers and suppliers and constructive proposals to mitigate the impact of the national lockdown were considered.

The Group is taking appropriate steps to assist with limiting the spread of the virus, including working from home, where possible. Labat has implemented stringent measures to combat the spread of the COVID-19 virus at all of its operations, in line with the government guidelines so as to ensure the well-being of our employees and stakeholders.

The Group has continued on its strategy of rolling out of its Labat Healthcare businesses in order to ensure a successful launch of the Labat Healthcare retail business during the year under review. The group was also represented at the recent Cannabis Expo, where its products sold out.

Going Concern

The Board has performed an assessment of the Group's operations relative to available cash resources and is confident that the Group is able to continue operating for the next 12 months. The Board remains reasonably confident that it will manage the uncertainties that exist as detailed below. The reviewed provisional condensed consolidated financial statements presented have therefore been prepared on a going concern basis.

The Group's total assets exceed its total liabilities by R101.3 million (2020: R75.9 million), has accumulated losses of R(121.1) million (2020: R(98.3) million), current assets exceed its current liabilities by R25.9. million (2020: R6.1 million) and the Group incurred a Total Comprehensive (Loss) after taxation of R(22.8) million (2020: Profit R10.1 million).

The directors have successfully raised additional funds during the year under review to support the turnaround and to fund its expansion program. This has yielded R21.2 million and has helped to finance the start-up operations of the healthcare business as well as providing much needed working capital for the group. The Company intends raising additional funds in 2022 to facilitate the growth of the Healthcare business.

The group has entered into an agreement with USA based funding group GR Global Investments whereby GR Global Investments has agreed to invest an amount of up to ZAR 300 million over the next three years in equity (the "Capital Commitment") in exchange for new ordinary shares in Labat. This Capital Commitment will be drawn down by Labat by way of capital calls which Labat has the right to exercise, the timing and price at its sole discretion. As part of the Capital Commitment agreement, the Purchaser is also entitled to receive warrants for up to 30 million new ordinary shares of Labat at an exercise price of 50 cents per ordinary share representing more than a 100% premium on the current Labat trading price.

The financial statements are prepared on the basis of accounting policies applicable to a going concern. This basis presumes that that the Group will continue to receive the support of its holding company and directors and that the realisation of assets and settlement of liabilities will occur in the ordinary course of business. The Group is projecting positive cash flows for the year ahead from its existing and new businesses.

CHIEF EXECUTIVE'S REPORT AND REVIEW OF OPERATIONS (CONTINUED)

Litigation

The Group has various claims and counter claims made by and against Labat which have risen in the normal course of business as previously disclosed. These matters are being dealt with by the company's attorneys. No material changes to litigation have occurred since the previous financial year, other than the SARS VAT claim as detailed below:

Outstanding SAMES VAT Claims

In 1999 SAMES ("the taxpayer") had an assessed tax loss. For some or other reason, unbeknown to the taxpayer, the South African Revenue Services (SARS), disallowed the assessed loss in the year 2000 and "created" a non-existing Income Tax liability. SARS then withheld all VAT credits owed to the taxpayer and allocated it to an unknown Income Tax (IT) "liability". No further credits, except some payments to the taxpayer of a million rand, was paid out to the taxpayer to date hereof. This had now been going on for more than 13 years.

The taxpayer appealed SARS' decision to disallow the assessed loss and on 13 September 2007 the Tax Appeal Committee decided to reinstate the assessed loss and a settlement agreement was entered into between the taxpayer and SARS on 12 November 2007. A new assessment was issued by SARS on 13 September 2008 to reflect the reinstated assessed loss. The only problem was that the VAT credits allocated to an unknown Income Tax liability was not refunded as mentioned above.

The group has made every effort to bring this matter to finality. SARS on the other hand has done everything in its power to stall rectification of unlawful allocations to a debt which does not exist notwithstanding High Court case law including a recent High Court judgement where SARS was denied the right to appeal. SARS persists in non-compliance in not applying its mind to the pursuits and pleas of the taxpayer.

The group has provided adequately against the claim to SARS and reported it in the Annual Financial statements for 2019 and 2020. Nothing further happened in relation to the claim firstly as a result of the ongoing investigations within SARS and then came covid. During this period the tax court ordered SARS to settle this matter. The Group submitted a written settlement offer to SARS, they did not respond and the offer is no longer available to SARS.

The Way Forward:

The directors have engaged new Counsel to aggressively pursue the claim against SARS.

The Group has decided that, given the extent of the claim as well as the advice from Counsel, that it has provided sufficiently against the claim to SARS, which has resulted in an increase in the estimated interest and other costs due to the Group of R18m, and that this increase was warranted and justified in the circumstances. Shareholders are advised that there is a chance that the full claim will be received and shareholders will be kept informed of developments in this regard.

Changes to the Board

Mr NS Mogapi resigned as a director with effect from 31 December 2020 and Mr M Stringer was appointed to the Board of Labat with effect from 14 April 2020 as an executive director. Mr M Stringer subsequently resigned on 2 September 2021.

There have been no other changes to the board of directors of Labat Africa for the year under review and to the date of issue of this announcement.

Subsidiary Board Appointments

Mr H Maasdorp has been appointed as a board member on all Labat Healthcare companies and also serves on the executive committee as Business Development executive for the group. Mr Stanton van Rooyen has been appointed as CEO of the Healthcare group.

Contingent Liabilities

Labat Africa Limited has issued financial guarantees with various fuel suppliers for the Fuel business, which has been disposed of subsequent to year end as part of a Business Rescue process, as follows:

CHIEF EXECUTIVE'S REPORT AND REVIEW OF OPERATIONS (CONTINUED)

	31 August 2021 R'000	31 August 2020 R'000
Parent Company Guarantee	54 000	69 000
Less: Liability recognised	(9 800)	(24 800)

- The company has provided a cross deed of suretyship in favour of various other beneficiaries which cover the unutilised facilities granted to various subsidiaries.
- The company has provided limited suretyship in favour of various financial institutions which covers the unutilised facilities granted to a subsidiary Institution.

Dividends

No dividend has been declared for the year under review (August 2020: R nil).

Post Balance Sheet events

- The Leaf Botanicals transaction was cancelled by the vendor, which cancellation has been accepted by the company subsequent to year-end.
- Labat has entered into discussions with a number of strategic funding partners with a view of funding operations and or subscribing for shares. As announced in December 2021, a R300 million equity draw down facility has been signed with GRV Global.
- Labat has received approval to list its shares as a secondary listing on the Frankfurt Stock Exchange. With a focus on pharmaceutical grade Medicinal Cannabis, Labat Africa is one of two cannabis businesses listed on the Johannesburg Stock Exchange offering South African and international investors exposure to high growth investments in Cannabis Healthcare. The shares were admitted to trading when the market opened on Monday 06 December 2021, without restriction. The application was for the dual listing of the equity (the "Listing") quoted under the ISIN ZAE000018354 on the open market segment "Quotation Board" of Frankfurt Stock Exchange ("FSE") with the LEI NO 9845000R73DF5EE41J88. Labat remains primary listed on the Johannesburg Stock Exchange under the Ticker Symbol "LAB", with the stock price in Frankfurt linked to the stock price in Johannesburg. Any issue of shares shall be placed as a private placement,
- The listing was handled and successfully conducted by Renell bank, a CRR credit institution within the meaning of Section 1 Paragraph 3d Sentence 1 KWG in conjunction with Article 4 Paragraph 1 No. 2 of Regulation (EU) 575/2013 of the European Parliament and of the Council of June 26, 2013.
- Labat has entered into an agreement to acquire 100% of Miami based business Echo Life Brands. Further details will be announced later.
- Labat is re-considering the transaction with Medigrow Lesotho due to a number of reasons including the political instability in the region.
- On Royale Energy, the Company also has an obligation to repurchase the 10 000 000 shares at R1.50 per share from Royale Energy, in respect of a Parent Company Guarantee, if the share price of Labat Africa does not reach R1.50. This share repurchases will require the approval of Labat Africa shareholders in a General Meeting, unless waived by the two parties.

Prospects

Subsequent to year-end, Labat has acquired the rights to the product range and operations in South Africa from Miami based Echo Life. We have implemented the Healthcare strategy to accelerate the roll out of all cannabis infused products with the Echo range which are in line with regulatory approvals. This range of products are already available in the South African Market at various major retail outlets. We have on-boarded the product range to our new e-commerce platform and will be rolling it out into the CannAfrica stores in 2022.

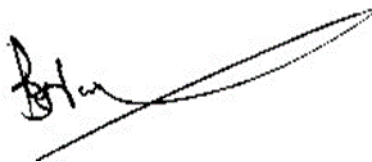
The operations of Ace & Axle and Ace Genetics have been combined, as it will provide a captive market for the Ace Genetics product range. The Ace & Axle license agreement has been concluded with Echo Life Products and two thousand sample packs were received and delivered to customers.

The growth of the group is still being adversely affected by the Covid-19 pandemic but a stable base has been established and good growth is expected in the years ahead as local and international market conditions improve.

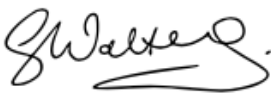
CHIEF EXECUTIVE’S REPORT AND REVIEW OF OPERATIONS (CONTINUED)

The Intangible assets related to the acquisitions of BioData Proprietary Limited (“BioData”) and Ace Genetics, were both finalised and concluded during the year ended 31 August 2021, and the intangible assets related to these acquisitions are included in the Intangible Assets shown in the Statement of Financial Position at 31 August 2021. The intangible assets are tested for impairment each year. The Board is of the view that the value of the medical cannabis business is grossly undervalued in South Africa. We have taken a conservative view for the time being on the value of the Intangible Assets as reflected in the Statement of Financial Position and is in line with current IFRS standards.

In THC, the oft-take agreement has also been further extended and will yield additional significant value in the foreseeable future. Current market studies being conducted indicates that the South African cannabis market is estimated at around R29 billion and growing. Labat has also initiated discussions with New Frontier Holdings Germany regarding their collaboration with our research project.



B G VAN ROOYEN
CHIEF EXECUTIVE OFFICER



G R I WALTERS
FINANCIAL DIRECTOR

Financial Highlights

Group summary	2021 August R'000	2020 August R'000
Key elements		
Continuing operations		
Revenue	29 270	40 251
Earnings/(loss) before interest, taxation, depreciation and amortisation(ebitda)	2 203	(12 173)
Headline (loss) / earnings	(25 846)	(41 800)
Total comprehensive (loss) / income	(22 770)	10 376
Share performance		
Continuing operations		
Headline earnings per share (cents)	(5.7)	3.1
Net asset value per share (cents)	21.1	19.6
Total number of shares in issue (000)	498 998	390 199
Market price (cents per share)		
- opening (1 September)	58	30
- high	59	75
- low	23	29
- closing – end of period	23	42
Closing market capitalisation (R'000)	104 170	165 984
Volume of shares traded (000)	171 916	97 921
Total value of transactions (R'000)	58 686	49 393
Employee information		
Total number of employees	27	27
Previously disadvantaged employees	19	19

ANALYSIS OF SHAREHOLDERS

ANALYSIS OF SHAREHOLDERS

Labat's shareholder spread as at 31 August 2021 is set out below:

Category	No. of Shareholders	No. of Shares	% Holding
Companies and Other Institutions	119	17 773 898	35.63%
Close Corporations	11	404 385	0.08%
Trusts	29	24 233 903	4.86%
Individuals	13 086	296 585 699	59.44%
Total	13 245	498 997 885	100.00%

Size of Shareholding	No. of Shareholders	No. of Shares	% Holding
1 - 10 000	12 063	12 549 502	2.51%
10 001 - 25 000	531	8 352 897	1.67%
25 001 - 100 000	402	21 365 783	4.28%
100 001 - 500 000	178	43 561 071	8.73%
500 001 and over	71	413 168 632	82.80%
Total	13 245	498 997 885	100.00%

Public vs. Non-Public	No. of Shares	% Holding
Shareholders holdings more than 10% of total issued capital	319 515 917	64.03%
<i>Link Private Equity and Investments (Pty) Ltd</i>	104 481 968	20.94%
<i>Stanton van Rooyen (as nominee)</i>	75 000 000	15.03%
Directors and Associates	-	-
Public	-	-
Total	498 997 885	100.00%

Shareholders holding more than 4% of the issued share capital

Shareholder	No. of Shares	% Holding
Link Private Equity and Investments (Pty) Ltd - <i>(including loan shares)</i>	104 481 968	20.94%
Stanton van Rooyen (as nominee)	75 000 000	15.03%
Mr Nassar Gutta	34 416 690	6.90%
J and M Equities	25 030 215	5.02%
Total	238 928 873	47.88%



INTEGRATED CORPORATE GOVERNANCE AND SUSTAINABILITY REPORT

CORPORATE GOVERNANCE AND SUSTAINABILITY REPORT FOR THE YEAR ENDED 31 AUGUST 2021

INTRODUCTION

The Directors are pleased to present the Group's sustainability report to stakeholders. Labat's sustainability efforts are a continuous process through which the group aims to move closer to the goals of sustainable development and to demonstrate its commitment to those goals. The board has appointed a champion at director level, the chief executive officer, to drive this process in conjunction with rolling out the acquisition strategy of the Group. As can be expected this is a major task and for this reason Labat has decided to adopt a staggered approach. The board strives to broaden and deepen the contents of this report over a period of time. This will be done in conjunction with the group's stakeholders to ensure meaningful, understandable and useful information is available on a timely basis, thus achieving true transparency and building a trusting relationship with all stakeholders.

REPORTING SCOPE

The activities of the operations in which Labat has management control are included in this report.

SUSTAINABLE DEVELOPMENT STRATEGY

The Company's sustainable development strategy is a matter of the board and is currently in the process of being formally implemented. Annual strategy sessions are held in addition to the four quarterly board meetings and are used as a platform by the board for the purpose of reviewing the Company's sustainable development.

The 2021 annual strategy session was not held during the year due to the lockdown of COVID-19 and will now be held in the first quarter of 2022. The strategy session will discuss the company's growth strategy at length, with a core focus on the cannabis sector in line with the company's business plan.

The board will evaluate Labat's sustainable development strategy over the next year at one of the scheduled quarterly board meetings.

CORPORATE GOVERNANCE

The Group subscribes to the values of good corporate governance at all levels and is committed to conducting business with discipline, integrity and social responsibility.

The Directors are committed to adhering to King IV principles, which will be constantly reviewed and implemented in a phased manner. The company's extent of compliance with King IV is disclosed in this integrated annual report. The Directors have always been committed to the implementation of the principles. Non-compliance is limited to the matters listed in this report.

INTERNAL AUDIT

The Group does not have an internal audit function. Currently the size and nature of the operations of the Group does not warrant an internal audit function. However, the board, in conjunction with the Audit and Risk Committee, continually assesses the need to establish an internal audit department as the Group's operations increase and, following the various acquisitions of companies within the Labat cannabis business model. It is expected that an internal audit function will be introduced during 2022 or 2023.

During the period under review, the board has taken responsibility to ensure that an effective governance, risk management and internal control environment has been maintained.

INTEGRATED CORPORATE GOVERNANCE AND SUSTAINABILITY REPORT

FINANCIAL STATEMENTS

In terms of the Companies Act, 71 of 2008 ("Companies Act"), the directors are responsible for the preparation, integrity and fair representation of the financial statements of Labat. The financial statements have been prepared in accordance with International Financial Reporting Standards ("IFRS"), the International Standards on Auditing, the JSE Listings Requirements and in the manner required by the Companies Act.

The group has implemented internal control systems designed to provide reasonable assurance as to the integrity and reliability of the financial statements and to adequately safeguard the accountability of its assets. Management has sound reporting facilities which are utilised within the group and has recently acquired CaseWare to enhance its reporting at both year end and internally. Monthly management reports are reviewed by management against budgets and past performance.

BOARD OF DIRECTORS

During the year under review there were three independent non-executive members of the board. Meetings of executive directors are held almost every Monday with regard to the running of day-to-day operations in addition to quarterly meetings of the full Board.

The composition of the Board at the date of approval of the Annual Report is set out below:

Executive

BG van Rooyen (Chief Executive Officer)
DJ O'Neill (Executive Director)
GRI Walters (Financial Director)

Independent Non-executive

RM Majiedt (Independent Non-Executive Chairperson)
R Mohamed (Independent Non-Executive Director)
BA Penny (Independent Non-Executive Director)

Mr Mogapi resigned as a non-executive with effect from 31 December 2020.

Mr Stringer resigned as an executive with effect from 2 September 2021

DIRECTORS' PROFILES

Brian George van Rooyen, (61)

NHD (Accounting) CFA

Brian is a practising member of the Institute of Certified Public Accountants in South Africa. He has more than 30 years of business experience and during this time he held various positions in Industry including directorships of SBDS, Italtile, Square One Solutions, SAFDICO, Leeuw Mining as well as a number of positions within the Labat Group of Companies. Brian is the Chief Executive Officer of Labat.

David John O'Neill, (74)

FCA (IRL) Chartered Accountant

David is a Chartered Accountant with nearly 50 years of commercial experience gained internationally in a variety of industries both in the financial field and in general management. Prior to joining Labat, David served as a Consulting Director for a large Management Consulting practice where he engaged in a variety of investigations and consulting assignments. David qualified as a Chartered Accountant in 1973, becoming a Fellow of the Institute of Chartered Accountants of Ireland in 1983. He subsequently embarked on a successful career in Finance, General Management and Consulting. This experience has enabled him to acquire comprehensive knowledge and practice of the financial marketing and broad general management skills. David is the former Financial Director of Labat and remains as an executive director at present.

Gorden Ronald Ivan Walters (52)

B Com (Accountancy), Hon B Compt.

Gorden is an accountant and obtained a B Com (Accountancy) at the University of Western Cape and an Honours B Compt. at the University of South Africa. Gorden has over 25 years of extensive experience with 15 years in the energy/power sector where he spent over nine years with a leading power utility company in Namibia as Group CFO for five years. He joined Trustco as executive Director in 2007 and was instrumental in the listing of Trustco on the JSE in 2009. In 2011 Gorden joined a newly established South African IPP where he headed up the M&A/project finance team, of which two large wind farms are fully operational. Gorden is the Financial Director of Labat.

Rowena Mandy Majiedt (59)

A qualified Mathematics teacher, Rowena obtained her High Diploma in Education from the then Bellville College of Education and is currently studying towards a B. Com degree through the University of South Africa.

Rowena is a member of Electus Training and Development CC (a Training and Skills Development Corporation), Deputy Chairperson of NCEDA (Northern Cape Economic Development Agency), and the owner of MacDougall Lodge (an accommodation establishment) situated in Kimberley.

BOARD OF DIRECTORS (CONTINUED)

Rowena is also a shareholder in Goldfields' South Deep Mine through a Women's' Empowerment group. From 2002 to 2009, Rowena was the only female director of Ekapa Mining, and was also the HR Manager, for 350 employees, at Ekapa Mining from 2003 to 2005.

Rowena is an Independent Non-Executive Director and is the Chairman of Labat.

Rustum Mohamed (58)

Advanced Dip Social Science

Rustum has had over 30 years business experience as a director, Marketer and Business Development manager for a variety of prestigious organisations, including, Investment South Africa, Wesgro and The Eastern Cape Development Corporation.

Rustum is an Independent Non-Executive Director and chairs the Audit and Risk Committee.

Beverley Anne Penny (63)

BA, B. Proc, LLB

Beverley is an admitted attorney and registered master tax practitioner. She obtained her BA Degree majoring in Law and Political Science at the University of Witwatersrand, B. Proc and LLB Degrees at UNISA as well a Higher Diploma in Tax Law at the University of Johannesburg. She brings wealth of legal and tax experience to the Board and Audit and Risk Committee.

Beverley is an Independent Non-Executive Director and chairs the Social and Ethics Committee.

ROLE OF DIRECTORS

All Board members ensure that appropriate governance procedures are adhered to and there is a clear division of responsibilities at Board level to ensure a balance of power and authority so that no one individual has unfettered powers of decision making.

The role of chairman and CEO are not held by the same director. The chairperson is an independent non-executive director.

Board and Audit and Risk Committee meetings have been taking place periodically and the Executive Directors manage the daily Group operations with the Executive Committee meetings taking place on a monthly basis.

The Board is responsible for effective control over the affairs of the Group, including: strategy and policy decision-making, financial control, risk management, communication with stakeholders, internal controls and the asset management process. Although there was no specific committee tasked with identifying, analysing and reporting on risk during the financial year, this nevertheless forms part of the everyday functions of the Directors and was managed at Board level.

Directors are entitled, in consultation with the Chairperson to seek independent professional advice about the affairs of the Group, at Labat's expense.

BOARD AND BOARD COMMITTEE MEETINGS

The Board retains overall accountability for the day-to-day management and strategic direction of the Group, as well as for attending to relevant legislative, regulatory and the best practice requirements. Accountability to stakeholders remains paramount in Board decisions, and this is balanced against the demands of the regulatory environment in which the Group operates.

BOARD OF DIRECTORS (CONTINUED)

The impact of the lockdown impacted on Board meetings during 2020. Three Board meetings were held during the twelve months under review as set out below:

Director	15/12/2020	31/12/2020	25/05/2021
RM Majiedt (Chairperson)	Present	Present	Present
DJ O'Neill	Present	Present	Present
BG van Rooyen	Present	Present	Present
R Mohamed	Present	Present	Present
BA Penny	Present	Present	Present
GRI Walters	Present	Present	Present
M Stringer (#)	Present	Present	Present
NS Mogapi (*)	Present	Present	-

(#) Resigned on 2 September 2021

(*) Resigned on 31 December 2020

Three Board meetings have been held subsequent to year end to the date of this report. To assist the Board in discharging its collective responsibility for corporate governance, a combined Audit and Risk Committee has been established, to which certain of the board responsibilities have been delegated.

Although the Board delegates certain functions to the audit and risk committee, it retains ultimate responsibility for Audit and Risk Committee activities.

AUDIT AND RISK COMMITTEE

The audit and risk committee meets at least twice a year to review its strategy. The audit and risk committee comprises the following members:

Mr Rustum Mohamed (Chairman);
Ms Rowena Majiedt; and
Ms Beverley Penny.

The audit and risk committee has set out its roles and responsibilities within its charter and ensured that it is aligned to good corporate governance principles.

These include:

- The establishment of an audit and risk committee to guide the audit approach, as well as its *modus operandi* and the rules that govern the audit relationship;
- Assess the processes relating to and the results emanating from the group's risk and control environment;
- Oversee the financial reporting process;
- Evaluate and co-ordinate the external audit process;
- Foster and improve communication and contact with relevant stakeholders of the group;
- Monitor the compliance of the group with regulatory requirements and the Group's Code of Ethics;
- Review the independence of the external Auditors; and
- Review of the experience and expertise of the Financial Director and the finance team.

The audit and risk committee further sets the principles for recommending the external auditors for non-audit services use.

The audit and risk committee has satisfied itself of the suitability of the Financial Director, and that the Financial Director holds the necessary expertise and has the relevant experience.

BOARD OF DIRECTORS (CONTINUED)

The audit and risk committee together with the board, further satisfied itself of the suitability of the company secretary, Light Consulting Proprietary Limited, and that the company secretary, including its directors and employees holds the necessary expertise, qualifications and has the relevant experience. The company secretary has an arm's length relationship with the board and is independent of the board.

Four audit and risk committee meetings were held during the twelve-month period under review as set out below:

Member	15/12/2020	31/12/2020	25/05/2021	28/06/2021
R Mohamed	Present	Present	Present	Present
RM Majiedt	Present	Present	Present	-
BA Penny	Present	Present	Present	Present
<u>By invitation</u>				
BG van Rooyen	Present	Present	Present	Present
DJ O'Neill	Present	Present	Present	-
GRI Walters	Present	Present	Present	Present
M Stringer (#)	Present	Present	Present	Present
NS Mogapi (*)	-	Present	-	-

(#) Resigned on 2 September 2021

(*) Resigned on 31 December 2020

Four audit and risk committee meetings were subsequent to year end and to the date of this report.

REMUNERATION COMMITTEE

The remuneration committee is empowered by the board to set short, medium and long-term remuneration for the executive directors. More generally, the committee is responsible for the assessment and approval of a board remuneration strategy for the Group. The committee's policy is to meet twice a year to review the strategy.

The remuneration committee comprises the following members:

Ms Rowena Majiedt (Chairperson);
Mr Rustum Mohamed; and
Ms Beverley Penny.

The remuneration committee held one formal meeting during the year under review. The board acknowledges that this is not in accordance with the committee's terms of reference which require the committee to meet at least twice a year, but regular meetings were interrupted in 2020 given COVID-19 and the lockdown restrictions. Given the size of the company, the committee was able to address its main objectives at this meeting.

One remuneration committee meeting was held during the twelve months under review as set out below:

Member	25/05/2021
R Mohamed (Chairman)	Present
RM Majiedt	Present
BA Penny	Present
<u>By invitation</u>	
BG van Rooyen	Present
DJ O'Neill	Present
GRI Walters	Present
M Stringer (#)	Present

(#) Resigned on 2 September 2021

A remuneration committee was held in September 2021.

BOARD OF DIRECTORS (CONTINUED)

In terms of King IV a remuneration report has been adopted and details of this report are on page 30 of this annual report.

SOCIAL AND ETHICS COMMITTEE

The Social and Ethics Committee comprises the following members, three of whom are non-executive:

Ms RM Majiedt (Chairperson);
Mr DJ O'Neill
Ms BA Penny; and
Mr R Mohamed.

One social and ethics Committee meeting was held during the twelve months under review as set out below:

Member	25/05/2021
RMM Majiedt (Chairperson)	Present
BA Penny	Present
R Mohamed	Present
DJ O'Neill	Present
<u>By invitation</u>	
BG van Rooyen	Present
GRI Walters	Present
M Stringer (#)	Present

(#) Resigned on 2 September 2021

A more detailed report is available on page 34 of this annual report.

NOMINATION COMMITTEE

The Group currently does not have a nomination committee. In terms of the Labat Terms of Reference, directors are appointed through a formal process and this is a matter of the board as a whole.

New directors appointed to the board during a year are appointed in accordance with the casual vacancy provisions of Labat's Memorandum of Incorporation, automatically retire at the next annual general meeting and their re-appointment is subject to the approval of shareholders at such annual general meeting.

On appointment, new directors receive an induction pack, consisting of, *inter alia*, the Memorandum of Incorporation of the company, Section 3 of the JSE Listings Requirements relating to continuing obligations of listed companies, minutes of board and other committee meetings for the prior 12 months, resolutions passed during the prior 12 months, all announcements published on SENS in the prior 12 months, an explanation of and copies of directors' declarations of interest and copies of the sponsors' seeds of information which detail, *inter alia*, any subsequent changes to the JSE Listings Requirements as well as important CIPC notices.

With the exception of the executive directors, one third of the directors retire by rotation each year and each retiring director is eligible for re-election by shareholders in accordance with the Memorandum of Incorporation. Directors are required to retire from the Board at age 70. However, the board can decide that a director continues in office beyond this age. Due to his depth of knowledge of the group, Mr DJ O'Neil continues as an executive director on a part time basis.

Due to the size and nature of the business, it is not anticipated that a nomination committee will be established and board appointments will continue to be addressed by the board as a whole. However, the Board is conscious of the fact that such a committee might be required in due course.

BOARD OF DIRECTORS (CONTINUED)

GOVERNANCE OF INFORMATION TECHNOLOGY (“IT”)

The board is responsible for IT governance as an integral part of the group's governance as a whole. The IT function is not expected to significantly change in the short term but this will be reconsidered in line with the growth of the cannabis side of the business and subsequent acquisitions as detailed on SENS.

The board intends compiling the required policies and procedures to ensure governance of IT is adhered to in future periods.

INTEGRATED AND SUSTAINABILITY REPORTING

The King IV Code sets out the philosophy, principles, practices and outcomes which serve as the benchmark for corporate governance in South Africa.

The 17 basic principles are detailed under separate cover on page 22 of this annual report and is also available on the company's website, www.labat.co.za

PROMOTION OF DIVERSITY

In terms of paragraph 3.84(k) of the JSE Listing Requirements, the board is required to have a policy on the promotion of diversity at board level.

The board recognizes the need for gender and race diversification and has embraced race diversification from date of listing. The JSE has also introduced extended guidance for diversity, including age, culture and other aspects.

Currently four of Labat's six directors are black or coloured and two are female. A diversity policy has been adopted that embraces gender, race, disabled, age, culture, experience and other diversification. A simple policy has been agreed that for future board appointments, female or black or disabled candidates will be preferred where qualifications and/or experience are equal. Labat will similarly embrace further diversity when considering new appointments, with a particular focus on age and diversification of experience and knowledge.

During the financial year under review Rowena Majiedt and Beverley Penny continued as female directors on the board.

CODE OF ETHICS

All employees of the group are required to maintain the highest standards in ensuring that business practices are conducted in a manner, which, in all reasonable circumstances, are above reproach. The values have been embodied in a written code of ethics which commits directors and employees to the highest standards of ethical behaviour. The code of ethics was updated during the 2018 and adopted by the committee and approved by the board. The code of ethics will again be reviewed during the first quarter of the current financial year to incorporate the new cannabis businesses.

COMMUNICATION WITH STAKEHOLDERS

The Group is committed to ongoing and effective communication with its stakeholders.

DEALINGS IN SECURITIES

In respect to dealings in securities of Labat, as applied to the directors, prescribed officers and the company secretary, the chairperson or the Chief Executive Officer is required to authorise such dealings in securities, prior to deals being executed. An independent non-executive director or the Chief Executive Officer is required to authorise the chairperson's dealings in securities. All the directors and the Company Secretary are aware of the legislation regulating insider trading. A record of dealings by Directors and the Company Secretary is retained by the Company Secretary.

In accordance with the JSE Listings Requirements, the Directors, prescribed officers and company secretary are prohibited from dealing in securities during closed and prohibited periods.

There were no dealings by Directors or the company secretary during the period under review. The Company does not have any prescribed officers that are not directors.

BOARD OF DIRECTORS (CONTINUED)

CLOSED AND PROHIBITED PERIODS

A closed period is implemented by the Board from the date of the end of the reporting period until the Group's results are released on SENS. Additional closed or prohibited periods are enforced as required in terms of any corporate activity or when Directors are in possession of price sensitive information. All the Directors are aware of the legislation regulating insider trading.

TRANSFER OFFICE

Computershare Investor Services Proprietary Limited acts as Transfer Secretary to the Group.

EMPLOYMENT EQUITY REPORT

FOR THE YEAR ENDED 31 AUGUST 2021

Labat upholds and supports the objectives of the Employment Equity Act 1998 (Act 53 of 1998). Labat's employment policies are designed to provide equal opportunities, without discrimination, to all employees.

Total number of employees (including employees with disabilities) in each of the following occupational levels at 31 August 2021:

Note:

A=Africans

C=Coloureds

I=Indians

W=Whites

Occupational Levels	Male				Female				Foreign Nationals		Total
	A	C	I	W	A	C	I	W	Male	Female	
Top management		5		1		1		1			8
Senior management		4	1	2			1				7
Professionally qualified and experienced specialists and mid-management	1	1		1		1		2			6
Skilled technical and academically qualified workers, junior management, supervisors, foremen, and superintendents	1	1		1							3
Semi-skilled and discretionary decision making	1										1
Unskilled and defined decision making											
TOTAL PERMANENT	3	11	1	5	0	2	1	3	0	0	26
Temporary employees											0
GRAND TOTAL	3	11	1	5	0	2	1	3	0	0	26

Total number of employees for people with disabilities ONLY in each of the following occupational levels.

Note:

A=Africans

C=Coloureds

I=Indians

W=Whites

Occupational Levels	Male				Female				Foreign Nationals		Total
	A	C	I	W	A	C	I	W	Male	Female	
Permanent employees			1								1
GRAND TOTAL			1								1

APPLICATION OF KING IV PRINCIPLES

FOR THE YEAR ENDED 31 AUGUST 2020

Labat Africa Limited (“Labat” or “the Company” or “the Group”) endorses the governance outcomes, principles and recommended practices contained in the King Report on Corporate Governance 2016 (“King IV” or “King Code”), which was published on 1 November 2016 and came into effect for companies listed on the JSE Limited (“JSE”) on 1 October 2017.

The board of directors, which constitutes the governing body of the Company (“board”), satisfied itself that Labat has substantially applied the applicable principles set out in King IV, together with the mandatory corporate governance requirements set out in 3.84 of the Listings Requirements of the JSE, for the year ended 31 August 2021.

King IV advocates an outcomes-based approach towards the achievement of four governance outcomes. A summary of the King IV principles implemented by the company in meeting those outcomes is set out below. While recommended practices were applied where and to the extent applicable to the business, further enhancements will be made over time in line with the Company’s aspirations to continuously improve its corporate governance practices.

This document should be read in conjunction with the 2021 Integrated Report (as cross-referenced below), which is available on the Company’s website at www.labat.co.za.

Governance outcome: Ethical culture	
PART 1: Leadership, ethics and corporate citizenship	
Principle 1	Leadership
The Board should lead ethically and effectively	The Board is committed to the highest standards of corporate governance. The responsibilities of the Board include providing effective leadership based on an ethical foundation. To this end, the Board is in the process of adopting an updated Code of Ethics in order to incorporate the cannabis business, which will be designed to ensure the effective management of ethics and will be applicable to all directors, employees, contractors and other representatives of the Group. The Board and its committees will monitor compliance with the Code of Ethics. Directors have a legal obligation to prevent conflicts of interest with the Company and are obliged to disclose any potential conflicts prior to any consideration or discussion by the Board of such items and are required to recuse themselves from any meetings while such discussions are in progress. Disclosures of other directorships are tabled at the start of each Board meeting and this is a standard agenda item. Practices implemented with regards to the appointment of new directors are included under Principle 7 below. Due to the relatively small size of the company and the board, assessments have not been done. However, it is intended that a performance and effectiveness assessment of the Board, the Audit and Risk Committee, and the Social and Ethics Committee will be performed at least every two years for the Board and the committees, and the results of these assessments will be communicated to the Board and its committees.

Principle 2	Organisational ethics
The Board should govern the ethics of the organisation in a way that supports the establishment of an ethical culture	In accordance with the Board Charter, the Board is the guardian of the values and ethics of the Group and sets the tone for an ethical organisational culture across the Group. The Board has a fiduciary duty to act in good faith, with due care and diligence and in the best interests of the Group and its stakeholders and is therefore the primary body responsible for the corporate governance values of the Group. While control is delegated to management in the day-to-day management of the Group, the Board retains full and effective control over the Group. The revised Code of Ethics, to be adopted by the Board, commits the Group and its employees to the highest ethical standards of conduct and amongst others regulates aspects of confidentiality, non-discrimination, the acceptance of gifts and bribes and political contributions. Procedures exist in terms of which unethical business practices can be brought to the attention of the Board. The Board has adopted a zero-tolerance approach to fraud and the appropriate remedial action is taken should any substance be found to the matter reported.
Principle 3	Responsible corporate citizenship
The Board should ensure that the organisation is and is seen to be a responsible corporate citizen	The Social and Ethics Committee, which reports to the Board and shareholders, reflects and effects the Company's commitment to responsible corporate citizenship. Labat subscribes to the provisions of the Promotion of Equality and Prevention of Unfair Discrimination Act. The Group's good corporate citizenship is further evidenced by its promotion of the reduction of corruption, as well as its contribution to the development of the communities in which its activities are predominantly conducted or within which its products or services are predominantly marketed. The Company will maintain a record of sponsorship, donations and charitable giving, where applicable. Shareholders are referred to the Social and Ethics Committee Report, which is included in the Company's 2021 Integrated Report, for further disclosures in this regard. During the period under review there were no material fines or penalties incurred which needed to be brought to the attention of stakeholders.
Governance outcome: Good performance	
PART 2: Strategy, performance and reporting	
Principle 4	Strategy and performance
The Board should appreciate that the organisation's core purpose, its risks and opportunities, strategy, business model, performance and sustainable development are all inseparable elements of the value creation process	The Board, as a whole and through its committees, approves and monitors the implementation of the strategy and business plan of the Company. With the recent diversification and growth of the business, the board is in the process of setting objectives, establishing and reviewing key risks and opportunities that could threaten or enhance the Group's ability to provide sustainable long-term growth to stakeholders, and will in due course evaluate performance against the background of economic, environmental and social issues relevant to the Company and macro-economic conditions. The sustainability of the Group's businesses is a key consideration in the development and implementation of the Group's business model, supported by formal policies governing environmental, corporate social investment, ethical and remuneration matters, all of which form key components of the value-creation process and are effective in ensuring the long-term sustainability of the Group.

	Certain risk disclosures, are reported in the Annual Financial Statements. Other key risks, together with the steps to mitigate the same, are published on the Company's website and are updated annually. The Board discusses the top risks faced by the Company and confirms its satisfaction with the management of the risk management processes but this requires more work. The Audit and Risk Committee actively monitors the Group's key risks as part of its standard agenda. However, this has become a key focus area with the growth in the business and recent acquisitions of the cannabis business. A "live" risk management system is in the process of being developed in order to avoid static reports, involving various levels of management in the identification and management of risks, which will also be considered at a strategy session to be held in Q1 of 2022. Shareholders are referred to the Corporate Governance and Sustainability Report, which is included in the Company's 2021 Integrated Report, for further disclosures in this regard.
Principle 5	Reporting
The Board should ensure that reports issued by the organisation enable stakeholders to make informed assessments of the organisation's performance and its short, medium and long-term prospects	The Board is responsible for the integrity and transparency of the Company's reporting and, assisted by the Audit and Risk Committee and the external auditors, oversees the issue of the Company's annual financial statements and integrated reports. The Social and Ethics Committee oversees the sustainability reporting process, which is currently not independently assured by a sustainability assurer. Independent assurance will be considered in the future as soon as the Company's size warrants such an initiative. The Company also ensures that these reports and other information are published on its website. The Board is committed to a communication policy to ensure that timely, relevant, accurate and honest information is provided to all stakeholders to enable them to make informed assessments of the Company's performance and its short, medium and long-term prospects. The Company adheres to the requirements in terms of the JSE Listings Requirements and Financial Markets Act and has recently updated its policies governing the dissemination of price-sensitive information and insider trading. The publication of external reports and press releases, including releases on the JSE's electronic news service (SENS), requires the prior approval of the Company's Chief Executive Officer, or as may be otherwise instructed.
Governance outcome: Effective control	
PART 3: Governing structures and delegation	
Principle 6	Primary role and responsibilities of the Board
The Board should serve as the focal point and custodian of corporate governance in the organisation	The Board ensures that the Company applies the governance principles contained in King IV and continues to further entrench and strengthen recommended practices through the Group's governance structures, systems, processes and procedures. The Board's governance role and responsibilities are set out in the Board Charter and includes the focal role of setting the strategic direction of the Group. The Board aims to meet once every quarter; however, should an important matter arise between scheduled meetings, additional meetings may be convened. The Board may obtain independent, external professional advice at the Company's expense concerning matters within the scope of their duties and the directors may request documentation from and set up meetings with management as and when required.

	An appropriate governance framework and the necessary policies and processes are in place to ensure entities in the Group adhere to Group requirements and minimum governance standards. While it may delegate to its committees and management where appropriate, the Board remains ultimately accountable for corporate governance in the Group and for the appropriate and transparent reporting of corporate governance.
Principle 7	Composition of the Board
The Board should comprise the appropriate balance of knowledge, skills, experience, diversity and independence for it to discharge its governance role and responsibilities objectively and effectively	At the date of issue of this Annual Report, the Board comprises of three executive directors and three independent non-executive directors. One of the executive directors will be retiring during 2022 and will become a non-executive director in due course, albeit not independent. All members of the Board have the requisite skills and knowledge from diverse industry backgrounds. The <i>curricula vitae</i> of the independent non-executive directors are included in the Integrated Report. The Board is chaired by an independent non-executive director (“Chairman”) and the roles of the Chairman and the Chief Executive Officer are separate and clearly defined to ensure a balance of power and effective discharge of duties. The independence of the non-executive directors is reviewed on an annual basis by the Board against the criteria stipulated by the Listings Requirements of the JSE and King IV. The arrangements for the periodic, staggered rotation of Board members are included in the Company’s Memorandum of Incorporation and are duly applied. To ensure a formal and transparent appointment process, any new appointment of a director is considered by the Board as a whole. The selection process involves considering the existing balance of knowledge, skills and experience on the Board and a continual process of assessing the needs of the Company and the Board’s effectiveness and ability for it to discharge its governance role and responsibilities objectively and effectively. Directors are appointed in terms of the Company’s Memorandum of Incorporation. New directors appointed to the Board are provided with an induction pack, including background material on the Company’s business and Board matters, guidance on directors’ duties and responsibilities, and meetings with senior executives. Directors receive regular briefings on legal and other developments, including changes in the business and the business environment. The Board has adopted a policy on the promotion of gender, race, disability, culture, age and other diversity and inclusion at Board level, and reports in the Integrated Report on how it has made progress towards the targets established in the policy. The Board is mindful and supportive of the need for, and importance of, gender, race and disability diversity in particular. No new Board appointments were made during the past year. A formal self-evaluation on the composition of the Board and the appropriate mix of knowledge, skills, experience, diversity and independence has not been undertaken but this will be considered during the coming financial year.

Principle 8	Committees of the Board
The Board should ensure that its arrangements for delegation within its own structures promote independent judgement, and assist with balance of power and the effective discharge of its duties	Details regarding the Board's delegation of authority framework are included under Principle 10 below. The Board has delegated certain functions, without abdicating its own responsibilities, to the following committees ("Committees"), all of which has been established pursuant to written Terms of Reference: 1. Audit and Risk Committee 2. Social and Ethics Committee 3. Remuneration Committee. The Company does not have a Nominations Committee and nominations are handled by the Board as a whole. The Committees are appropriately constituted and members are appointed by the Board, with the exception of the Audit and Risk Committee whose members are nominated by the Board and elected by shareholders of the Company. Meetings of the Committees are formally minuted. The Committees assist the Board to effectively discharge its duties. The composition and mandates of the Committees, as detailed in the Corporate Governance Report (which is included in the Company's 2021 Integrated Report), ensure that there is an appropriate balance of power and that an independent perspective is brought to Board deliberations and that no single director has unfettered powers.
Principle 9	Evaluations of the performance of the Board
The Board should ensure that the evaluation of its own performance and that of its committees, its chair and its individual members, support continued improvement in its performance and effectiveness	The performance and effectiveness of the Board as a whole will be evaluated every two years going forward, and the effectiveness of the Audit and Risk Committee and the Social and Ethics Committee is evaluated every second year by the directors. The Chairman of the Board, assisted by the Company Secretary, will lead the Board's evaluation process. Items identified for improvement will be discussed and followed up to ensure the implementation of recommended actions and the continued improvement in performance and effectiveness. An assessment of the suitability and effectiveness of the Chief Financial Officer is conducted annually by the Audit and Risk Committee and is confirmed in the Audit and Risk Committee's report in the annual financial statements. The appointment of the Chairman will be reviewed by the Board every two years, in conjunction with the board evaluation process.
Principle 10	Appointment and delegation to management
The Board should ensure that the appointment of, and delegation to, management contribute to role clarity and the effective exercise of authority and responsibilities	While retaining overall accountability and subject to matters reserved to itself, the Board has delegated authority to the Chief Executive Officer and the Financial Director to run the day-to-day affairs of the Company, subject to a delegation of authority framework which contributes to the effective exercise of responsibilities. The Board reviews the delegation of authority framework when appropriate, due to the changes in the nature of the Group's business. The Chief Executive Officer is accountable to the Board for the successful implementation of its strategy and the overall management and performance of the Group. The role and responsibilities of the Chief Executive Officer, who was appointed by the Board, are set out in the Board Charter.

	The Board has satisfied itself that key management functions are fulfilled by competent and appropriately authorised individuals and are adequately resourced. Currently succession planning is not in place for the Chief Executive Officer, although succession planning is discussed at the quarterly board meetings and the Group is looking at internal candidates to grow into senior roles. The Board appointed a new Financial Director during the year ended 31 August 2020, which partly addressed this specific risk relating to succession planning for the Financial Director position. With the recent settling down of the group structure, succession planning and reorganisation of roles and reporting is now being addressed and will be considered further during the forthcoming year. The Company has appointed Light Consulting Proprietary Limited as Company Secretary, which reports to the Board on all statutory, regulatory and governance matters concerning the Group. The performance and independence of the Company Secretary is evaluated by the Board annually and the Board has satisfied itself as to the appropriateness of this appointment and as to the arms-length nature of this appointment.
PART 4: Governance functional areas	
Principle 11	Risk governance
The Board should govern risk in a way that supports the organisation in setting and achieving its strategic objectives	In terms of the Board Charter, the Board is responsible for the governance of risk and the Audit and Risk Committee assists the Board with this responsibility. The Audit and Risk Committee sets the approach for risk governance in a manner that ensures adequate evaluation of opportunity and risk and supports the Company in setting and achieving its strategic objectives. During the year under review, executive management worked on finalising and implementing a new risk matrix which categorised the estimated impact and likelihood of the risks identified in each different segment and serves to advise the Board of the controls established/remedial action taking place at subsidiary level to mitigate the risks identified. The key risks to the Group as identified by the executive management, can be viewed on the Company's website, www.labat.co.za.
Principle 12	Technology and information governance
The Board should govern technology and information in a way that supports the organisation setting and achieving its strategic objectives	The Board recognises the importance of technology and information in relation to the Group's strategy. However, this has not been a focus of the group and the Board has yet to adopt an IT Policy Framework, which will delegate implementation to management, including the information technology strategy, structure and procedures, ensuring alignment with the performance and sustainability of the Company, bearing in mind its status as an SME. With the recent growth in the Company, this will be re-evaluated during the course of 2021 to ensure that this remains appropriate and fit for purpose. In terms of the Board Charter and the Audit and Risk Committee Terms of Reference, the Board, together with the Audit and Risk Committee, will oversee the governance of information technology.
Principle 13	Compliance governance
The Board should govern compliance with applicable laws and adopted, non-binding rules, codes and standards in a way that supports the organisation	The Board delegates its responsibility for the implementation and execution of effective compliance management to management; however, the Board retains overall accountability for compliance with applicable laws, adopted non-binding rules, codes and standards.

being ethical and a good corporate citizen	The Audit and Risk Committee, together with the Social and Ethics Committee and the Company Secretary review the adequacy and effectiveness of the Group's procedures to ensure compliance with legal and regulatory responsibilities. Any material incidences of non-compliance and/or significant fines or penalties incurred are reported to the Board and/or the Audit and Risk Committee to ensure that appropriate remedial action is taken. The Board is apprised of relevant new legislation or regulations introduced from time to time to ensure that compliance requirements are kept up to date. Details of any material regulatory penalties, sanctions or fines for non-compliance with the Group's statutory obligations incurred will be disclosed in the Integrated Report. During the year under review, there were no material findings of non-compliance with applicable legislation or regulations. The Board is satisfied that the Company complies with the provisions of the Companies Act, 2008 and that it is operating in conformity with its memorandum of incorporation.
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Principle 14	Remuneration governance
The Board should ensure that the organisation remunerates fairly, responsibly and transparently so as to promote the achievement of strategic objectives and positive outcomes in the short, medium and long term	The Board oversees the governance of remuneration but does not set the direction for remuneration across the Group, which is currently set by the Chief Executive Officer and Financial Director. The Board is in the process of setting KPI's for the executive directors, with a focus on the sustainability and performance of the Group and the first steps in this regard were taken in 2019. This process was interrupted due to the events of 2020 and 2021 related to the lockdown and impact of COVID-19, and particularly the impact of the Business Rescue. The Company's remuneration policy, as approved by the Board, is tabled for a non-binding advisory vote at each Annual General Meeting of shareholders. Non-executive directors' fees are submitted annually to shareholders for approval at the Annual General Meeting. The remuneration policy ensures that the Company remunerates fairly, responsibly and transparently in the context of overall remuneration in the Group to enable the Company to achieve its strategic objectives and to secure positive outcomes in the short, medium and long term. A summary of the provisions of the remuneration policy is included in the Integrated Report.
Principle 15	Assurance
The Board should ensure that assurance services and functions enable an effective control environment, and that these support the integrity of information for internal decision-making and of the organisation's external reports	The Company is committed to appointing service providers to provide independent assurance on both the financial and non-financial aspects of the business based upon their specific expertise and experience. The Board sets the direction for assurance services and functions but the responsibility for overseeing such arrangements is delegated to the Audit and Risk Committee, which is charged with supporting the integrity of information for internal decision-making use and for external reports. A combined assurance model has been developed and formally implemented across the Group to effectively cover the Group's significant risks and material matters. The model includes but is not be limited to the Group's risk management and compliance functions, the external auditors and regulatory inspectors, together with such other external assurance providers as may be appropriate or deemed necessary from time to time, including the Company Secretary, which provides assurance on aspects of corporate governance and a JSE Sponsor which advises on the Listings Requirements of the JSE. The Audit and Risk Committee has satisfied itself as to the independence of the external auditor. With regards to an internal audit function, the nature and size of the Company does not warrant such a function at this stage but will be reconsidered during 2022 or 2023, as the group grows. The Audit and Risk Committee will continue to be guided by management regarding the requirement for the same, which would be reviewed from time to time.

Governance outcome: Legitimacy	
PART 5: Stakeholder relationships	
Principle 16	Stakeholders
In the execution of its governance role and responsibilities, the Board should adopt a stakeholder-inclusive approach that balances the needs, interests and expectations of material stakeholders in the best interests of the organisation over time	The Board as a whole, acts as a steward of the Company and each director acts with independence of mind in the best interests of the Company and its stakeholders. In its deliberations, decisions and actions, the Board is sensitive to the legitimate interests and expectations of the Company's stakeholders. Directors are mindful of their fiduciary duties and their duty to act in accordance with applicable legislation. Records of directors' financial interests are kept and updated on an on-going basis. The Company engages its stakeholders on multiple levels and this allows the Company to manage issues effectively and timeously. The appropriate balance between the Company's various stakeholder groupings and the best interests of the Company is assessed on a continuous basis. The Company acts in accordance with the requirements of the Companies Act and the JSE Listings Requirements regarding the equitable treatment of shareholders. Stakeholders are kept apprised of the Company's performance by publication of the Integrated Report, the interim and year-end results announcements and, where required, trading updates. Management is responsible for maintaining stakeholder relationships.
Principle 17	Responsibilities of institutional investors
The Board of an institutional investor organisation should ensure that responsible investment is practiced by the Company to promote the good governance and the creation of value by the companies which it serves	Not applicable as the Company is not an institutional investor organisation.

REMUNERATION REPORT

BACKGROUND STATEMENT

The board has considered the implications and the impact of the King IV Code on Corporate Governance (King IV) on the remuneration policy as well as the JSE Listing Requirements and present this report in two parts. The chairman's and CEO's reports provide context to the decisions and considerations taken during the reporting year which influenced the remuneration outcomes and will influence the remuneration going forward.

The board ensures that the company and the major subsidiary companies comply with the necessary principles as set out in King IV and relevant sections of the Companies Act, 2008 (No. 71 of 2008) ("the Act") when determining the remuneration of the senior executives and non-executive directors.

Since the presentation of the summary of the last remuneration policy to shareholders no major changes were made. The establishing of the key performance indicators (KPIs) which process commenced during 2018, was interrupted by both corporate actions and then COVID-19 and the subsequent lockdowns. The process will recommence in 2022, with the group structure having recently settled. The KPI's will be used for the measurement and determination of short- and long-term incentive awards in order to align these with the changing goals and strategies of the Company.

PART I – REMUNERATION POLICY

Remuneration Policy Summary:

The key principles of the Remuneration Policy are:

Objective

Under the overriding guidance of the Remuneration Committee, ensure the integrity, transparency and legitimacy of remuneration within the Group including, the development and implementation of related policies, programmes, practices and decisions.

Key Policy

1. Non-discriminatory practice - remuneration policy directives and practices will be free of unfair distinction.
2. Internal equity – transparent, equitable and consistent application.
3. External parity - competitive remuneration based on remuneration trends.
4. Performance based – direct link between remuneration and performance.
5. Motivation – integral component of employee motivation.

Consideration

1. Company viability – budgetary constraints as determined by the board.
2. Company performance – target achievement and wealth generation.
3. Retention of key skills.
4. Sustainability.
5. Career development.

Application

1. Cost to company – flexible total package structure.
2. Balance – basic salary vs performance reward.
3. Shares – implementation of appropriate share incentive scheme/s for management.

Directors' remuneration

1. Executive directors – determined by Remuneration Committee, ratified by the board.
2. Non-executive directors – determined by executive directors, approved by shareholders.

REMUNERATION REPORT (CONTINUED)

Going forward, a critical success factor of the Group will be its ability to attract, retain and motivate the entrepreneurial talent, design skills and logistics experience required to achieve positive operational outcomes, strategic objectives, and adherence to an ethical culture and good corporate citizenship. Both short- and long-term incentives will be used to this end.

Policy principles

The board evaluates and monitors the Group's remuneration philosophy and practices to ensure consistency with governance principles and corporate strategy. The board implements the approved remuneration policy to ensure:

- salary structures and policies motivate superior performance and are linked to realistic performance objectives that support sustainable long-term business growth
- stakeholders are able to make an informed assessment of reward practices and governance processes
- compliance with all applicable laws and regulatory codes.

The Company is currently listed on the Venture Capital section of the JSE and is thus currently required to have an Audit and Risk Committee, Social and Ethics Committee as well as a Remuneration Committee, with compliance required in terms of Section 3 of King IV.

Governance

Board responsibility

The board carries the ultimate responsibility for the remuneration policy. The board will, when required, refer matters for shareholder approval, for example:

- new share-based incentive schemes and their design; and
- non-executive board and committee fees.

The remuneration report, Part 1 and Part 2, will be put to non-binding shareholders' votes at the AGM of shareholders.

Role of benchmarking

Going forward, to ensure that the Group remains competitive in the markets in which it operates, all elements of remuneration will be subject to regular reviews against relevant market and peer data. The current size and nature of the business does make this practical at present. This will be monitored and considered during 2022 to 2023.

Executive directors

Terms of service

The minimum terms and conditions applied to executive directors are governed by legislation. The notice period for these directors is one month. In exceptional situations of termination of the executive directors' services, the board (assisted by independent labour law legal advisers), will oversee the settlement of terms. Executive directors are not required to retire for re-election.

Elements of remuneration

The Group operates a total cost-to-company (CTC) philosophy whereby cash remuneration, benefits (including a defined contribution retirement fund, medical aid and other insured benefits) form part of the employees' fixed total CTC remuneration. It is planned that senior management and executive directors will participate in short-term incentives in the form of a performance bonus plan, in due course.

The Group views the executive directors as the current "prescribed officers" as defined in the Companies Act and therefore no separate remuneration policy disclosure for prescribed officers is necessary.

Summary of remuneration components for executive directors

As the Group grows, it will strive to remunerate its employees at market related salaries and the board will be guided by one or more appropriate annual salary surveys produced by Industry specialists.

REMUNERATION REPORT (CONTINUED)

The board will be considering incentive schemes, (long and short term in due course), to:

- Promote growth in quality sustainable earnings
- Align shareholder and management objectives
- Enhance the ability to recruit and retain key employees and management.

The structure and basis for Performance Based Incentives will be approved by the Board in due course, to be aligned with company strategy and current shareholder and management objectives.

Non-executive directors

Terms of service

Non-executive directors are appointed by the shareholders at the AGM. Interim board appointments are permitted between AGMs.

Appointments are made in accordance with Group policy. Interim appointees retire at the next AGM, when they may make themselves available for re-election.

In terms of the company's Memorandum of Incorporation one third of the non-executive directors may make him or herself available for re-election, provided that if a director is appointed as an executive director or as an employee of the company in any other capacity, he or she shall not, while he or she continues to hold that position or office, be subject to retirement by rotation and he or she shall not, in such case, be taken into account in determining the rotation or retirement of directors.

In addition, once a director has served for nine or more years, he or she may continue to serve in an independent capacity if the board concludes that the director exercises objective judgement and there is no interest, position, association or relationship which, when judged from the perspective of a reasonable and informed third party, is likely to influence unduly or cause bias in decision making. This assessment must be made each year after nine years. During the year ended 31 August 2021, Ms RM Majiedt served her ninth year and thus the Board has carefully considered and confirmed her independence and experience, details of which are set out in Ordinary Resolution Number 3 of the AGM Notice.

Fees

The Company does not currently pay competitive fees for the role due to the difficult trading conditions in prior years. The fees comprise an attendance fee for scheduled meetings, as tabled in Part 2 of this report. In addition, where non-executive directors are travelling from other Provinces, they are compensated for travel and subsistence on official business where necessary and to attend meetings. No contractual arrangements are entered into to compensate non-executive directors for the loss of office.

Non-executive directors do not receive short-term incentives nor do they participate in any long-term incentive schemes. The Group does not provide retirement contributions to non-executive directors.

The executive directors propose non-executive directors' fees to shareholders annually for shareholder vote.

Shareholder engagement

The Group's remuneration policy and the implementation thereof are placed before shareholders for consideration and approval under the terms of an advisory non-binding vote at the 10 May 2022 AGM as recommended by King IV.

In the event that 25% or more of the votes cast are recorded against either the remuneration policy resolution or the implementation resolution, then:

- Executive management will engage shareholders to ascertain the reasons for dissenting vote. Where considered appropriate, non-executive board members may participate in these engagements with selected shareholders; and
- Executive management will make specific recommendations to the board as to how the legitimate and reasonable objections of shareholders might be addressed, either in the Group's remuneration policy or through changes on how the remuneration policy is implemented.

REMUNERATION REPORT (CONTINUED)

Directors' interests in contracts

During the financial year, none of the current directors had a material interest in any contract of significance to which the Company or any of its subsidiaries were parties.

Non-binding advisory vote

Shareholders are requested to cast an advisory vote on the remuneration policy as contained in Part 1 of this report.

PART II – IMPLEMENTATION OF REMUNERATION POLICY

Executive director remuneration

Guaranteed pay – base pay and benefits

In determining the CTC increases for executive directors, the board considered the average increases to general staff and also used relevant market data. The current situation of the Company and the economy was also considered.

In aggregate, executive directors received a 0% increase. No short-term incentives were awarded.

Summary of executive directors guaranteed pay and short-term incentives

The remuneration paid to executive directors, while in office of the Company during the year ended 31 August 2021, is set out in note 45 of the Annual Financial Statements:

Short-term and long-term incentives 2022

Short-term and long-term criteria for performance measures and targets are to be set during the 2022 year.

Non-executive remuneration

The remuneration paid to non-executive directors while in office of the Company during the year ended 31 August 2021 is set out in note 45 of the annual Financial Statements.

Proposed non-executive directors' fees effective from 1 September 2021 are set out in Special Resolution Number 2:

The above fees are proposed net of VAT which may become payable thereon to directors, depending on the status of the individual director's tax position.

Refer to special resolution 2 in the notice of AGM for approval of the fees by shareholders in terms of section 66 of the Companies Act.

Non-binding advisory vote

Shareholders are requested to cast an advisory vote on the remuneration implementation report as contained in Part 2 of this report.

Approval

This remuneration report was approved by the board of directors of Labat.

REPORT OF THE SOCIAL AND ETHICS COMMITTEE

FOR THE PERIOD ENDED 31 AUGUST 2021

Background

Labat's social and ethics committee (the committee) is a statutory committee which assists the board in monitoring the group's corporate citizenship, sustainability and ethics.

Labat is a local black owned and managed Investment holding company and was founded and incorporated in 1995 by Brian van Rooyen and Victor Labat and listed on the JSE in 1999 as one of the first listed BEE companies. Labat was a major government contractor providing consulting and related services since 1995 for a number of years, implementing many high-profile government assignments. After listing, the Company became a holding company and has supported a number of diverse new and existing businesses over the years, sometimes selling the businesses or distributing shares *in-specie* to its shareholders.

Labat values its reputation and is committed to maintaining the highest level of ethical standards in the conduct of its business affairs, avoiding bribes and corruption continually, which has made business more difficult in certain circumstances. The actions and conduct of the company's Board members, staff as well as others acting on the company's behalf remain key to maintaining these standards.

It is in this regard and in accordance with the Companies Act, 2008 (No. 71 of 2008) as amended, Section 43(5) of the Companies Regulations ("Companies Act") and the King IV Report on Good Corporate Governance that a Social and Ethics Committee ("the committee") was established by the board to consider and monitor the moral and ethical conscience of Labat.

This report is presented in accordance with the requirements of the Companies Act and forms part of the Integrated Report.

Composition and functioning

The social and ethics committee consists of the following members as at 31 August 2021:

Member	Date of appointment	Attendance for the period under review
RM Majiedt (Chairperson)	28 February 2012	100%
R Mohamed	30 May 2017	100%
DJ O'Neill (Executive)	27 January 2011	100%

The committee receives feedback from management on other committees and will report on any significant matters to the board in terms of its mandate. The members of the committee are nominated and appointed by the board.

Role of the committee

The committee acts in terms of the delegated authority of the board and assists the directors in monitoring the group's activities and disclosures in terms of legislation, regulation and codes of best practices relating to:

- ethics;
- sustainable development and sustainability;
- stakeholder engagement, including employees, customers, suppliers, communities and the environment; and
- strategic empowerment and transformation.

The committee has subsequently approved a Code of Ethics that reflects the Company's core values and also embraces the principles as set out in King IV, where applicable.

REPORT OF THE SOCIAL AND ETHICS COMMITTEE (CONTINUED)

Responsibilities of the committee

The responsibilities of the committee are as follows:

- monitor activities relating to social and economic development, good corporate citizenship, the environment, and health and public safety
- ensure appropriate short, medium and long-term targets are set by management;
- monitor progress on strategic empowerment and performance against targets;
- monitor changes in the application and interpretation of empowerment charters and codes; and
- monitor functions required in terms of the Companies Act and its regulations.

The remaining board members are encouraged to attend committee meetings as invitees. The committee met twice during the year under review. Attendance at committee meetings is detailed on page 18 of the Integrated Report.

The committee has not been assessed during the year ended 2021. An assessment will be done during 2022 as part of the biennial board and committee self-evaluation process.

Activities of the committee

The responsibilities and functions of the committee which are aligned with the committee's statutory functions as set out in the Companies Act formed the basis of the work plan for 2021/2. These activities are as follows: -

To monitor the company's activities, having regard to any relevant legislation, other legal requirements or prevailing codes of best practice, with regard to matters relating to:

- Social and economic development, including the company's standing in terms of the goals and purposes of:
 - (aa) the 10 principles set out in the United Nations Global Compact Principles ("UNGCP");
 - (bb) the Organisation for Economic Co-operation and Development ("OECD") recommendations regarding corruption;
 - (cc) the Employment Equity Act; and
 - (dd) the Broad-Based Black Economic Empowerment Act.
- Good corporate citizenship, including the company's:
 - (aa) promotion of equality, prevention of unfair discrimination, and reduction of corruption;
 - (bb) contribution to development of the communities in which its activities are predominantly conducted or within which its products or services are predominantly marketed; and
 - (cc) record of sponsorship, donations and charitable giving.
- The environment, health and public safety, including the impact of the company's activities and of its products or services.
- Consumer relationships, including the company's advertising, public relations and compliance with consumer protection laws; and
- Labour and employment, including
 - (aa) the company's standing in terms of the International Labour Organization Protocol on decent work and working conditions;

REPORT OF THE SOCIAL AND ETHICS COMMITTEE (CONTINUED)

- (bb) the company's employment relationships and its contribution toward the educational development of its employees;
- (cc) to draw matters within its mandate to the attention of the board as occasion requires; and
- (dd) to report, through one of its members, to shareholders at the company's annual general meeting on the matters within its mandate.

During the year under review the committee attended to the matters relating to the work plan above and reported to the board. The monitoring and conforming to the above remains an ongoing process within the company structure.

Labat has also adhered to the following matters, as mentioned above, with formal policies being implemented to address these: -

- a. **Social and economic development.** Labat adheres to the principles set out in the UNGCP and the OECD recommendations on corruption. Labat meets the labour law requirements of the Employment Equity Act (No. 55 of 1988) and has formal policies on bribery and corruption and protected disclosures. No incidents have been reported.
- b. **Good corporate citizenship.** Labat subscribes to the provisions of the Promotion of Equality and Prevention of Unfair Discrimination Act. No incidents have been reported.
- c. **The environment, health and public safety.** Labat subscribes to and is compliant with the Occupational Health and Safety Act. No incidents have been reported during the period.
- d. **Consumer relations.** Labat subscribes to and is compliant with the Consumer Protection Act (No. 68 of 2008). No incidents have been reported.
- e. **PAIA.** The Company is compliant with the requirements of the Promotion of Access to Information Act, No. 2 of 2000 and has recently updated its PAIA manual. No requests for information were received during the year under review.
- f. **Protection of Personal Information.** Labat subscribes to and is compliant with the Protection of Personal Information Act (No. 4 of 2013). No incidents have been reported.
- g. **Labour and employment.** Labat supports and adheres to the terms of the International Labour Organisation Protocol. Labat is compliant with the following acts:
 - Basic Conditions of Employment Act No. 75 of 1997;
 - Labour Relations Act No. 66 of 1995;
 - Skills and Development Levies Act No. 9 of 1999; and
 - the Unemployment Insurance Act No. 63 of 2001.

Other than as specifically stated above, no incidents have been reported during the period with regards to compliance.

Public reporting and assurance

The committee, together with the Audit and Risk Committee, is responsible for reviewing and approving the sustainability content included in the Integrated Annual Report and published on the Company's website, as well as determining and making recommendations on the need for external assurance of the Group's public reporting on its sustainable performance. The committee has reviewed the content of the abridged Sustainability Report included in the Integrated Annual Report and has recommended it for approval by the Board.

The committee is also required to report through one of its members to the Company's shareholders on the matters within its mandate at the Company's Annual General Meeting to be held on Tuesday, 10 May 2022. The committee has elected to provide this written report to be included in the Integrated Report as opposed to reporting verbally at the Annual General Meeting.

In the notice of the Annual General Meeting included in the Integrated Annual Report on page 120, shareholders are referred to this report by the committee, read with the Sustainability Report. Any specific questions to the committee may be sent to the Company Secretary prior to the meeting.



ROWENA MAJIEDT
CHAIRPERSON
20 FEBRUARY 2022

REPORT OF THE AUDIT AND RISK COMMITTEE

FOR THE PERIOD ENDED 31 AUGUST 2021

Introduction

The Board of Directors (“the Board”) has a combined audit and risk committee (“the Audit Committee” or “the Committee”) due to the nature and current size of the Company.

The report of the Audit and Risk Committee is presented as required by Section 61(8)(a)(iii) of the Companies Act, 2008 (No. 71 of 2008) (“the Act”) and has been prepared in accordance with Section 94.7(f).

The Audit and Risk Committee is constituted as a statutory committee of Labat Africa Limited (“Labat”) or “the Company”) in respect of its statutory duties in terms of section 94.7 of the Act and a committee of the Board in regard to all other duties assigned to it by the Board of Directors of the Company.

Composition

The Audit and Risk Committee consists of the following non-executive directors for the 12 months ended 31 August 2021 and to the date of this report:

Member	Date of appointment	Attendance for the period under review
R Mohamed (Chairman)#	30 May 2017	100%
RM Majiedt#	28 February 2012	100%
BA Penny #	30 November 2017	100%

- independent

The Chairman of the Board is a member of the Audit Committee but is not the Chairman of the Audit and Risk Committee.

The Board has approved the Audit and Risk Committee terms of reference and is satisfied that Audit and Risk Committee members have recent and relevant financial experience to carry out their duties and responsibilities.

The Committee also oversees the relationship between management and the external auditors and serves as a link between the Board and these functions. The Committee is satisfied that it has complied with its legal, regulatory and other responsibilities.

STATEMENT OF AUDIT AND RISK COMMITTEE RESPONSIBILITIES FOR THE YEAR ENDED 31 AUGUST 2021

Role and work of the Audit and Risk Committee

The role of the Audit and Risk Committee is to assist the Board by performing an objective and independent review of the functioning of the organisation’s finance and accounting control mechanisms. It exercises its functions through close interaction and communication with management and the external auditors.

The Chief Executive Officer, Financial Director and other members of management attend Audit and Risk Committee meetings as necessary, at the invitation of the Chairman of the Audit Committee. In addition, other non-executive directors, if additional directors are appointed, will be extended an invitation to attend the Audit and Risk Committee meetings.

REPORT OF THE AUDIT AND RISK COMMITTEE (CONTINUED)

Audit and Risk Committee Terms of Reference

The Committee is guided by its terms of reference, dealing with membership, structure and levels of authority and has the following responsibilities:

- ✓ ensuring compliance with applicable legislation and the requirements of regulatory authorities;
- ✓ nominating for appointment a registered auditor who, in the opinion of the Audit and Risk Committee, is independent of the Company;
- ✓ review of matters relating to financial accounting, accounting policies, reporting and disclosure;
- ✓ review/approval of external audit plans, findings, reports, fees and determination and approval of any non-audit services that the auditor may provide to the Company and Group;
- ✓ review/consideration of expertise and experience of the financial director and the finance team;
- ✓ compliance with the Charter; and
- ✓ compliance with the Company's code of ethics.

Role regarding the external auditor and external audit

The role of the Audit and Risk Committee relating to the external auditor and external audit is prescribed by section 94 of the Act and further guidance is provided by the King IV and the JSE Listings Requirements. In summary the Audit and Risk Committee is required to:

- ✓ make recommendations to the Board, for it to put to the shareholders for their approval in a general meeting, in relation to the appointment, re-appointment and removal of the external auditor;
- ✓ approve the remuneration and terms of engagement of the external auditor;
- ✓ review and monitor the external auditor's independence and objectivity and the effectiveness of the audit process; and
- ✓ develop and implement policy on the engagement of the external auditor to supply non-audit services.

One of these responsibilities is the assessment of the independence of the auditor. The Committee is satisfied that the auditor is independent of the Company. It has further satisfied itself that the audit firm and designated auditor are accredited to appear on the Johannesburg Stock Exchange list of accredited auditors. The Audit and Risk Committee has also reviewed the relevant documentation to consider the suitability of the audit firm and designated auditor as stipulated in paragraph 3.84(h)(iii) of the JSE Listings Requirements, noting further that the audit partner, Mr Aneel Darmalingam, is the designated partner, subject to the approval of Labat's shareholders at the Annual General Meeting. It is noted that the audit firm is due for rotation after the year ended 31 August 2023.

The Committee reviewed the detailed audit report and findings in respect of the Annual Financial Statements audit for the year ended 31 August 2021 as presented by Nexia SAB&T Inc on 16 February 2022. The Committee is satisfied that Nexia SAB&T is independent of the Company and the effectiveness and performance of the external auditor from the Committee's perspective was confirmed. No serious matters of concern regarding the performance of the external auditors were brought to the attention of the Committee.

Non-audit services provided by the external auditors must be in compliance with an approved policy. There were no non-audit services provided during the year under review.

Internal financial controls

The Committee is of the opinion that Labat's system of internal financial controls and financial reporting procedures continue to be effective and operating and forms a basis for the preparation of reliable financial statements.

REPORT OF THE AUDIT AND RISK COMMITTEE (CONTINUED)

The appointment of Mr Gordon Walters, as the Financial Director, was made with the acquisition of Force Fuel, which helped to further strengthen the finance team and internal controls. However, the finance team was considered to be stretched due to both the COVID lockdown as well as dealing with the Business Rescue of Force Fuel Proprietary Limited and Force Fuel Properties Proprietary Limited during the period under review. Accordingly, additional appointments were made, including contracting the former financial director, Mr Dawood Asmal, to assist with Labat Healthcare as well as the group audit and reporting. Furthermore, Ms Thandi Kritsotis was appointed on an outsource basis to assist with the preparation of the financial Statements. Other steps were taken to improve reporting, including the purchasing of Caseware.

The Company has not appointed an internal auditor based on the size of the Company, the system of internal financial controls and considering information and explanations given by management, together with discussions held with the external auditors on the results of their audit. The consideration of internal audit continues being a standing agenda item for the Audit Committee meetings scheduled for the year.

With the new acquisitions being bedded down during the year under review, the Company will be considering the appointment of an internal auditor in the coming year.

Compliance

The Committee reviewed with management, legal matters that could have a material financial impact on the Group. It also assessed compliance with all other statutory duties under section 94(7) of the Companies Act, King IV and JSE Listings Requirements.

Expertise and experience of the financial function

The Committee has considered the competence, qualifications and experience of the Financial Director in terms of section 3.84(h) of the JSE Listing Requirements.

The Committee is also satisfied as to the expertise and experience of the financial director and the finance team. Management has reviewed the financial statements with the audit committee and the Audit and Risk Committee has reviewed them without management or external auditors being present. The quality of the accounting policies as well as any audit issues are discussed with the external auditors.

Review of financial statements

The financial statements were prepared by Ms Thandi Kritsotis under the supervision of the Financial Director, in accordance with applicable legislation and accounting framework and submitted to the Audit and Risk Committee for review prior to submission to the Board for approval.

As stipulated in the Companies Act, section 94(7)(f), the committee has reviewed the accounting policies and practices applied by the Group and is satisfied that the financial statements were prepared on the basis of appropriate, relevant accounting policies, International Financial Reporting Standards (IFRS) and applicable

statutory and regulatory guidelines. The Company's Annual Financial Statements were also selected for Pro-Active Monitoring Review by the JSE for the year ended 31 August 2019. The Audit and Risk Committee has ensured that all the matters raised by the JSE were considered in the preparation of the Annual Financial Statements for the year ended 31 August 2021.

The Committee considered all aspects where significant judgments and estimates were involved in the preparation of the annual financial statements that could have a material impact on those financial statements.

The Committee has considered the Integrated Report and assessed its consistency with operational, financial and other information known to committee members, and for consistency with the Annual Financial Statements. The Committee is satisfied that the integrated report is materially accurate, complete and reliable, and consistent with the Annual Financial Statements. On 17 February 2022, the Committee recommended the integrated report for the year ended 31 August 2021 for approval by the Board.

REPORT OF THE AUDIT AND RISK COMMITTEE (CONTINUED)

Approval of report

The Committee confirms from 1 September 2020 to 31 August 2021 that they have functioned in accordance with their terms of reference and as required by the Act and that the report has been approved by the Directors of the Board.

Approval of financial statements

The Audit and Risk Committee reviewed and recommended the financial statements for approval by the Board of Directors and considers the financial statements of Labat Africa Limited and its subsidiaries to be a fair presentation of its financial position on 31 August 2021 and of the results of the operations, changes in equity and cash flows for the period then ended, in accordance with International Financial Reporting Standards, the Act and the JSE Listings Requirements.

Conclusion

The Committee is satisfied that it has executed its duties and responsibilities during the year in line with its terms of reference, the companies Act section 94.7, King IV and section 3.84(g) of the JSE Listings requirements.



RUSTUM MOHAMED
CHAIRMAN

20 FEBRUARY 2022



COMPANY SECRETARY'S REPORT

In our capacity as Company Secretary, we hereby confirm in terms of Section 88(2) (e) of the Companies Act, that for the twelve months ended 31 August 2021, the Group has lodged with the Companies and Intellectual Property Commission all such returns as required of a public company in terms of the Companies Act and that all such returns are true, correct and up to date.



LIGHT CONSULTING PROPRIETARY LIMITED
COMPANY SECRETARY
20 FEBRUARY 2021

GENERAL INFORMATION

Country of incorporation and domicile	South Africa
Nature of business and principal activities	Provision of quality management, business and retail services
Company registration number	1986/001616/06
Directors	BG van Rooyen DJ O'Neill GRI Walters RM Majiedt R Mohamed BA Penny
Registered office	23 Kroton Avenue Weltevreden Park Roodepoort 1709
Postal address	Private Bag X09-248 Weltevreden Park Roodepoort 1715
Bankers	ABSA Bank Limited First National Bank, a division of First Rand Limited
Auditors	Nexia SAB&T Registered Auditors
Company secretary	Light Consulting Proprietary Limited
Level of assurance	These consolidated and separate annual financial statements have been audited in compliance with the applicable requirements of the Companies Act of South Africa.
Date of publication	20 February 2022
Preparer	The consolidated and separate annual financial statements were internally compiled by: Gorden Walters (B.Com Accounting (Hons)) Financial Director

ANNUAL FINANCIAL STATEMENTS

The reports and statements set out below comprise the consolidated and separate annual financial statements presented to the shareholders:

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DIRECTORS' RESPONSIBILITIES AND APPROVAL

The directors are required in terms of the Companies Act of South Africa to maintain adequate accounting records and are responsible for the content and integrity of the consolidated and separate annual financial statements and related financial information included in this report. It is their responsibility to ensure that the consolidated and separate annual financial statements fairly present the state of affairs of the group as at the end of the financial period and the results of its operations and cash flows for the period then ended, in conformity with International Financial Reporting Standards. The external auditors are engaged to express an independent opinion on the consolidated and separate annual financial statements.

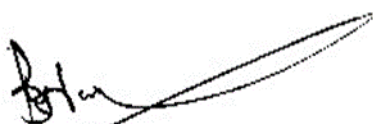
The consolidated and separate annual financial statements are prepared in accordance with International Financial Reporting Standards and are based upon appropriate accounting policies consistently applied and supported by reasonable and prudent judgements and estimates.

The directors acknowledge that they are ultimately responsible for the system of internal financial control established by the group and place considerable importance on maintaining a strong control environment. To enable the directors to meet these responsibilities, the board sets standards for internal control aimed at reducing the risk of error or loss in a cost-effective manner. The standards include the proper delegation of responsibilities within a clearly defined framework, effective accounting procedures and adequate segregation of duties to ensure an acceptable level of risk. These controls are monitored throughout the group and all employees are required to maintain the highest ethical standards in ensuring the group's business is conducted in a manner that in all reasonable circumstances is above reproach. The focus of risk management in the group is on identifying, assessing, managing and monitoring all known forms of risk across the group. While operating risk cannot be fully eliminated, the group endeavours to minimise it by ensuring that appropriate infrastructure, controls, systems and ethical behaviour are applied and managed within predetermined procedures and constraints.

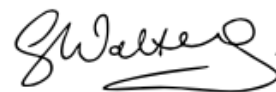
The directors are of the opinion, based on the information and explanations given by management, that the system of internal control provides reasonable assurance that the financial records may be relied on for the preparation of the consolidated and separate annual financial statements. However, any system of internal financial control can provide only reasonable, and not absolute, assurance against material misstatement or loss. The directors have reviewed the group's cash flow forecast for the foreseeable future and, in light of this review and the current financial position, they are satisfied that the group has or had access to adequate resources to continue in operational existence for the foreseeable future.

The external auditors are responsible for independently reviewing and reporting on the group's consolidated and separate annual financial statements. The consolidated and separate annual financial statements have been examined by the group's external auditors and their report is presented on pages 45 to 49.

The consolidated and separate annual financial statements set out on pages 56 to 119, which have been prepared on the going concern basis, were approved by the board on 20 February 2022 and were signed on its behalf by:



BRIAN VAN ROOYEN
CHIEF EXECUTIVE OFFICER



GORDEN WALTERS
FINANCIAL DIRECTOR

INDEPENDENT AUDITOR'S REPORT

INDEPENDENT AUDITOR'S REPORT

To the Shareholders of Labat Africa Limited

Report on the Audit of the Consolidated and Separate Financial Statements

Opinion

We have audited the consolidated and separate financial statements of Labat Africa Limited (the group and company) set out on pages 56 to 118 which comprise the consolidated and separate statements of financial position as at 31 August 2021, and the consolidated and separate statements of profit or loss and other comprehensive income, consolidated and separate statements of changes in equity and consolidated and separate statements of cash flows for the year then ended, and notes to the consolidated and separate financial statements, including a summary of significant accounting policies.

In our opinion, the consolidated and separate financial statements present fairly, in all material respects, the consolidated and separate financial position of Labat Africa Limited as at 31 August 2021, and its consolidated and separate financial performance and consolidated and separate cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Companies Act of South Africa.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements* section of our report. We are independent of the group and company in accordance with the Independent Regulatory Board for Auditors' *Code of Professional Conduct for Registered Auditors* (IRBA Code) and other independence requirements applicable to performing audits of financial statements in South Africa. We have fulfilled our other ethical responsibilities in accordance with the IRBA Code and in accordance with other ethical requirements applicable to performing audits in South Africa. The IRBA Code is consistent with the corresponding sections of the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)*. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

INDEPENDENT AUDITOR'S REPORT (CONTINUED)

Key Audit Matter	How our audit addressed the key audit matter
Business combinations	
Refer to note 7 to the consolidated and separate financial statements related to acquisition of subsidiaries. During the year ended 31 August 2021, the Group has acquired 70% of the share capital in Bio Data (Pty) Ltd for a total purchase consideration of R7.5 million. The Group also acquired 100% of the share capital in African Cannabis Enterprises (Pty) Ltd for a total purchase consideration of R1.8 million. The Group has acquired material assets and liabilities under these acquisitions. Management assessed that the acquisition is assessed as a business combination and significant management judgement were exercised on the valuation of intangible assets acquired. The fair value associated with the investment in Bio Data (Pty) Ltd and African Cannabis Enterprises (Pty) Ltd was determined based on a number of assumptions and therefore exposed to significant estimation uncertainty. These transactions are material to the consolidated financial statements and were subjected to significant judgement that management exercised on the valuation of intangible assets acquired.	The audit procedures included the following: - We reviewed the purchase transactions and related agreements to obtain an understanding of the transactions and reviewed management's assessment to evaluate that the acquisition has correctly been accounted for as a business combination, and to identify the date of control in respect of this business combination transaction. - We assessed management's procedures and assumptions in determining the fair value of the assets acquired and liabilities assumed by comparing management's assumptions to data from other independent sources to assess appropriateness of key financial assumptions applied in the business combination. We found that the recognition and measurement of the business combinations to be appropriate.
Impairment of intangible assets	
Refer to the carrying value of intangible assets of R116.3 million (2020: R123.5 million) as disclosed in note 6 of the consolidated and separate financial statements. Management's impairment assessment methodology of intangible assets requires significant judgment which is based on assumptions, specifically relating to the future projected cash flows, growth rates and discount rates relating to the cash generating units, and the related impact of COVID-19 on the assessment. Accordingly, the impairment of intangible assets is considered to be a matter of significance in our audit of the consolidated and separate financial statements due to the significant judgments and assumptions made by management in performing the impairment assessment.	The audit procedures included the following: - Using the knowledge of senior personnel and industry specific resources to assist us in evaluating the assumptions and methodologies used by the group; - Analysing the future projected cash flows used in the models to determine whether they are reasonable and supportable given the current macroeconomic climate and expected future performance of the cash generating units to which intangible assets relate to; - Calculating a discount rate for the cash generating unit using our independently sourced data; We found the assumptions used by management to be appropriate.

INDEPENDENT AUDITOR'S REPORT (CONTINUED)

Other Information

The directors are responsible for the other information. The other information comprises the information included in the document titled "The Labat Africa Limited Integrated Annual Report August 2021", which includes the Directors' Report, the Audit Committee's Report, CEO and CFO Responsibility Statement on Internal Financial Controls and the Company Secretary's Report as required by the Companies Act of South Africa, which we obtained prior to the date of this report. The other information does not include the consolidated and separate financial statements and our auditor's report thereon.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed on the other information obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the Consolidated and Separate Financial Statements

The directors are responsible for the preparation and fair presentation of the consolidated and separate financial statements in accordance with International Financial Reporting Standards and the requirements of the Companies Act of South Africa, and for such internal control as the directors determine is necessary to enable the preparation of the consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the groups and the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the group and / or the company or to cease operations, or have no realistic alternative but to do so.

INDEPENDENT AUDITOR'S REPORT (CONTINUED)

Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the group's and the company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the group's and the company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the group and / or the company to cease to continue as a going concern.
- Evaluate the overall presentation, structure, and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision, and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

INDEPENDENT AUDITOR'S REPORT (CONTINUED)

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

In terms of the IRBA Rule published in Government Gazette Number 39475 dated 4 December 2015, we report that Nexia SAB&T has been the auditor of Labat Africa Limited for 10 years.



Nexia SAB&T

A Darmalingam

Director

Registered Auditor

20 February 2022

119 Witch-Hazel Avenue

Highveld Technopark

Centurion

DIRECTORS' REPORT

The directors have pleasure in submitting their report on the consolidated and separate annual financial statements of Labat Africa Limited and its subsidiary for the year ended 31 August 2021.

1. Review of activities

The company is a diversified investment holding company, which, through its subsidiaries, is engaged in the design and marketing of integrated circuits, the logistics sector and wholesale fuel distribution.

The operating results and state of affairs of the company are fully set out in the attached consolidated and separate annual financial statements.

2. Financial results

The directors of Labat ("Board") present the results for the year ended 31 August 2021.

The results for the year ended 31 August 2021 show the following key indicators:

- Total Comprehensive Loss for the year ended 31 August 2021 is (R22.8) million versus a total comprehensive income in the previous year of R 10.4 million.
- Loss per share for the year ended 31 August 2021 is (5.7) cents as against an earnings in the previous year of 3.1 cents.
- Net asset value per share for the year ended 31 August 2021 of 21.1 cents per share against a value of 19.6 cents per share in the previous financial year.

During the year under review, Labat has been concentrating on growing its Healthcare business and has been able to complete various exciting acquisitions which are expected to build the value of the business over time. Due to the large increase in intangible assets arising from these acquisitions, Labat commissioned a JSE accredited IFRS specialist to conduct an in-depth review of the various acquisitions in the Cannabis division of the Group, which valuations were undertaken in accordance with IFRS 13.

SAMES has again had a profitable year and has made a major breakthrough in the development of its new energy metering technology designs. This will translate into SAMES regaining its place as a supplier of world class energy metering technology and solutions to the international and local semi-conductor markets.

The Labat logistics business had a difficult year due to challenges experienced with the Covid-19 pandemic, but expects a recovery next year, like all other businesses. The logistics business will expand its offering into delivering products for the Labat Healthcare businesses and expects substantial growth in this division in the year to come.

The de-recognition of the Fuel business and the Healthcare acquisitions have had a beneficial impact on the balance sheet, with Labat's equity increasing for the year ended 31 August 2020 to R69.8million from a negative (R34.4) million in the 2019 financial year.

The continuing Labat owned businesses' growth has been adversely affected by the Covid-19 pandemic and is expected to grow exponentially in the years ahead as local and international market conditions improve.

Included in these results is the acquisition of African Cannabis Enterprises (Pty) Ltd ("Ace Genetics") and 70% in BioData (Pty) Ltd ("BioData") which has the effect of boosting the roll out of the Labat Healthcare businesses. The CannAfrica store roll out is progressing well with 4 Stores physically opening subsequent to year end and 10 more to be rolled out in the new calendar year.

The Company's results for the year ended 31 August 2019 were selected for review by the JSE's pro-active monitoring committee and their recommendations have been incorporated into these results. No prior year adjustments were required.

DIRECTORS' REPORT (CONTINUED)

3. Going concern

The Board has performed an assessment of the Group's operations relative to available cash resources and is confident that the Group is able to continue operating for the next 12 months. The Board remains reasonably confident that it will manage the uncertainties that exist as detailed below. The reviewed provisional condensed consolidated financial statements presented have therefore been prepared on a going concern basis.

The Group's total assets exceed its total liabilities by R101.3 million (2020: R75.9 million), has accumulated losses of R(121.1) million (2020: R(98.3) million), current assets exceed its current liabilities by R25.9 million (2020: R6.1 million) and the group incurred a Total Comprehensive Loss for the year of (R22.8) million (2020: profit R10.1million).

Following the restructuring of the business and recent acquisitions, the group, notably the SAMES and Logistics businesses, performed reasonably well given the impact of COVID-19. The company is actively turning the businesses around with a targeted focus on the Healthcare business. The company has also identified new synergistic business opportunities in order to improve margins and group profitability.

The directors are currently on a targeted road show to raise additional funds, mainly to fund its expansion program. This has met with some success, albeit slow. Shareholders are aware that the company is currently in discussions with potential investors to place shares for cash. Furthermore, subsequent to year end the Company has concluded its R300 million equity draw-down facility with LDA Capital to expand Labat's business operations.

The financial statements are prepared on the basis of accounting policies applicable to a going concern. This basis presumes that that the Group will continue to receive the support of its holding company and directors and that the realisation of assets and settlement of liabilities will occur in the ordinary course of business. The Group is projecting positive cash flows for the year ahead from its existing and new businesses, noting in particular the opening of the first 4 CannAfrica retail stores subsequent to year end.

4. Acquisitions and Disposals

Force Fuel (Pty) Ltd and Force Fuel Properties (Pty) Ltd are in the process of being disposed of after the business rescue process is completed in the first half 2022. The final agreements have been prepared and the parties are in final stages with the new incoming investors. The financial results of Force Fuel and Force Fuel Properties have been deconsolidated from the group results as at 31 August 2020, subsequent to the year end, offers have been received by the Business Rescue Practitioner.

BioData (Pty) Ltd (THC) and African Cannabis Enterprises (Pty) Ltd

In September 2020 the Group announced the acquisition of 70% of the shares in BioData and 100% of the shares in African Cannabis Enterprises (Ace Genetics) with effect from 4 December 2020. As a result, BioData and Ace Genetics became subsidiaries with the effective dates of consolidation of 1 September 2020 and 4 December 2020 respectively. The acquisitions were made to enhance the Group's position in the medical cannabis market for expansion in South Africa and export to the European Union.

Labat continues in discussions with other Cannabis and Health related businesses to further expand its footprint in this area.

5. Events after the reporting period

Refer to Note 50 of the annual financial statements.



DIRECTORS' REPORT (CONTINUED)

6. Special resolutions

At the Company's annual general meeting held on 11 May 2021, the following special and ordinary resolutions Mesirow were passed:

- The Directors were authorised to repurchase ordinary shares in the issued share capital of the Company.
- A general authority to enter into funding agreements, provide loans or other financial assistance in terms of Sections 44 and 45 of the Companies Act was granted.
- Approval of non-executive directors' remuneration for the year commencing 1 September 2020.
- Authority to issue shares that may exceed 30% of the voting power of the current issued share capital.
- General Authority to allot and issue shares for cash.

As at the date of the report no repurchase in terms of the special resolution had been made. No special resolutions were passed at a subsidiary level.

7. Dividends

The company's dividend policy is to consider an interim and a final dividend in respect of each financial year. At its discretion, the board may consider a special dividend, where appropriate. Depending on the perceived need to retain funds for expansion or operating purposes, the board may pass on the payment of dividends.

No dividends were declared or paid to shareholders during the period under review.

8. Directorate

The directors in office at the date of this report are as follows:

Name	Nationality	Designation
BG van Rooyen	South African	Executive director
DJ O'Neill	Irish	Executive director
GRI Walters	South African	Executive director
M Stringer (*)	South African	Resigned
RM Majiedt	South African	Independent non-executive director
R Mohamed	South African	Independent non-executive director
BA Penny	South African	Independent non-executive director

(*) Appointed on 8 April 2020, resigned 2 September 2021

9. Secretary

The company secretary is Light Consulting Proprietary Limited .

Business address: 20 Stirrup Lane,
Woodmead Office Park
Cnr Woodmead Drive & Van Reenens Avenue
Woodmead

10. Interests in subsidiaries

Details of material interests in subsidiary companies are presented in the consolidated and separate annual financial statements in note 8.



DIRECTORS' REPORT (CONTINUED)

The interest of the group in the profits and losses of its subsidiary for the year ended 31 August 2021 are as follows:

Name of subsidiary	Profit after tax 2021	Profit after tax 2020
	R'000	R'000
South African Micro-Electronic Systems (Pty) Ltd	16 937	4 907
The Highly Creative (Pty) Ltd "THC"	(2 352)	(5 040)
CannAfrica (Pty) Ltd	61	(856)
Bio-Data	(10)	-
Ace Genetics	(287)	-
Force Fuel (Pty) Ltd *	-	(76 461)
Force Fuel Properties (Pty) Ltd *	-	4 732
Labat Investments Namibia (Pty) Ltd (Dormant)	-	-

* Force Fuel (Pty) Ltd and Force Fuel Properties (Pty) Ltd have been deconsolidated in the prior financial year.

11. Auditors

Nexia SAB&T continued in office as auditors for the company and its technology subsidiary for 2021. The company has also appointed Morar Incorporated as its auditors for the healthcare subsidiaries for 2021.

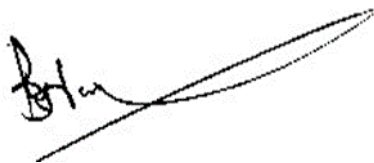
At the AGM, the shareholders will be requested to reappoint Nexia SAB&T as the independent external auditors of the company and to confirm Miss Shamira Mahomed as the designated lead audit partner for the 2022 financial year. The Audit and Risk Committee have considered the proposed appointment in accordance with the JSE Listings Requirements. The Board of directors wish to extend their gratitude for the excellent services provided by Mr. Aneel Darmalingam, having been the lead audit partner for the past five years.

12. Borrowing powers

In terms of the Memorandum of Incorporation, the borrowing powers of the group are unlimited. However, all borrowings by the group are subject to board approval as required by the board delegation of authority.

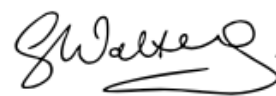
13. Major shareholding

Details of the major shareholders are provided in the shareholder analysis contained on page 11 of the Annual Report.



BRIAN VAN ROOYEN

CHIEF EXECUTIVE OFFICER



GORDEN WALTERS

FINANCIAL DIRECTOR

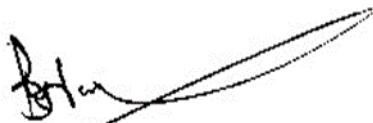
20 FEBRUARY 2022

FINANCIAL STATEMENTS

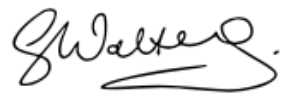
The annual financial statements have been prepared by Labat's financial director, Gorden Walters.

The consolidated and company annual financial statements have been audited in compliance with the applicable requirements of the Companies Act of South Africa and the JSE Limited Listings Requirements ("JSE Listings Requirements").

The above annual financial statements and group annual financial statements were approved by the board of directors of Labat Africa Limited on 20 February 2022 and are signed on its behalf.



BRIAN VAN ROOYEN
CHIEF EXECUTIVE OFFICER

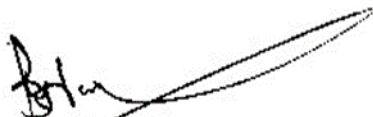


GORDEN WALTERS
FINANCIAL DIRECTOR

CEO and CFO Responsibility Statement on Internal Financial Controls

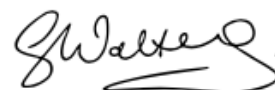
In terms of section 3.84(k) of the JSE Listings Requirements, the directors, whose names are stated below, hereby confirm that:

- (a) the consolidated financial statements set out on pages 57 to 120, fairly present in all material respects the financial position, financial performance and cash flows of the group in terms of IFRS;
- (b) no facts have been omitted or untrue statements made that would make the consolidated financial statements false or misleading;
- (c) internal financial controls have been put in place to ensure that material information relating to the group and its subsidiaries have been provided to effectively prepare the consolidated financial statements of the group; and
- (d) the internal financial controls are adequate and effective and can be relied upon in compiling the consolidated financial statements, having fulfilled our role and function within the combined assurance model pursuant to principle 15 of the King Code. Where we are not satisfied, we have disclosed to the audit committee and the auditors the deficiencies in design and operational effectiveness of the internal financial controls and any fraud that involves directors, and have taken the necessary remedial action.



BRIAN VAN ROOYEN
CHIEF EXECUTIVE OFFICER

20 FEBRUARY 2022



GORDEN WALTERS
FINANCIAL DIRECTOR

20 FEBRUARY 2022

STATEMENTS OF FINANCIAL POSITION

AS AT 31 AUGUST 2021

		Group		Company	
	Note(s)	2021 R'000	2020 R'000	2021 R'000	2020 R'000
Assets					
Non-Current Assets					
Property, plant and equipment	3	700	583	162	32
Right-of-use assets	4	7 934	6 813	5 167	6 348
Goodwill	5	-	-	-	-
Intangible assets	6	116 348	123 547	-	-
Investment in subsidiaries	8	-	-	99 506	90 202
Deferred tax	9	16 434	17 465	-	-
Total Non-Current Assets		141 416	148 408	104 835	96 582
Current Assets					
Inventories	10	4 334	2 378	-	-
Loans to group companies	11	-	-	26 350	12 075
Loans to directors and shareholders	12	2 698	-	-	-
Trade and other receivables	14	7 048	8 846	5 035	10 061
South African Revenue Services	13	52 624	21 242	-	-
Cash and cash equivalents	15	14 444	9 013	10 932	1 850
Total Current Assets		81 148	41 479	42 317	23 986
TOTAL ASSETS		222 564	189 887	147 152	120 568

STATEMENTS OF FINANCIAL POSITION

AS AT 31 AUGUST 2021

		Group		Company	
	Note(s)	2021 R'000	2020 R'000	2021 R'000	2020 R'000
EQUITY AND LIABILITIES					
Equity					
Stated capital	16	212 514	167 943	212 995	168 424
Capital contribution	20	-	-	37 831	36 872
Non-distributable reserves	19	128	170	-	-
Accumulated loss		(121 050)	(98 322)	(172 902)	(161 759)
Non-controlling interest	18	9 713	6 172	-	-
Total Shareholders' Equity		101 305	75 963	77 924	43 537
Non-Current Liabilities					
Lease liabilities	21	8 145	6 320	5 729	6 320
Financial guarantees	26	9 800	24 800	9 800	24 800
Deferred revenue	28.2	2 264	-	-	-
Deferred tax	9	29 334	31 616	-	-
Other financial liabilities	22	16 461	15 823	16 461	14 702
Total Non-Current Liabilities		66 004	78 559	31 990	45 822
Current Liabilities					
Loans from group companies	24		-	318	399
Loans from directors and shareholders	12	4 490	5 014	4 490	5 014
Lease liabilities	21	1 268	1 321	811	823
South African Revenue Services	13	32 837	14 856	17 733	12 626
Trade and other payables	25	13 073	14 167	11 182	12 340
Deferred revenue	28.2	883	-	-	-
Other financial liabilities	22	1 801	-	1 801	-
Contingent consideration	7	900	-	900	-
Bank overdraft	15	3	7	3	7
Total Current Liabilities		55 255	35 365	37 238	31 209
Total Liabilities		121 259	113 924	69 228	77 031
Total Equity and Liabilities		222 564	189 887	147 152	120 568

STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE YEAR ENDED 31 AUGUST 2021

	Note(s)	Group		Company	
		2021 R'000	2020 R'000	2021 R'000	2020 R'000
Revenue	28	29 270	40 251	22 679	30 354
Cost of sales	29	(16 688)	(27 500)	(12 801)	(23 890)
Gross profit		12 582	12 751	9 878	6 464
Other income	30	21 077	766	5 084	7 134
Impairments	11	-	(2 293)	-	(2 293)
Depreciation	3&4	(2 095)	(4 498)	(1 199)	(892)
Amortisation	6	(28 243)	(22 025)	-	-
Operating expenses		(31 456)	(23 397)	(23 678)	(45 523)
Operating loss	31	(28 135)	(38 696)	(9 915)	(35 110)
Investment income	32	46	271	-	193
Finance costs	33	(1 389)	(2 124)	(1 228)	(2 024)
Loss before taxation		(29 478)	(40 549)	(11 143)	(36 941)
Taxation	35	6 724	9 174	-	-
Loss for the year from continuing operations		(22 755)	(31 376)	(11 143)	(36 941)
Loss from discontinued operations	37	-	(71 043)	-	-
Profit on loss of control	23	-	112 538	-	-
Profit / (loss) for the year		(22 755)	10 119	(11 143)	(36 941)
Attributable to: Owners of the parent		(22 770)	10 376	(11 143)	(36 941)
Non-controlling interest		15	(257)	-	-
Profit / (loss) for the year		(22 755)	10 119	(11 143)	(36 941)
Per share information					
Basic earnings/(loss) per share (cents)	34	(5.7)	3.1		
-continuing		(5.7)	(16.4)		
-discontinued		-	19.5		
Diluted earnings/(loss) per share (cents)	34	(5.7)	3.1		

STATEMENT OF CHANGES IN EQUITY

for the year ended 31 August 2021

Group	Note	Share capital and Premium R'000	Revaluation reserves R'000	Accumulated loss R'000	Equity attributable to owners of the parent R'000	Non-controlling interest R'000	Total shareholders' equity R'000
Balance at 31 August 2019		74 095	214	(108 743)	(34 434)	-	(34 434)
Issue of shares		93 848	-	-	93 848	-	93 848
Transfer of revaluation reserve through use		-	(44)	44	-	-	-
Non-controlling interest at acquisition		-	-	-	-	6 429	6 429
Total comprehensive income for the year		-	-	10 377	10 377	(257)	10 120
Balance at 31 August 2020		167 943	170	(98 322)	69 791	6 172	75 963
Issue of shares		45 471	-	-	45 471	-	45 471
Transfer of revaluation reserve through use		-	(42)	42	-	-	-
Non-controlling interest at acquisition		-	-	-	-	3 526	3 526
Total comprehensive income for the year		-	-	(22 770)	(22 770)	15	(22 755)
Contingent consideration	7	(900)	-	-	(900)	-	(900)
Balance at 31 August 2021		212 514	128	(121 050)	91 592	9 713	101 305

STATEMENT OF CHANGES IN EQUITY

for the year ended 31 August 2021

Company	Note	Share capital and Premium R'000	Capital Contribution R'000	Accumulated loss R'000	Equity attributable to owners of the parent R'000	Non-controlling interest R'000	Total shareholders' equity R'000
Balance at 31 August 2019		74 576	36 015	(124 818)	(14 227)	-	(14 227)
Issue of shares		93 848	-	-	93 848	-	93 848
Capital contribution		-	857	-	857	-	857
Total comprehensive loss for the year		-	-	(36 941)	(36 941)	-	(36 941)
Balance at 31 August 2020		168 424	36 872	(161 759)	43 537	-	43 537
Issue of shares		45 471	-	-	45 471	-	45 471
Capital contribution		-	959	-	959	-	959
Total comprehensive loss for the year		-	-	(11 143)	(11 143)	-	(11 143)
Contingent consideration	7	(900)	-	-	(900)	-	(900)
Balance at 31 August 2021		212 995	37 831	(172 902)	77 924	-	77 924

STATEMENTS OF CASH FLOWS

FOR THE YEAR ENDED 31 AUGUST 2021

	Note(s)	Group		Company	
		2021 R'000	2020 R'000	2021 R'000	2020 R'000
Cash flows from operating activities					
Cash (used in) generated from operations	36	(4 320)	22 915	(6 524)	(9 283)
Interest received		46	626	-	-
Interest paid		(948)	(7 089)	(787)	(581)
Net cash from operating activities		(5 222)	16 452	(7 311)	9 864
Cash flows from investing activities					
Purchase of property, plant and equipment	3	(150)	-	(148)	-
Proceeds from disposal of property, plant and equipment		-	1 233	-	29
Purchase of intangible assets	6	(1 560)	(6 715)	-	-
Acquisition of subsidiary, net of cash required	7	38	-	-	-
Loans to directors and shareholders	12	(2 698)	-	-	-
Advances to related parties		-	-	(1 650)	(2 070)
Net cash from investing activities		(4 370)	(5 482)	(1 798)	(2 041)
Cash flows from financing activities					
Proceeds on share issue		21 167	3 068	21 167	3 068
Proceeds of loans from directors and shareholders	39	1 250	2 100	1 250	2 100
Repayments of loans to directors	39	(6 175)	(240)	(6 175)	(240)
Proceeds of loans from group companies	43	-	-	2 555	4 891
De-consolidation of bank overdraft on loss of control	37	-	6 590	-	-
Lease liability payments	38	(1 215)	(998)	(602)	(998)
Advances from related parties	41	-	-	-	267
Repayment of other financial liabilities	42	-	(17 699)	-	-
Net cash from financing activities		15 027	(7 179)	18 195	9 088
Cash movement for the year		5 435	3 791	9 086	(2 817)
Cash at the beginning of the year		9 006	5 215	1 843	4 660
Total cash at end of the year	15	14 441	9 006	10 929	1 843

ACCOUNTING POLICIES

1. Significant Accounting Policies

2. Presentation of Consolidated Annual Financial Statements

The consolidated and separate annual financial statements have been prepared in accordance and in compliance with, International Financial Reporting Standards ("IFRS") and International Financial Reporting Interpretations Committee ("IFRIC") interpretations issued and effective at the time of preparing these financial statements, the Companies Act of South Africa, and the Listing Requirements of the JSE Limited.

The consolidated annual financial statements have been prepared on the historical cost basis, except for the measurement of contingent consideration, financial guarantees and plant and equipment which are measured at fair value, and incorporate the following principal accounting policies set out below. They are presented in South African Rands, which is the Group and Company's functional currency.

3. Business combinations

All business combinations are accounted for by applying the acquisition method. The cost of the business combination is the fair value at the date of exchange of the assets acquired, liabilities incurred or assumed and equity instruments issued by the Group in exchange for control in the acquiree. Contingent liabilities are only included in the identifiable assets and liabilities of the acquiree where there is a present obligation at acquisition date. Costs directly attributable to the business combination are expensed as incurred, except the costs to issue debt which are amortised at the effective interest rate and the costs to issue equity are included in the cost of equity. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at fair values at the acquisition date irrespective of the extent of the non-controlling interest.

At acquisition date, the excess of the cost of the business combination over the Group's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities is recognised as goodwill in accordance with the Group's accounting policy for goodwill. In the case of a bargain purchase, it is measured as the excess of the sum of the net acquisition date amounts of the identifiable assets acquired and the liabilities assumed, over the consideration transferred which is recognised directly in profit or loss at the acquisition date. The acquisition date is the date on which the Group effectively exercises control over the acquiree.

Non-controlling interests in the net assets of consolidated subsidiaries are identified and recognised separately from the group's interest therein, and are recognised within equity. Losses of subsidiaries attributable to non-controlling interests are allocated to the non-controlling interest even if this results in a debit balance being recognised for non-controlling interest.

Management assesses the various processes surrounding the acquired entity at acquisition date to determine whether existing significant processes, inputs and outputs should be recognised as a business combination.

These considerations include:

- Adequately qualified management
- A sound strategy guiding the business
- Sound financial systems
- Proper budgeting and forecasting processes
- Clearly identifiable customer base
- Clearly identifiable product line
- Active trading and management of the Company; and
- Collection and payment of various transactions.

Non-controlling interest

The Group initially recognised any non-controlling interest in the acquiree at the non-controlling interest's proportionate share of the acquiree's net assets, at the company level. At the Group level, the policy is to recognise is to value the assets and liabilities at fair value.

4. Consolidation

Basis of consolidation of subsidiary

The Consolidated Annual financial statements incorporate the Company's annual financial statements and the entities controlled by the Company (its subsidiaries). An investor controls an investee when it is exposed or has rights to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

ACCOUNTING POLICIES (CONTINUED)

The results and performance of the subsidiaries are included in the Consolidated Annual financial statements from the effective date of acquisition.

Subsidiaries are all entities over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Subsidiaries are consolidated from the date on which control is transferred to the Group.

Inter-Company transactions, balances and utilised gains on transactions between the Group companies are eliminated. Unrealised losses are also eliminated.

5. Significant judgements and sources of estimation uncertainty

The preparation of annual financial statements in conformity with IFRS requires management, from time to time, to make judgements, estimates and assumptions that affect the application of policies and reported amounts of assets, liabilities, income and expenses. These estimates and associated assumptions are based on experience and various other factors that are believed to be reasonable under the circumstances. Actual results may differ from these estimates. The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

6. Critical judgements in applying accounting policies

The critical judgements made by management in applying accounting policies, apart from those involving estimations, that have the most significant effect on the amounts recognised in the financial statements, are outlined as follows:

Intangible assets

Judgment is required when determining the useful life and residual value of intangible assets. Given that the South African Cannabis legislation is evolving extremely slowly and in keeping with international trends, the company has taken a long term view (over 10 years on average) of the useful life of the intangible assets. Intangible assets are reviewed annually on an individual basis to determine their useful life and residual value. Useful life is determined after taking into account the period of time over which the Group will earn revenue from the intangible asset. Residual values are assumed to be zero due to the unique nature of the intangible assets of a defined term. Refer to the Intangibles note 6 and Business combinations note 7.

Judgement was used, including future projected cash flows, income growth rates, expense growth rates and discount rates, when determining the purchase price allocation of the businesses acquired, specifically with respect to intangible assets. A 2 phase approach is used to determine the future projected cash flows results on the actual valuation of such assets as part of the overall purchase price allocation.

Goodwill impairment

The Group tests annually whether goodwill has suffered any impairment. The assumptions used in the impairment testing are set out in Note 5 of the Consolidated Annual Financial Statements. The recoverable amounts of the cash generating units have been determined based on value-in-use calculations. These calculations require the use of estimates in relation to the projections of future cash flows, the projected growth rate, the terminal value of the business and the discount rate derived from the weighted average cost of capital specific to the Group.

The input factors most sensitive to change are management estimates of future cash flows based on budgets and forecasts, growth rates and discount rates. Further detail on these assumptions have been disclosed in Note 5.

Expected manner of realisation for deferred tax

Deferred taxation assets are recognised to the extent that it is probable that taxable income will be available in future against which they can be utilised. Future taxable profits are estimated based on business plans and forecasts that include estimates and assumptions regarding economic growth, interest inflation and taxation rates and competitive forces. The deferred tax asset relates mainly to the accumulated assessed loss of the Information, Communication and Technology (ICT) business. The 5-year forecast of this business was assessed in the context of it having a successful 10-year profit history. The business has developed new products which has been well received by its local and international customer base. The forward order book is stable and supports the profit that has been forecast for the next 5 years. Assessing the recoverability of the deferred income tax assets requires the Company to make estimates related to expectations in future taxable income. Estimates of future taxable income are based on forecast cash flow from operations and the application of existing tax laws.

To the extent that future cash flows and taxable income differ significantly from estimates, the Company's ability to realise the net deferred tax assets recorded in the statement of financial position could be impacted. Additionally, future changes in tax laws could limit the Company's ability to obtain tax deductions in future periods. Assets are only raised where the Company will be able to utilise these losses.

In keeping with all businesses globally the covid pandemic has impacted on the businesses of the Company and to the extent that future cash flows and taxable income differ significantly from estimates, the ability of the Company's businesses to realise the net deferred tax assets recorded at the end of the reporting period could be impacted.

ACCOUNTING POLICIES (CONTINUED)

Taxation

There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. The major cause of this uncertainty is the ability of the South African and Global economy to normalize to pre-pandemic levels and for the supply chains to adapt to new models of operation that have become necessary, which impacts directly on our Technology business which is operating at reduced levels because of the disruption to the international semi conductor supply chain. Taxation estimates and judgements are continually evaluated based on historical experience and factors, including expectations of future events that are believed to be reasonable under the circumstances. In the future, actual experience may differ from these estimates and assumptions.

Key sources of estimation uncertainty

- **Impairment of financial assets**

Judgment is required in the assumptions used for calculating the Expected Credit Loss ("ECL"). The Group has financial assets classified and measured at amortised cost that are subject to the expected credit loss model requirements of IFRS 9.

The impairment provisions for financial assets are based on assumptions about risk of default and expected loss rates. The Company uses judgement in making these assumptions and selecting the inputs to the impairment calculation, based on the Company's past history, existing market conditions as well as forward looking estimates at the end of each reporting period. For details of the key assumptions and inputs used, refer to notes 14 and 47 addressing financial assets.

The Company assesses its trade receivables and loans at amortised cost for impairment on an ongoing basis. In determining whether an impairment loss should be recorded in profit or loss, the Company makes judgements as to whether there is observable data indicating a measurable decrease in the estimated future cash flows of that financial asset.

The impairment for trade receivables and loans at amortised cost is calculated on an individual basis, based on historical loss ratios, adjusted for national and industry-specific economic conditions and other indicators present at the reporting date.

- **Fair value of lease liabilities**

The fair value of lease liabilities for disclosure purposes is estimated by discounting the future contractual cash flows at the current market interest rate that is available to the Company for similar instruments. Refer to policy note 1.13.

- **Impairment of non-financial assets**

The Group assesses at each end of the reporting period whether there is any indication that an asset may be impaired. If any such indication exists, the Group estimates the recoverable amount of the asset.

Irrespective of whether there is any indication of impairment, the Group also:

- tests intangible assets not yet available for use for impairment annually by comparing its carrying amount with its recoverable amount. This impairment test is performed during the annual period and at the same time every period.
- tests goodwill acquired in a business combination for impairment annually.

An annual assessment is made, as set out in note 5, as to whether the current carrying value of goodwill is impaired. Detailed calculations are performed based on discounting expected pre-tax cash flows of the relevant cash generating units and discounting these at an appropriate discount rate, the determination of which requires the exercise of judgment.

If there is any indication that an asset may be impaired, the recoverable amount is estimated for the individual asset. If it is not possible to estimate the recoverable amount of the individual asset, the recoverable amount of the cash-generating unit to which the asset belongs is determined.

The recoverable amount of an asset or a cash-generating unit is the higher of its fair value less costs to sell and its value in use.

If the recoverable amount of an asset is less than its carrying amount, the carrying amount of the asset is reduced to its recoverable amount. That reduction is an impairment loss. Impairment losses recognised on goodwill may not be subsequently reversed.

An impairment loss of assets carried at cost less any accumulated depreciation or amortisation is recognised immediately in profit or loss. Any impairment loss of a revalued asset is treated as a revaluation decrease.

Goodwill acquired in a business combination is, from the acquisition date, allocated to each of the cash-generating units, or Groups of cash-generating units, that are expected to benefit from the synergies of the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units or Groups of units.

Each unit or Group of units to which the goodwill is so allocated represents the lowest level within the entity at which the goodwill is monitored for internal management purposes, and is not larger than an operating segment as defined by paragraph 5 of IFRS 8 Operating Segments before aggregation.

An impairment loss is recognised for cash-generating units if the recoverable amount of the unit is less than the carrying amount of the units. The impairment loss is allocated to reduce the carrying amount of the assets of the unit in the following order:

- first, to reduce the carrying amount of any goodwill allocated to the cash-generating unit and
- then, to the other assets of the unit, pro rata on the basis of the carrying amount of each asset in the unit.

ACCOUNTING POLICIES (CONTINUED)

An entity assesses at each reporting date whether there is any indication that an impairment loss recognised in prior periods for assets other than goodwill may no longer exist or may have decreased. If any such indication exists, the recoverable amounts of those assets are estimated.

The increased carrying amount of an asset other than goodwill attributable to a reversal of an impairment loss does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset in prior periods.

A reversal of an impairment loss of assets carried at cost less accumulated depreciation or amortisation other than goodwill is recognised immediately in profit or loss. Any reversal of an impairment loss of a revalued asset is treated as a revaluation increase.

Management applied significant judgement in determining the future cashflows and the applicable discount rates. Refer to notes 5 and 6 respectively.

• Useful lives and residual values of plant and equipment

Management determines the estimated residual values and useful lives of plant and equipment. The useful lives are determined on the Company's expectation of use of the plant and equipment and the residual values are determined on the Company's expected amount to amortization receive at the end of the reporting period if the asset was already in the condition and of the age expected at the end of its expected useful life.

7. Going concern

In order to assess whether it is appropriate for the Group to be reported as a going concern, the directors apply judgement, having undertaken appropriate enquiries and having considered the business activities and the Group's key risks and uncertainties as set in arriving at this judgement there are a number of assumptions and estimates involved in calculating these future cash flow projections. This includes management's expectations of revenue, growth rates, EBITDA, timing and amount of future capital expenditure and estimates and cost of future funding.

8. Property, plant and equipment

Property, plant and equipment are initially recognised at cost.

The cost of an item of property, plant and equipment is recognised as an asset when:

- it is probable that future economic benefits associated with the item will flow to the Group; and
- the cost of the item can be measured reliably.

Plant and machinery is stated at revalued amounts, being the fair value at the date of revaluation, less any subsequent accumulated depreciation. Revaluations are made with sufficient regularity such that the carrying amount does not differ materially from that would be determined using fair value at the reporting date. Any revaluation is credited to the asset revaluation reserve, net of deferred tax. The revaluation reserve is realised directly in equity over the useful life of the revalued plant and equipment.

All other assets are stated at their cost less any subsequent accumulated depreciation and subsequent accumulated impairment losses.

Historical cost includes expenditure that is directly attributable to the acquisition of the items. Subsequent costs are included in the assets carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the costs of the item can be measured reliably.

Depreciation of an asset commences when the asset is available for use as intended by management. Depreciation is charged to write off the asset's carrying amount over its estimated useful life to its estimated residual value, using a method that best reflects the pattern in which the asset's economic benefits are consumed by the Group. Leasehold property is depreciated in a consistent manner over the shorter of the expected useful life and the lease term. Depreciation is not charged to an asset if its estimated residual value exceeds or is equal to its carrying amount. Depreciation of an asset ceases at the earlier of the date that the asset is classified as held for sale or derecognized.

The useful lives of items of property, plant and equipment have been assessed as follows:

Item	Depreciation Method	Average useful life
Leasehold property	Straight line	3 Years
Other property	Straight line	10 – 20 Years
Plant and equipment	Straight line	3 – 8 Years
Furniture, fittings and office equipment	Straight line	3 – 10 Years
Motor vehicles	Straight line	4 – 5 Years
Trucks and trailers	Straight line	3 – 5 Years
Computer equipment	Straight line	3 – 5 Years

The residual value, useful life and depreciation method of each asset are reviewed at the end of each reporting year. If the expectations differ from previous estimates, the change is accounted for prospectively as a change in accounting estimate.

Impairment tests are performed on property, plant and equipment when there is an indicator that they may be impaired. When the carrying amount of an item of property, plant and equipment is assessed to be higher than the estimated recoverable amount, an impairment loss is recognised immediately in profit or loss to bring the carrying amount in line with the recoverable amount.

ACCOUNTING POLICIES (CONTINUED)

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its continued use or disposal. Any gain or loss arising from the derecognition of an item of property,

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its continued use or disposal. Any gain or loss arising from the derecognition of an item of property, plant and equipment, determined as the difference between the net disposal proceeds, if any, and the carrying amount of the item, is included in profit or loss when the item is derecognised.

9. Investments in subsidiaries

Company annual financial statements

In the Company's separate annual financial statements, investments in subsidiaries are carried at cost less any accumulated impairment.

10. Intangible Assets

An intangible asset is an identifiable, non-monetary asset without physical substance. An intangible asset is recognised when:

- it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity; and
- the cost of the asset can be measured reliably.

Intangible assets are initially recognised at cost. Intangible assets are subsequently carried at cost less any accumulated amortisation and any impairment losses. The Company does not have intangible assets with an indefinite useful life, all other intangible assets amortisation is provided on a straight-line basis over their useful life.

Expenditure on research (or on the research phase of an internal project) is recognised as an expense when it is incurred.

An intangible asset arising from development (or from the development phase of an internal project) is recognised when:

- it is technically feasible to complete the asset so that it will be available for use or sale.
- there is an intention to complete and use or sell it.
- there is an ability to use or sell it.
- it will generate probable future economic benefits.
- there are available technical, financial and other resources to complete the development and to use or sell the asset.
- the expenditure attributable to the asset during its development can be measured reliably.

The amortisation period and the amortisation method for intangible assets are reviewed every period-end.

Amortisation is provided to write down the intangible assets, on a straight-line basis, to their residual values as follows:

Item	Useful life
Marketing-related intangible assets	8 years
Contractual and non-contractual client relationship	5 years
Contract-based intangible assets	5 years
Integrated Circuits	5 years
Site master plan	10 years
Brand – CannAfrica	10 years
E-commerce system	5 years
Product and Strain development	10 years

Intangible assets are derecognised when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset is included in the profit or loss in the year the asset is derecognised.

11. Impairment of tangible assets and intangible assets

At each reporting date, the Group reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. Where it is not possible to estimate the recoverable amount of an individual asset, the Group estimates the recoverable amount of the cash-generating unit to which the asset belongs.

ACCOUNTING POLICIES (CONTINUED)

For the purposes of assessing impairment, assets are Grouped at the lowest levels for which there are largely independent cash inflows (cash-generating units). The Group reviews and tests the carrying value of assets when events or changes in circumstances suggest that the carrying amount may not be recoverable.

An impairment loss is recognised for the amount by which the assets or the cash-generating units carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs of disposal and its value in use.

12. Impairment of non-financial assets

An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount, the recoverable amount is the higher of an asset's fair value less costs of disposal and value in use. For the purposes of assessing impairment, assets are Grouped at the lowest levels for which there are largely independent cash inflows (cash-generating units). The Group reviews and tests the carrying value of assets when events or changes in circumstances suggest that the carrying amount may not be recoverable.

13. Goodwill

Initial recognition and measurement

Goodwill arising on the acquisition of subsidiaries represents the excess of the purchase consideration over the Group's interest in the fair value of the identifiable assets, liabilities and contingent liabilities recognised. Goodwill is recognised as an asset and initially measured at its cost.

Subsequent measurement

Goodwill is subsequently measured at cost less any accumulated impairment.

14. Financial instruments (IFRS 9)

Financial instruments held by the Group are classified in accordance with the provisions of IFRS 9 – Financial Instruments. Note 46 Financial instruments and risk management presents the financial instruments held by the Group based on their specific classifications.

The specific accounting policies for the classification, recognition and measurement of each type of financial instrument held by the Group are presented below:

Financial assets at amortised cost

Classification

Trade and other receivables (Note 14), Loans to Group companies (Note 11) and Cash and cash equivalents (Note 15) are classified as financial assets subsequently measured at amortised cost. They have been classified in this manner because the contractual terms of these financial assets give rise, on specified dates, to cash flows that are solely payments of principal and interest on the principal outstanding and the Group's business model is to collect the contractual cash flows on these financial assets.

Recognition and measurement

Trade and other receivables, Loans to Group companies, and Cash and cash equivalents are recognised when the Group becomes a party to the contractual provisions of the financial assets. The financial assets are measured, at initial recognition, at fair value plus transaction costs, if any. A trade receivable without a significant financing component is initially measured at the transaction price.

They are subsequently measured at amortised cost. The amortised cost is the amount recognised on the financial assets initially, minus principal repayments, plus cumulative amortisation (interest) using the effective interest method.

Impairment

The Group recognises a loss allowance for expected credit losses on all financial assets measured at amortised cost. The amount of expected credit losses is updated at each reporting date to reflect changes in credit risk since initial recognition of the respective amount.

The Group measures the loss allowance for trade receivables by applying the simplified approach which is prescribed by IFRS 9. In accordance with this approach, the loss allowance on trade receivables is determined as the lifetime expected credit losses on trade receivables.

The Group measures the loss allowance on a loan at an amount equal to lifetime expected credit losses (lifetime ECL) when there has been a significant increase in credit risk since initial recognition. If the credit risk on a loan has not increased significantly since initial recognition, the loss allowance for that loan is measured at 12 month expected credit losses (12-month ECL).

Lifetime ECL represents the expected credit losses that will result from all possible default events over the expected life of a financial asset. In contrast, 12-month ECL represents the portion of lifetime ECL that is expected to result from default events on a financial asset that are possible within 12 months after the reporting date.

ACCOUNTING POLICIES (CONTINUED)

In order to assess whether to apply lifetime ECL or 12-month ECL, in other words, whether or not there has been a significant increase in credit risk since initial recognition, the Group considers whether there has been a significant increase in the risk of a default occurring since initial recognition rather than at evidence of a loan being credit-impaired at the reporting date or of an actual default occurring.

Significant increase in credit risk

In assessing whether the credit risk on a financial asset has increased significantly since initial recognition, the Group compares the risk of a default occurring on the financial asset as at the reporting date with the risk of a default occurring as at the date of initial recognition.

The Group considers both quantitative and qualitative information that is reasonable and supportable, including historical experience and forward-looking information that is available without undue cost or effort. Forward-looking

information considered includes the future prospects of the industries in which the counterparties operate in, as well as consideration of various external sources of actual and forecast economic information, such as inflation, GDP, unemployment etc.

Irrespective of the outcome of the above assessment, the credit risk on a financial asset is always presumed to have increased significantly since initial recognition if the contractual payments are more than 90 days past due unless the Group has reasonable and supportable information that demonstrates otherwise.

The Group regularly monitors the effectiveness of the criteria used to identify whether there has been a significant increase in credit risk and revises them as appropriate to ensure that the criteria are capable of identifying significant increases in credit risk before the amount becomes past due.

By contrast, if a financial asset is assessed to have a low credit risk at the reporting date, it is assumed that the credit risk on the financial asset has not increased significantly since initial recognition. A financial asset is considered to have a low credit risk if there is a low risk of default based on the following definition of default.

Measurement and recognition of expected credit losses

The Group makes use of the loss rate approach as a practical expedient in the determination of the expected credit losses of trade and other receivables. When calculating the ECL for the receivables using the loss rate approach, the loss rate is an aggregate of the time value of money loss and ultimate losses (i.e. write offs).

IFRS 9 has a rebuttable presumption that default does not occur later than when a financial asset is 90 days past due unless an entity has reasonable and supportable information to demonstrate that a more lagging default criterion is more appropriate. The entity has applied 90 days past due as its definition of default.

The Time Value of Money (TVM) is the amount of money that is lost due to delayed payments. The receivables are discounted using the prime lending rate for South Africa. The TVM loss is calculated by determining the difference between the undiscounted receivable (net debtors) and the discounted receivables cash flow.

The monthly ultimate loss rate is calculated as the Time Value loss and provisions as a proportion of the initial Trade debtors.

Write-offs are amounts owed by customers that the entity no longer recognises because it is considered uncollectible or bad debt. An entity shall directly reduce the gross carrying amount of a financial asset when the entity has no reasonable expectations of recovering a financial asset in its entirety or a portion thereof. The amounts written off are still subject to legal action.

Credit risk

Details of credit risk related to financial assets are included in the specific notes and the financial instruments and risk management (Note 46).

Cash and cash equivalents

Cash and cash equivalents are initially measured at fair value, and subsequently stated at carrying amount, which is based on their amortised cost.

Financial liabilities at amortised cost

Classification

Trade and other payables (note 24), lease liabilities (note 20), loans to Group companies (note 12), other financial liabilities (note 21), contingent consideration (note 26.2) and bank overdraft (note 15) are classified as financial liabilities and subsequently measured at amortised cost, except for VAT and amounts received in advance included in trade and other payables which are not financial liabilities and are measured at cost.

Recognition and measurement

Financial liabilities are recognised when the Group becomes a party to the contractual provisions. The financial liabilities are measured at initial recognition at fair value plus transaction costs, if any.

They are subsequently measured at amortised cost using the effective interest method.

ACCOUNTING POLICIES (CONTINUED)

The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the financial liability or, where appropriate, a shorter period, to the amortised cost of a financial liability.

Bank overdrafts

Bank overdrafts are initially measured at fair value, and are subsequently measured at amortised cost, using the effective interest rate method.

Derecognition

Financial assets

The Group derecognises a financial asset only when the contractual rights to the cash flows from the assets expire or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another party. If the Group neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Group recognises its retained interest in the asset and an associated liability for amounts it may have to pay. If the Group retains substantially all the risks and rewards of ownership of a transferred financial asset, the Group continues to recognise the financial asset and also recognises a collateralised borrowing for the proceeds received.

Financial liabilities

The Group derecognises financial liabilities when, and only when, the Group obligations are discharged, cancelled or they expire. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable, including any non-cash assets transferred or liabilities assumed, is recognised in profit or loss.

15. Stated Capital

Ordinary shares

Ordinary shares are classified as equity. Any amounts received from the issue of shares in excess of par value is classified as 'share premium' under stated capital.

Treasury shares

The Group operated a share incentive scheme under which employees had the option to purchase shares in the Company. Shares in the share incentive scheme have been converted into treasury shares.

16. Capital contribution

Loans acquired at a discount as a result of business combinations have been accounted for as capital contribution in the holding Company.

17. Tax

Deferred tax assets and liabilities

A deferred tax liability is recognised for all taxable temporary differences, except to the extent that the deferred tax liability arises from the initial recognition of an asset or liability in a transaction which at the time of the transaction, affects neither accounting profit nor taxable profit or tax loss.

A deferred tax asset is recognised for all deductible temporary differences to the extent that it is probable that taxable profit will be available against which the deductible temporary difference can be utilised. A deferred tax asset is not recognised when it arises from the initial recognition of an asset or liability in a transaction at the time of the transaction, affects neither accounting profit nor taxable profit or tax loss.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the asset can be utilised. The carrying amount of deferred tax assets are reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the period when the asset is realised or the liability is settled, based on tax rates and tax laws that have been enacted or substantively enacted by the end of the reporting period.

Current tax assets and liabilities

Current tax for current and prior periods is, to the extent unpaid, recognised as a liability. If the amount already paid in respect of current and prior periods exceeds the amount due for those periods, the excess is recognised as an asset.

Current tax liabilities or assets for the current and prior periods are measured at the amount expected to be paid to or recovered from the tax authorities, using the tax rates and tax laws that have been enacted or substantively enacted by the end of the reporting period.

Tax expenses

Current and deferred taxes are recognised as income or an expense and are included in profit or loss for the period, except to the extent that the tax arises from a transaction or event which is recognised, in the same or a different period, to other comprehensive income or equity.

ACCOUNTING POLICIES (CONTINUED)

Current tax and deferred taxes are charged or credited to other comprehensive income if the tax relates to items that are credited or charged, in the same or a different period, to other comprehensive income.

Current tax and deferred taxes are charged or credited directly to equity if the tax relates to items that are credited or charged, in the same or a different period, directly in equity.

18. Leases-Group as lessee

The Group assesses whether a contract is a lease or contains a lease at the inception of the contract. A contract is a lease or contains a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

During the current reporting period, there were no significant judgments or sources of estimation uncertainty in determining whether a contract contains a lease.

Under IFRS 16 the group recognises right-of-use assets and lease liabilities for most leases, including operating leases. Majority of the leases are "on balance sheet". Where appropriate the group applies the recognition exemptions available for short-term leases of administrative and IT equipment as well as leases meeting the threshold for "low value" items. For these leases, the Group recognises the lease payments as an operating expense (Note 21) on a straight-line basis over the term of the lease unless another systematic basis is more representative of the time pattern in which economic benefits from the leased asset are consumed.

A lease liability and the corresponding right-of-use asset are recognised at the lease commencement date for all lease agreements for which the Group is a lessee. The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date.

Lease payments included in the measurement of the lease liability comprise the following:

- Fixed lease payments; and
- Variable lease payments that depend on an index or rate as initially measured using the index or rate at the commencement date.

The lease liability is presented as a separate line item on the Statement of Financial Position.

The lease liability is subsequently measured by increasing the carrying amount to reflect interest on the lease liability (using the effective interest method) and by reducing the carrying amount to reflect lease payments made. Interest charged on the lease liability is included in finance costs (Note 33).

Right-of-use assets

Lease payments included in the measurement of the right-of-use asset comprise the initial amount of the corresponding lease liability. Right-of-use assets are subsequently measured at cost less accumulated depreciation and impairment losses.

Right-of-use assets are depreciated over the shorter period of lease term and useful life of the underlying asset. Depreciation starts at the commencement date of a lease.

For right-of-use assets which are depreciated over their useful lives, the useful lives are presented in the following table:

Item (straight line method)	Years
Buildings	5 years
Motor vehicles	5 years

The residual value, useful life and depreciation method of each asset are reviewed at the end of each reporting year. If the expectations differ from previous estimates, the change is accounted for in the year in which the difference occurs or prospectively as a change in accounting estimate whichever is the more appropriate given the circumstance that give rise to the change in expectations. The depreciation charge for each year is recognised in profit or loss.

19. Inventories

Inventories consists of merchandise for resale and raw materials and is valued at the lower of cost determined on a unit cost basis and net realisable value. Raw materials, consumables, work in progress and finished goods are valued at the lower of cost and net realisable value on a first-in first-out basis. Work-in-progress and finished goods include an allocation of fixed direct overheads based on normal levels of capacity. When necessary, allowance is made for obsolete, slow moving and defective inventories. The allowance for slow moving inventory is made based on the reliable evidence of the amount the inventories are expected to realise considering price fluctuations, possible damage to stock, technological obsolescence and previous sales trends.

The cost of inventories comprises of all costs of purchase and other costs incurred in bringing the inventories to their present location and condition.

ACCOUNTING POLICIES (CONTINUED)

20. Employee benefits

Short-term employee benefits

The cost of short-term employee benefits, (those payable within 12 months after the service is rendered, such as paid vacation leave and sick leave, bonuses, and non-monetary benefits such as medical aid), are recognised in the period in which the service is rendered and are not discounted.

The expected cost of compensated absences is recognised as an expense as the employees render services that increase their entitlement or, in the case of non-accumulating absences, when the absence occurs.

The expected cost of profit sharing and bonus payments is recognised as an expense when there is a legal or constructive obligation to make such payments as a result of past performance.

Defined contribution plans

The Company and its subsidiaries contribute to defined contribution retirement plans. A defined contribution plan is a pension plan under which the Group pays fixed contribution into a separate account and will have no legal or construction obligation to pay further contributions if the funds do not hold sufficient assets to pay all employee's benefits relating to employee service in the current and prior period.

Payments to defined contribution retirement benefit plans are charged as an expense as they fall due.

21. Provisions and contingencies

Provisions are recognised when:

- the Group has a present obligation as a result of a past event;
- it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation; and
- a reliable estimate can be made of the obligation.

The amount of a provision is the present value of the expenditure expected to be required to settle the obligation.

Where some or all of the expenditure required to settle a provision is expected to be reimbursed by another party, the reimbursement shall be recognised when, and only when, it is virtually certain that reimbursement will be received if

the entity settles the obligation. The reimbursement shall be treated as a separate asset. The amount recognised for the reimbursement shall not exceed the amount of the provision.

Contingent assets and contingent liabilities are not recognised. Contingencies are disclosed in note 42.

22. Revenue from contracts with customers

The performance obligation with respect to the sale of goods is recognised when the Group entity has delivered its products to the customer, or the products have been collected by the customer, and there is no unfulfilled obligation that could affect the customer's acceptance of the product. Delivery does not occur until the products have been delivered to the specified location, the risks of obsolescence and loss have been transferred to the customer, and either the customer has accepted the products in accordance with the sales contract, the acceptance provisions have lapsed or the Group has objective evidence that all criteria for acceptance have been satisfied. The Group does not have any obligations for returns or refunds at year end.

The Group recognises revenue from the following major sources:

Sale of goods

- Information technology sales
- Fuel and Oil Sales (2020)
- Medical Cannabis

Rendering of services

- Bulk Logistics Services
- Management and guarantee fees

To determine whether to recognise revenue, the Group follows a 5-step process:

1. Identifying the contract with a customer
2. Identifying the performance obligations
3. Determining the transaction price
4. Allocating the transaction price to the performance obligations
5. Recognising revenue when/as performance obligation(s) are satisfied.

ACCOUNTING POLICIES (CONTINUED)

Revenue Recognition

Revenue from contracts with customers in sale of fuel and oil, medical cannabis and information technology

Revenue is measured based on the consideration specified in a contract with a customer and excludes amounts collected on behalf of third parties.

Revenue is recognised when the performance obligation relating to each specific contract has been satisfied. Performance obligations are satisfied at a point in time, when the customer takes delivery of the goods.

Contracts with customers may include transaction prices that have variable considerations. The variable amount is estimated at the inception of the contract and revenue is recognised at the estimated amount throughout the duration of the contract. When the uncertainty is resolved, the entity allocates the difference to revenue accordingly. A variable consideration is only recognised to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognised will not occur when the uncertainty associated with the variable consideration is subsequently resolved.

The transaction price is allocated to each performance obligation in a contract on a relative stand-alone selling price basis where contracts have more than one performance obligation. Where discounts are issued on contracts that consist of more than one performance obligation, the Group allocates the discount to each performance obligation separately. In some instances, the Group provides multiple services to customers in a single contract. Where it is the intention of the Group to provide an end to end solution, these are considered as an integrated set of activities and treated as a single performance obligation.

Bulk logistics services

The Group renders logistics services related to storage, management, receiving, transportation, distribution and discharge of goods. There is a single performance obligation which is an integrated set of activities which is satisfied over time.

The performance obligations relating to transport services that are satisfied over time are measured based on the transport distance covered as compared to the total transport distance of the specific contract. Given the nature of the contracts completed over time, this method provides a faithful depiction of the transfer of services for performance obligations satisfied over time.

Management fees and guarantee fees

The holding Company provides administrative services and provide certain financial guarantee obligations to its subsidiaries. The performance obligations are met and revenue is recognized where the services are provided over a period of time during the year. The transaction price is agreed annually between the companies in accordance with the services provided.

Disaggregation of revenue

The disaggregation of revenue from each category is presented in Note 28 of the Consolidated Annual Financial Statements.

Deferred Revenue

If a customer transfers any consideration before the Group transfers any corresponding goods or services, the amount received is disclosed separately as a contract liability. Contract liabilities are disclosed as Deferred Revenue note 28.

23. Cost of sales

When inventories are sold, the carrying amount of those inventories is recognised as an expense in the period in which the related revenue is recognised. The amount of any write-down of inventories to net realisable value and all losses of inventories are recognised as an expense in the period the write-down or loss occurs. The amount of any reversal of any write-down of inventories, arising from an increase in net realisable value, is recognised as a reduction in the amount of inventories recognised as an expense in the period in which the reversal occurs.

The related cost of providing services recognised as revenue in the current period is included in cost of sales.

24. Leases (Group as lessor)

Leases for which the Group is a lessor are classified as finance or operating leases. Whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee, the contract is classified as a finance lease. All other leases are classified as operating leases. Lease classification is made at inception and is only reassessed if there is a lease modification.

The various lease and non-lease components of contracts containing leases are accounted for separately, with consideration being allocated by applying IFRS 15.

Operating leases

Lease payments from operating leases are recognised on a straight-line basis over the term of the relevant lease, or on another systematic basis if that basis is more representative of the pattern in which the benefits from the use of the underlying asset are diminished. Operating lease income is included in revenue (note 36).

Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and are expensed over the lease term on the same basis as the lease income.

Modifications made to operating leases are accounted for as a new lease from the effective date of the modification. Any prepaid or accrued lease payments relating to the original lease are treated as part of the lease payments of the new lease.

ACCOUNTING POLICIES (CONTINUED)

25. Finance income

Income is recognised as interest accrues using the effective interest rate method (the rate that exactly discounts estimated future cash receipts through the expected life of the financial instruments to the net carrying amount of the financial asset). Interest is recognised, in profit or loss, using the effective interest rate method.

26. Borrowing costs

No qualifying assets therefore all other borrowing costs are recognised as an expense in the period in which they are incurred.

27. Translation of foreign currencies

Foreign currency transactions

A foreign currency transaction is recorded, on initial recognition in Rand, by applying to the foreign currency amount the spot exchange rate between the functional currency and the foreign currency at the date of the transaction. At the end of the reporting period:

- foreign currency monetary items are translated using the closing rate.

Exchange differences arising on the settlement of monetary items or on translating monetary items at rates different from those at which they were translated on initial recognition during the period or in previous consolidated annual financial statements are recognised in profit or loss in the period in which they arise.

Cash flows arising from transactions in a foreign currency are recorded in Rand by applying to the foreign currency amount the exchange rate between the Rand and the foreign currency at the date of the cash flow.

28. Segment reporting

The Group determines and presents segments based on the information that is internally provided to the Chief Executive Officer, who is the chief operating decision maker.

An operating segment is a component of the Group that:

- engages in business activities from which it may earn revenues and incur expenses, including revenue and expenses that relate to transactions with any of the Group's other components;
- whose operating results are regularly reviewed by the Chief Executive Officer; and
- for which financial information is available

No secondary geographical segment analysis has been included as geographical location does not play a significant role in the Group's operations and thus this information will not be beneficial.

IFRS 8 requires an entity to report financial and descriptive information about its reportable segments, which are operating segments or aggregations of operating segments that meet specific criteria. Operating segments are components of an entity about which separate financial information is available that is evaluated regularly by the Chief Operating Decision Maker ("CODM"). The Chief Executive Officer is the Chief Operating Decision Maker of the Group.

All revenues from external customers originate in South Africa. Our geographical locations of operations are therefore restricted to a single area, namely South Africa.

No single customer makes up more than 10% of the Group's revenue.

29. Earnings per share and headline earnings per share

The Group presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period, adjusted for own shares held. Diluted EPS is determined by adjusting the profit or loss attributed to ordinary shareholders and the weighted average number of ordinary shares outstanding, adjusted for own shares held, for the effects of all dilutive potential ordinary shares held.

Headline earnings is earnings as determined by IAS 33, adjusted for 'separately identifiable re-measurements' (as defined in SAICA Circular 1/2021), net of related tax (both current and deferred) and related non-controlling interest.

ACCOUNTING POLICIES (CONTINUED)

2. New Standards and Interpretations

2.1 Standards and interpretations effective and adopted in the current year

In the current year, the Group has adopted the following standards and interpretations that are effective for the current financial year and that are relevant to its operations.

There was no material impact on the implementation of any of these standards.

Standard/ Interpretation:	Effective date: Years beginning on or after
Definition of a business – Amendments to IFRS 3	01 January 2020
Presentation of Financial Statements: Disclosure initiative – IAS 1	01 January 2020
Accounting Policies, Changes in Accounting Estimates and Errors: Disclosure initiative – IAS 8	01 January 2020

2.2 Standards and interpretations not yet effective

The Group has chosen not to early adopt the following standards and interpretations, which have been published and are mandatory for the Group's accounting periods beginning on or after 01 September 2021 or later periods. These standards will be implemented in the applicable year for which they are mandatory.

There is unlikely to be a material impact on the future implementation of any of these standards.

Standard/ Interpretation:	Effective date: Years beginning on or after
Deferred tax related to assets and liabilities arising from a single transaction – Amendments to IAS 12	01 January 2023
Disclosure of accounting policies: Amendments to IAS 1 and IFRS Practice Statement 2 to disclose material policies rather than significant policies.	01 January 2023
Definition of accounting estimates: Amendments to IAS 8	01 January 2023
Classification of Liabilities as Current or Non-Current – Amendment to IAS 1	01 January 2023
Annual Improvement to IFRS Standards 2018-2020 – Amendments to IFRS 1	01 January 2022
Reference to the Conceptual Framework – Amendments to IFRS 3	01 January 2022
Annual Improvement to IFRS Standards 2018-2020 – Amendments to IFRS 9 – fees and costs to be included when applying the "10 percent" test for purposes of derecognition	01 January 2022
Property, Plant and Equipment: Proceeds before Intended Use – Amendments to IAS 16	01 January 2022
Onerous Contracts – Cost of Fulfilling a Contract – Amendments to IAS 37	01 January 2022
COVID-19 – Related Rent Concessions – Amendment to IFRS 16	01 April 2021

NOTES TO THE CONSOLIDATED AND SEPARATE ANNUAL FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 AUGUST 2021

3. Property, plant and equipment

Group	2021			2020		
	Cost / Valuation	Accumulated depreciation	Carrying value	Cost / Valuation	Accumulated depreciation	Carrying value
	R'000	R'000	R'000	R'000	R'000	R'000
Leasehold properties	428	(350)	78	428	(330)	98
Plant and equipment	5 085	(4 765)	320	5 085	(4 635)	450
Motor vehicles	159	(30)	129	-	-	-
Furniture and fixtures	9	(3)	6	-	-	-
Computer equipment	419	(252)	167	265	(230)	35
Total	6 100	(5 400)	700	5 778	(5 195)	583

Property, plant and equipment

Company	2021			2020		
	Cost / Valuation	Accumulated depreciation	Carrying value	Cost / Valuation	Accumulated depreciation	Carrying value
	R'000	R'000	R'000	R'000	R'000	R'000
Computer equipment	204	(42)	162	55	(23)	32
Total	204	(42)	162	55	(23)	32

Reconciliation of property, plant and equipment – Group – 2021

	Opening Balance	Business Combinations	Additions	Reclassification	Deconsolidation	Depreciation	Closing balance
	R'000	R'000	R'000	R'000	R'000	R'000	R'000
Leasehold properties	98	-	-	-	-	(20)	78
Plant and equipment	450	-	-	-	-	(130)	320
Furniture & fixtures	-	6	-	-	-	-	6
Motor vehicles	-	159	-	-	-	(30)	129
Computer equipment	35	-	152	-	-	(20)	167
Total	583	165	152	-	-	(200)	700

Reconciliation of property, plant and equipment – Group – 2020

	Opening Balance	Business Combinations	Additions	Reclassification	Deconsolidation	Depreciation	Closing balance
	R'000	R'000	R'000	R'000	R'000	R'000	R'000
Leasehold properties	183	-	-	-	-	(85)	98
Other properties	12 673	-	2 327	-	(14 719)	(281)	-
Plant and equipment	3 086	-	49	-	(1 974)	(711)	450
Furniture & fixtures	7	-	-	-	(7)	-	-
Motor Vehicles	10 560	-	1 765	(2 897)	(7 056)	(2 372)	-
Office equipment	498	-	-	-	(359)	(139)	-
Computer equipment	83	-	33	-	(63)	(18)	35
Total	27 090	-	4 174	(2 897)	(24 178)	(3 606)	583
Note				4	23		

NOTES TO THE CONSOLIDATED AND SEPARATE ANNUAL FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 AUGUST 2020 (CONTINUED)

Reconciliation of property, plant and equipment – Company – 2021

	Opening Balance R'000	Additions R'000	Disposals R'000	Depreciation R'000	Reclassification R'000	Total R'000
Motor vehicles	-	-	-	-	-	-
Computer equipment	32	148	-	(18)	-	162
Total	32	148	-	(18)	-	162

Reconciliation of property, plant and equipment – Company – 2020

	Opening Balance R'000	Additions R'000	Disposals R'000	Depreciation R'000	Reclassification R'000	Total R'000
Motor vehicles	2 897	-	-	-	(2 897)	-
Computer equipment	2	30	-	-	-	32
Total	2 899	30	-	-	(2 897)	32

There were no contractual commitments for the acquisition of property, plant and equipment at 31 August 2021.

A register containing the information required by Regulation 25(3) of the Companies Regulations, 2011 is available for inspection at the registered office of the Company.

Valuation process of the Group

It is the Group's policy for management to perform a valuation every year of certain plant and equipment. The current fair value of revalued assets did not differ materially from their carrying values.

The following table discloses the valuation technique used in measuring the fair value of the Group's plant and equipment, as well as significant inputs used:

Property, plant and equipment at fair value

Fair value measurements are categorised into Level 1, 2 or 3 based on the degree to which the inputs to the fair value measurements are observable and the significance of the inputs to the fair value measurement in its entirety, which are described as follows:

- Level 1 inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date;
- Level 2 inputs are inputs, other than quoted prices included within Level 1, that are observable for the asset or liability, either directly or indirectly; and
- Level 3 inputs are unobservable inputs for the asset or liability.

The following non-financial assets were recognised at fair value:

	2021 R'000	2020 R'000
Plant and equipment		
Opening balance	450	580
Depreciation	(217)	(130)
Fair value closing balance	233	450
Fair value hierarchy	Level 3	Level 3
Valuation technique	Discounted cash flow	Discounted cash flow

NOTES TO THE CONSOLIDATED AND SEPARATE ANNUAL FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 AUGUST 2021 (CONTINUED)

Valuation technique	Significant unobservable inputs 2021	Significant unobservable inputs 2020
Discounted production unit cost: The valuation model considers the present value of the net cash flows, calculated over a five year period, to be generated from the sale of the production units taking into account expected volumes and revenue growth. The expected cash flows are discounted using a discount rate as determined by management.		
	Growth rate of 3% pa	Growth rate of 6% pa
	Discount rate of 17% pa	Discount rate of 12% pa
	Production unit increase rate of 4% pa	Production unit increase rate of 8% pa

If the growth rate, discount rate and production rate increase or decrease by 1% the effect on the fair value of the revalued assets will be immaterial. The discount rate used is 17% which reflects the increase in risk as a result of COVID-19.

The carrying value of the plant and machinery under the cost model would have been Nil as at year end.

There is a direct inter-related relationship between the revenue growth and the expected production, impacting fair value measurement, where changes in the unobservable inputs are directly correlated.

4. Right of Use of Assets

Details of the lease agreements are outlined in note 21 (Lease liabilities).

Reconciliation of right-of-use assets – Group – 2021

	Opening Balance R'000	Initial recognition R'000	Additions R'000	Reclassification R'000	Depreciation R'000	Closing balance R'000
Buildings	2 947	-	3 017	-	(990)	4 974
Motor vehicles	3 866	-	-	-	(906)	2 960
Total	6 813	-	3 017	-	(1 896)	7 934

Reconciliation of right-of-use assets – Group – 2020

	Opening Balance R'000	Initial recognition R'000	Additions R'000	Reclassification R'000	Depreciation R'000	Closing balance R'000
Buildings	-	3 224	-	-	(277)	2 947
Motor vehicles	-	-	1 584	2 897	(615)	3 866
Total	-	3 224	1 584	2 897	(892)	6 813

Reconciliation of right-of-use assets – Company 2021

	Opening Balance R'000	Initial recognition R'000	Additions R'000	Reclassification R'000	Depreciation R'000	Closing balance R'000
Buildings	2 482	-	-	-	(277)	2 205
Motor vehicles	3 866	-	-	-	(904)	2 962
Total	6 348	-	-	-	(1 181)	5 167

NOTES TO THE CONSOLIDATED AND SEPARATE ANNUAL FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 AUGUST 2021 (CONTINUED)

Reconciliation of right-of-use assets – Company 2020

	Opening Balance R'000	Initial recognition R'000	Additions R'000	Reclassification R'000	Depreciation R'000	Closing balance R'000
Buildings	-	2 759	-	-	(277)	2 482
Motor Vehicles	-	-	1 584	2 897	(615)	3 866
Total	-	2 759	1 584	2 897	(892)	6 348

5. Goodwill

Group	2021			2020		
	Cost R'000	Accumulated impairment R'000	Carrying value R'000	Cos T R'000	Accumulated impairment R'000	Carrying value R'000
Goodwill	-	-	-	80 350	(80 350)	-
Total	-	-	-	80 350	(80 350)	-

The carrying amount of goodwill is allocated to the cash generating units (CGUs) as follows:

Reconciliation of goodwill – 2020

	Opening Balance R'000	Additions through business combinations R'000	Impairment loss R'000	Total R'000
Goodwill (Force Fuel CGU)	30 430	-	(30 430)	-

Goodwill Impairment – Force Fuel CGU (2020)

The Group is required to test, on an annual basis, whether goodwill has suffered any impairment. The recoverable amount is determined based on value in use calculations. The use of this method requires the estimation of future cash flows and the determination of a discount rate in order to calculate the present value of the cash flows.

During the 2020 financial year, two of the operating units in the Group went into business rescue. The two entities were Force Fuel and Force Fuel Properties. This had an adverse impact on the projected value in use of the operations concerned and consequently resulted in an impairment to goodwill of R30.4 million.

No further impairment adjustments to goodwill were necessary due to business combinations in prior years.

Impairment testing

For the purpose of annual impairment testing, goodwill is allocated to the cash generating unit expected to benefit from the synergies of the business combinations in which the goodwill arises as set out below, and is compared to its recoverable value:

The recoverable amount of each cash generating unit was determined based on value-in-use calculations, covering a detailed three-year forecast, followed by an extrapolation of expected cash flows for the remaining useful lives using a declining growth rate determined by management. The present value of the expected cash flows of each segment is determined by applying a suitable discount rate reflecting current market assessments of the time value of money and risks specific to the segment.

Growth rates

The growth rates reflect the average growth rates for the product lines and industries of the segments. The growth rate applied in 2020 was 0%.

Discount Rates

The discount rates reflect appropriate adjustments relating to market risk and specific risk factors of each segment. The discount rate applied in 2020 was 17%.

The value in use of the business was determined by discounting the future cash flows generated from the continuing use of the business, based on the following key assumptions:

NOTES TO THE CONSOLIDATED AND SEPARATE ANNUAL FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 AUGUST 2021 (CONTINUED)

Cash flow assumptions Force Fuel CGU (2020)

The forecast was adjusted in 2020 for the continued decline in the fuel business related to decrease in margins as a result of illicit fuel trade in South Africa and a resulting strain on working capital. The wholesale fuel industry market had a negative impact during the 2019 and 2020 years due to adverse trading conditions and severe shortage of fuel experienced during 2020. As a result, management expects lower growth and moderately declining profit margins for this segment. It was difficult to project growth forecasts over longer periods, given the impact that the Covid-19 pandemic had on the fuel segment.

Impairment testing, taking into account these latest developments, resulted in the full reduction of goodwill in 2020 to R nil.

The goodwill impairment loss for the 2020 financial year was R30.43 million. The estimate of recoverable amount for the fuel segment is particularly sensitive to the discount rate. If the assumptions used above were increased or decreased by 1% it would still result in the impairment loss of R30.43 million for the 2020 financial year.

6. Intangible assets

Group	2021			2020		
	Cost R'000	Accumulated amortisation R'000	Carrying value R'000	Cost R'000	Accumulated amortisation R'000	Carrying value R'000
Contractual and non-contractual client relationship	103 499	(40 252)	63 247	103 756	(19 022)	84 734
Intellectual property: integrated circuits	8 068	-	8 068	6 508	-	6 508
Site Master Plan	409	(78)	331	409	(37)	372
Brands	22 363	(2 307)	20 056	14 186	(549)	13 637
E-Commerce system	20 713	(6 559)	14 154	20 713	(2 417)	18 296
Product and Strain development	11 564	(1 072)	10 492	-	-	-
Total	166 616	(50 268)	116 348	145 572	(22 025)	123 547

Reconciliation of intangible assets – 2021

Group	2021					
	Opening balance R'000	Additions R'000	Business Combinations R'000	Reclassification R'000	Amortisation R'000	Total R'000
Contractual and non-contractual client relationship	84 734	-	-	(257)	(21 230)	63 247
Intellectual property: integrated circuits	6 508	1 560	-	-	-	8 068
Site Master Plan	372	-	-	-	(41)	331
Brands	13 637	-	8 177	-	(1 758)	20 056
E-Commerce system	18 296	-	-	-	(4 142)	14 154
Product and Strain development	-	-	11 564	-	(1 072)	10 492
Total	123 547	1 560	19 741	(257)	(28 243)	116 348

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FOR THE PERIOD ENDED 31 AUGUST 2021 (CONTINUED)

Reconciliation of intangible assets – 2020

Group	Opening balance	Additions	Business Combinations	Impairment	Amortisation	Total
	R'000	R'000	R'000	R'000	R'000	R'000
Market-related intangible assets	21 602	-	-	(21 602)	-	-
Contractual and non-contractual client relationship	3 928	-	103 756	(3 928)	(19 022)	84 734
Contract-based intangible assets	3 928	-	-	(3 928)	-	-
Intellectual property: integrated circuits	4 573	1 935	-	-	-	6 508
Site Master Plan	-	-	409	-	(37)	372
Brands	-	4 780	9 406	-	(549)	13 637
E-Commerce system	-	-	20 713	-	(2 417)	18 296
Total	34 031	6 715	134 284	(29 458)	(22 025)	123 547

During the current financial year the business combination yielded intangible assets of R19.7 million. These are all related to the medical cannabis industry. In keeping with developments within the medical cannabis industry, the business model follows that there are huge development costs being incurred in the start-up phase, which are expected to yield sustainable earnings in future years. As such, the free cashflow models tested for impairment did not warrant an impairment of any of the intangible assets. They were all amortised accordingly at the prevailing rates, in line with the expected useful lives.

Additions to internally developed integrated circuits include capitalised costs of R1.6 million (2020:R1.9 million).

During the prior year, the Group acquired two new businesses in the medical cannabis industry, i.e., THC and CannAfrica. The details and related costs for THC entered into an agreement to acquire the associated sales off-take agreement for medical cannabis to be supplied to the European Union, and a unique site master plan that was secured under THC.

The CannAfrica business acquired included unique Brand for the business and dedicated E-Commerce system and related software platform.

Amortisation of intangibles assets

Intangible assets have been amortized at the rates stipulated in the accounting policy, note number 1.10.

Pledged as security

No intangible assets were pledged as security.

Contractual commitments

The Group has no contractual commitments for the acquisition of intangible assets.

Impairment of intangibles

An impairment loss of R nil million (2020: R29.5 million) was recognised for all the intangible asset categories due to Force Fuel being placed under voluntary business rescue. (Refer to note 5 for the growth and discount rates used).

7. Business Combinations

Current Year Acquisitions

BioData

Labat acquired 70% of the shares in BioData. As a result, BioData became a subsidiary with the effective date of consolidation of 1 September 2020.

This business combination enhances Labat Healthcare's plans to realise its strategy of an end-to-end integrated Healthcare offering.

The investment in BioData was accounted for at fair value of the consideration payable. The business combination is disclosed below:

BioData is a revolutionary medical science and research organisation which was acquired by Labat and will be utilised to drive research and development of Labat Africa's Cannabis products for the market. BioData has, and continues to, conduct medical research and clinical trials involving various cannabinoids. BioData has an exclusivity agreement with Canadian medicinal cannabis Company to exclusively distribute THC and CBD medicines in South Africa. The products are currently being registered with SAHPRA.

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Figures in R'000	Reported 28 February 2021	Reported 31 August 2021	Difference
Property, plant and equipment	8	8	-
Intangible assets	-	16 352	16 352
Deferred taxation	-	(4 580)	(4 580)
Inventory	19	19	-
Other financial assets	6	6	-
Trade and other receivables	38	38	-
Cash and cash equivalents	37	37	-
Trade and other payables	(84)	(84)	-
Total identifiable net assets/(liabilities)	24	11 796	11 772
Non-controlling interest	17	(3 526)	(3 543)
Bargain purchase	-	(770)	(770)
Goodwill	7 459	-	(7 459)
Purchase consideration	7 500	7 500	-

The following highlight the results for the financial year since acquisition and if the business was acquired at the beginning of the financial year.

Figures in R'000	Since Acquisition 1 September 2020	Full year results
Revenue	499	499
Profit / (Loss) after tax	(10)	(10)

At the time of our half – year reporting for the period ending 28 February 2021 the valuation for the business acquisition was not completed. This required additional work and the results were concluded as at year end. As a result, the business identified the clinical trials as a key enabler in medical cannabis research upon which a detailed forecast model was based upon.

Based on the additional assets identified at acquisition, being the intangible assets (note 6), and the resultant deferred taxation thereon, the resultant effect of the PPA allocation resulted in a bargain purchase amount of R770k.

Intangible assets allocated to operating segments	2021 R'000
BioData product development	8 176
BioData Brands	8 176
Total BioData intangible assets	16 352

The recoverable amount of each segment was determined based on value-in-use calculations, covering a detailed five-year forecast, followed by an extrapolation of expected cash flows for the remaining useful lives using a declining growth rate determined by management. The present value of the expected cash flows of each segment is determined by applying a suitable discount rate reflecting current market assessments of the time value of money and risks specific to the segment.

The value in use of the business was determined by discounting the future cash flows generated from the continuing use of the business, based on the following key assumptions:

	Growth Rates	Discount rates
	2021	2021
BioData CGU	6.91%	20.07%

Growth rates

The growth rates reflect the average growth rates for the product lines and industries of the segments.

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Discount Rates

The discount rates reflect appropriate adjustments relating to market risk and specific risk factors of each of the medical cannabis industry segment.

Ace Genetics

In December 2020 the Company announced the acquisition all the shares in African Cannabis Enterprises (Ace Genetics). As a result, Ace Genetics became a subsidiary with the effective date of consolidation of 4 December 2020.

The acquisition enhances Labat Healthcare's plans to realise its strategy of an end-to-end integrated Healthcare offering that is well positioned to service international markets with the in-demand strains that Ace Genetics possesses

The investment in Ace Genetics was accounted for at fair value of the consideration payable. The business combination is disclosed below:

Figures in R'000	Reported 28 February 2021	Reported 31 August 2021	Difference
Property, plant and equipment	159	159	-
Intangible assets	-	3 387	3 387
Deferred taxation	-	(948)	(948)
Inventory	1 511	1 511	-
Cash and cash equivalents	1	1	-
Total identifiable net assets/(liabilities)	1 671	4 110	2 439
Bargain purchase	-	(2 306)	(2 306)
Goodwill	133	-	(133)
Purchase consideration	1 804	1 804	-

The following highlight the results for the financial year since acquisition and if the business was acquired at the beginning of the financial year.

Figures in R'000	Since Acquisition 4 December 2020	Full year results
Revenue	-	-
Profit / (Loss) after tax	(287)	(287)

At the time of our half – year reporting for the period ending 28 February 2021 the valuation for the business acquisition was not completed. This required additional work and the results were concluded as at year end. As a result, the business identified the unique development of the cannabis strains as a key enabler in product supply under the offtake agreement upon which a detailed forecast model was based upon.

Based on the additional assets identified at acquisition, being the intangible assets, the resultant deferred taxation thereon and inventory at fair value, the acquisition resulted in a bargain purchase of R2.3 million, which can mainly be attributed to the strain development and interest in the medical cannabis market.

Intangible assets allocated to operating segments	2021 R'000
Ace Genetics strain development	3 387

The recoverable amount of each segment was determined based on value-in-use calculations, covering a detailed five-year forecast, followed by an extrapolation of expected cash flows for the remaining useful lives using a declining growth rate determined by management. The present value of the expected cash flows of each segment is determined by applying a suitable discount rate reflecting current market assessments of the time value of money and risks specific to the segment.

The value in use of the business was determined by discounting the future cash flows generated from the continuing use of the business, based on the following key assumptions:

	Growth Rates 2021	Discount rates 2021
Ace Genetics CGU	6.91%	20.07%

Growth rates

The growth rates reflect the average growth rates for the product lines and industries of the segments.

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FOR THE PERIOD ENDED 31 AUGUST 2021 (CONTINUED)

Discount Rates

The discount rates reflect appropriate adjustments relating to market risk and specific risk factors of each of the medical cannabis industry segment.

Contingent consideration

	GROUP		Company	
	2021	2020	2021	2020
	R'000	R'000	R'000	R'000
Current liabilities	900	-	900	-
	900	-	900	-

There are a total number of 900 000 shares that are Potential Ordinary Shares (POS) as a consequence of a share option resulting from the purchase of Ace Genetics. The Company has an obligation to repurchase 900 000 shares at R1.00 per share, in the event that the share price does not reach R1.00 on or before 02 December 2021, that is related to the acquisition of Ace Genetics. The contingent consideration is governed by the terms and conditions of the agreement giving effect to the acquisition of Ace Genetics.

There were no other acquisitions or disposals during the period under review.

Bargain purchase consideration

Both BioData and Ace Genetics businesses were acquired independently from each other. However, they both are within the medical cannabis business model, which in the group's opinion, were undervalued at the time of acquisition.

Prior Year Acquisitions

The Highly Creative (Pty) Ltd (THC) and CannAfrica (Pty) Ltd

In November 2019 the Group announced the acquisition of 70% of the shares in CannAfrica and 100% of the shares in THC. As a result, THC and CannAfrica became subsidiaries with the effective date of consolidation of 1 November 2019 and 1 February 2020 respectively. The acquisitions were made to enhance the Group's position in the medical cannabis market for expansion in South Africa and the European Union.

THC is not operational as yet, with sales in terms of the off-take agreement only expected to commence during the year ending 31 August 2022.

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FOR THE PERIOD ENDED 31 AUGUST 2021 (CONTINUED)

Through these business combinations, Labat Healthcare aims to realise its strategy of an end-to-end integrated medical healthcare offering. Labat will leverage each Company's individual and collective divisional strengths to their maximum potentials.

Reconciliation of business combinations 2020

	THC R'000	CannAfrica R'000	Total R'000
Intangible assets	104 167	30 118	134 285
Deferred tax liability	(29 167)	(8 433)	(37 600)
Other	-	(256)	(256)
Total identifiable net assets/(liabilities)	75 000	21 429	96 429
Non-controlling interest	-	(6 429)	(6 429)
Purchase consideration(*)	75 000	15 000	90 000

Consideration Transferred (*)

Current year -2021

- The acquisition of BioData was settled by the issue of 7.5 million Labat shares at R1 per share totalling R7.5 million.
- The acquisition of Ace Genetics was settled by the issue of 1.804 million Labat shares at R1 per share totalling R1.804 million.

Prior year -2020

- The acquisition of THC was settled by the issue of 75 million Labat shares at R1 per share totalling R75 million.
- The acquisition of CannAfrica was settled by the issue of 15 million Labat shares at R1 per share totalling R15 million.

Identifiable net assets

Judgement was used when determining the purchase price allocation of the businesses acquired, specifically with respect to intangible assets. Independent experts were used in 2020 using a 2 phase approach to determine the results on the actual valuation of such assets as part of the overall purchase price allocation. A similar process was adopted in the 2021 year by management. Management applied significant judgement in determining the future cashflows and the applicable discount rates. These growth rates and discount rates are highlighted above in this note for each of the acquisitions done during the year.

Receivables acquired

The receivables acquired are stated at the contractual amounts and approximate fair value.

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FOR THE PERIOD ENDED 31 AUGUST 2021 (CONTINUED)

8. Investment in subsidiaries

Name of Company	Issued share capital	Profit / (Loss) after tax		% Holding		Carrying Value	
		2021	2020	2021	2020	2021	2020
	R'000	R'000	R'000		R'000	R'000	R'000
South African Micro Electronic Systems (Pty) Limited & ICDC	8 368	16 937	4 907	100%	100%	202	202
The Highly Creative (Pty) Ltd "THC"	-	(2 352)	(5 040)	100%	100%	75 000	75 000
CannAfrica (Pty) Ltd	-	61	(856)	70%	70%	15 000	15 000
BioData (Pty) Ltd	-	(10)	-	70%	-	7 500	-
African Cannabis Enterprises (Pty) Ltd	1	(287)	-	100%	-	1 804	-
Labat Investments Namibia (Pty) Ltd	-	-	-	100%	100%	-	-
Force Fuel (Pty) Ltd	5 000	-	(76 461)	100%	100%	-	-
Force Fuel Properties (Pty) Ltd	-	-	4 732	100%	100%	-	-
Sub total						99 506	90 202

There are no significant restrictions to the Group in respect of the ability to access assets and liabilities of the subsidiaries.

9. Deferred tax

	GROUP		Company	
	2021	2020	2020	2019
	R'000	R'000	R'000	R'000
Property plant and equipment	(70)	(113)	-	-
Leases	29	7	-	-
Leave pay provision	90	105	-	-
Tax Losses	17 763	17 305	-	-
Intangible assets	(30 686)	(31 433)	-	-
Prepayments	(26)	(22)	-	-
Net deferred tax	(12 900)	(14 151)	-	-
Deferred tax liability	(29 334)	(31 616)	-	-
Deferred tax asset	16 434	17 465	-	-
Total net deferred tax	(12 900)	(14 151)	-	-

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Reconciliation of deferred tax asset / (liability)

At the beginning of the year	(14 151)	6 318	-	-
Property, plant and equipment	43	2 251	-	-
Leases	22	(34)	-	-
Tax losses carried forward	458	2 904	-	-
Leave pay provisions	(15)	(251)	-	-
Bonus provision	-	(1 996)	-	-
Intangible assets	747	(23 185)	-	-
Allowance for credit losses	-	(160)	-	-
Prepayments	(4)	2	-	-
Total net deferred tax	(12 900)	(14 151)	-	-
Unrecognised deferred tax asset				
Unused tax losses not recognised as deferred tax assets	110 525	113 621	-	-

Recognition of deferred tax asset

Deferred tax assets have been recognised only to the extent that the amount of unused tax losses relating to the Group's operations can be carried forward and there is evidence that it is probable that sufficient taxable profits will be available in the future to utilise tax losses carried forward, based on the directors' assessment of the Group's operational plans and profit forecasts.

10. Inventories

	GROUP		COMPANY	
	2021 R'000	2020 R'000	2021 R'000	2020 R'000
Work in progress	1 005	858	-	-
Finished goods	2 210	1 715	-	-
Raw materials, components	1 512	-	-	-
	4 727	2 573	-	-
Allowance for obsolescence	(393)	(195)	-	-
	4 334	2 378	-	-

Amounts recognised in profit or loss

Inventory recognised as an expense during the year ended 31 August 2021 amounted to R16.7 million (2020 – R27.5 million). These are included in cost of sales and cost of providing services.

Write-downs of inventory and old obsolete inventory to net realisable value amounted to R393k (2020 – R195k). These were recognised as an expense during the year ended 31 August 2021 and included in cost of sales in the statement of comprehensive income.

No inventory has been pledged as security against financial liabilities

NOTES TO THE CONSOLIDATED AND SEPARATE ANNUAL FINANCIAL STATEMENTS

FOR THE PERIOD ENDED 31 AUGUST 2021 (CONTINUED)

11. Loans to Group Companies

	Group		Company	
	2021	2020	2021	2020
	R'000	R'000	R'000	R'000
Force Fuel (Pty) Ltd.	-	-	-	200
The Highly Creative (Pty) Ltd	-	-	12 665	7 000
CannAfrica (Pty) Ltd	-	-	13 014	4 875
Paccon (Pty) Ltd	-	-	2 293	2 293
Subtotal	-	-	28 643	14 368
Impairment provision – Paccon (Pty) Ltd	-	-	(2 293)	(2 293)
Total	-	-	26 350	12 075

Group company loan terms

The loans for both The Highly Creative (Pty) Ltd and CannAfrica (Pty) Ltd are unsecured, interest free and have no fixed terms of repayment.

Credit Risk

Paccon (Pty) Ltd - Management assessed that there was a significant increase in the credit risk of the loan to Paccon and have therefore recognised an impairment provision.

The Highly Creative (Pty) Ltd – Management assessed that the loan relates to management fees charged to date by Labat. The recovery will be done once the offtake agreement will start. There is currently no repayment terms, however, this will not be payable on demand as agreed between the two parties. Therefore, the credit risk assessed on this loan is low.

CannAfrica (Pty) Ltd – Management assessed that the loan represents working capital advanced to facilitate the start-up of the retail operations. The loans will be repaid once the business generates sufficient cashflows. There is currently no repayment terms, however, this will not be payable on demand as agreed between the two parties. Therefore, the credit risk assessed on this loan is low.

Fair value information

The carrying value of the loans approximates its fair value due to its short-term nature.

12. Loan from directors and shareholders

	Group		Company	
	2021	2020	2021	2020
	R '000	R '000	R '000	R '000
Current Assets				
Shareholder's loans				
– H Maasdorp (*)	2 698	-	-	-
Total	2 698	-	-	-
Current Liabilities				
Directors' loans (**)				
– D O'Neill	(2 149)	(1 919)	(2 149)	(1 919)
– B Van Rooyen	(50)	(2 053)	(50)	(2 053)
Shareholders loans				
– Link Private Equity Investments (Pty) Ltd	(2 006)	(757)	(2 006)	(757)
– D Asmal	(285)	(285)	(285)	(285)
Total	(4 490)	(5 014)	(4 490)	(5 014)

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(*) The shareholder's loan is unsecured, interest free and have no fixed terms of repayment.

(**) The directors loans are unsecured, bear interest at 12% per annum and have no fixed terms of repayment.

The shareholders loans are unsecured, interest free with no fixed terms of repayment.

Fair value of loans from directors and shareholders

The carrying value of the loans from directors approximates its fair value due to its short term nature.

13. Amounts owing to and by the South African Revenue Services

	GROUP		Company	
	2021	2020	0201	2020
	R'000	R'000	R'000	R'000
Current tax assets	52 624	21 242	-	-
Current liabilities	(32 837)	(14 856)	(17 733)	(12 626)
Net tax asset/(liability)	19 787	6 386	(17 733)	(12 626)

Taxation consists of significant individual tax related assets and liabilities receivable and payable by the Group in terms of the Income Tax and VAT Act. Due to the significance of these balances, they have been disclosed separately within the consolidated financial statements. The nature of these accounts relates mostly to disputes with SARS surrounding outstanding VAT receivables set off against income taxation payable in historic financial periods, calculated incorrectly by SARS based on disallowed tax losses.

There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

The Group is still in a net tax receivable position and discussions are ongoing with SARS to conclude on these matters.

Details of the VAT claim receivable are discussed below.

Outstanding SAMES VAT Claims

In 1999 SAMES ("the taxpayer") had an assessed tax loss. For some or other reason, unbeknown to the taxpayer, the South African Revenue Services (SARS), disallowed the assessed loss in the year 2000 and "created" a non-existing Income Tax liability. SARS then withheld all VAT credits owed to the taxpayer and allocated it to an unknown Income Tax (IT) "liability". No further credits, except some payments to the taxpayer of a million rand, was paid out to the taxpayer to date hereof. This had now been going on for more than 13 years.

The taxpayer appealed SARS' decision to disallow the assessed loss and on 13 September 2007 the Tax Appeal Committee decided to reinstate the assessed loss and a settlement agreement was entered into between the taxpayer and SARS on 12 November 2007. A new assessment was issued by SARS on 13 September 2008 to reflect the reinstated assessed loss. The only problem was that the VAT credits allocated to an unknown Income Tax liability was not refunded as mentioned above.

The Group has made every effort to bring this matter to finality. SARS on the other hand has done everything in its power to stall rectification of unlawful allocations to a debt which does not exist notwithstanding High Court case law including a recent High Court judgement where SARS was denied the right to appeal. SARS persists in non-compliance in not applying its mind to the pursuits and pleas of the taxpayer.

The Group has provided adequately against the claim to SARS and reported it in the Annual financial statements for 2019 and 2020. Nothing further happened in relation to the claim firstly as a result of the ongoing investigations within SARS and with the onset of COVID-19 pandemic, SARS operations was also affected. During this period the tax court ordered SARS to settle this matter. The Group submitted a written settlement offer to SARS, they did not respond and the offer is no longer available to SARS.

The directors have engaged new Counsel to pursue the claim against SARS. Counsel have advised that it is justified and warranted to increase the provision for interest and other costs, due to the Group, by R18 million at least. Furthermore, they have engaged SARS in order to remedy the situation and have since met with the relevant SARS officials. Management is confident that counsel will reach an amicable out of court settlement with SARS, even though there are no guarantees.

The Group has decided that, given the extent of the claim as well as the advice from Counsel, that it has provided sufficiently against the claim to SARS, which resulted in an increase in the estimated interest and other costs due to the Group of R18m, and was warranted and justified in the circumstances. Shareholders are advised that there is a chance that the full claim will be received and shareholders will be kept informed of developments in this regard.

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14. Trade and other receivables

	GROUP		Company	
	2021	2020	2021	2020
	R'000	R'000	R'000	R'000
Trade receivables	5 149	6 798	2 352	7 500
Credit Loss allowance	(34)	(169)	(32)	(157)
Prepayments	94	-	-	-
Deposits	26	20	-	-
Other receivables	1 813	1 997	2 715	2 718
	7 048	8 646	5 035	10 061
Financial instruments	6 954	8 646	5 035	10 061
Non-financial instruments	94	-	-	-
	7 048	8 646	5 035	10 061

Other Receivables

The major other receivables include the recoveries of R1.8million related to legal fees. This relates to the court judgement against GEMS of which some payments have been received after year-end. Labat is in the process in recovering the balance.

Exposure to credit risk

Trade receivables expose the Group to inherent credit risk, being the risk that the Company will incur financial loss if customers fail to make payments as they fall due.

Refer to note 47 for details of exposure to credit risk.

Fair value of trade and other receivables

The carrying value of trade and other receivables approximates their fair value due to the short-term nature thereof.

Trade and other receivables impaired

As of 31 August 2021, trade and other receivables of R34 000 (2020: R168 764) were provided for as an allowance for credit losses. The risk profile inherent in the group's accounts receivable is low due to the invoice discounting facility being used.

Reconciliation of loss allowance of trade receivables

	Group		Company	
	2021	2020	2021	2020
	R'000	R'000	R'000	R'000
Adjustments upon application of IFRS 9				
Opening balance	169	761	157	-
Provision for impairment	(135)	169	(125)	157
Deconsolidation	-	(761)	-	-
Closing balance	34	169	32	157

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Reconciliation of expected credit loss rate

	Group		Company	
	2021	2020	2021	2020
	R'000	R'000	R'000	R'000
Expected credit loss rate:				
Debtors Balance	5 149	6 798	2 352	7 500
Loss Rate before FLI	2.62%	2.49%	5.31%	2.09%
Loss Rate after FLI	2.62%	2.49%	5.31%	2.09%
Closing balance	135	169	125	157

The expected credit loss rates are the effective rate for the Group. The reason for the increase is that there were additional expected credit loss allowances for certain subsidiary companies in the Group.

15. Cash and cash equivalents

Cash and cash equivalents consist of:

	Group		Company	
	2021	2020	2021	2020
	R'000	R'000	R'000	R'000
Current assets				
Cash on hand	16	17	-	-
Bank balances	13 500	8 068	10 932	1 850
Short-term deposits	928	928	-	-
	14 444	9 013	10 932	1 850

	Group		Company	
	2021	2020	2021	2020
	R'000	R'000	R'000	R'000
Current liabilities				
Bank overdraft	(3)	(7)	(3)	(7)
The total amount of bank overdraft facilities available for future operating activities	20	20	20	20
Net cash				
Bank balances & cash	14 444	9 013	10 932	1 850
Bank overdraft	(3)	(7)	(3)	(7)
Net cash at the end of the year	14 441	9 006	10 929	1 843

Credit quality of cash at bank and short-term deposits, excluding cash on hand

Credit risk exposure arising on cash and cash equivalents is managed by the Group through dealing with well-established financial institutions with high credit ratings. The credit quality of cash at bank and short term deposits, excluding cash on hand that are neither past due nor impaired can be assessed by reference to external credit ratings (if available) or historical information about counterparty default rates:

Fair value of cash and cash equivalents

The fair value of cash and cash equivalents approximates their carrying amounts due to their short term nature.

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16. Share capital

	GROUP		Company	
	2021 R'000	2020 R'000	2021 R'000	2020 R'000
Authorised				
5 000 000 000 Ordinary shares of R0.01c each	50 000 000	50 000 000	50 000 000	50 000 000
Reconciliation of number of shares issued:	R '000	R '000	R '000	R '000
Ordinary shares as at 1 September 2020	395 199	292 909	395 199	292 909
Treasury shares	(19 460)	(3 210)	(19 460)	(3 210)
Issue of shares - ordinary shares	103 799	102 290	103 799	102 290
Number of shares in issue net of treasury	479 538	386 989	479 538	386 989
Total number of shares in issue	498 998	390 199	498 998	390 199

	Group		Company	
	2021 R'000	2020 R'000	2021 R'000	2020 R'000
Ordinary shares	142 650	97 179	142 650	97 179
Share premium	71 245	71 245	71 245	71 245
Share incentive	(481)	(481)	-	-
Share put option(*)	(900)	-	(900)	-
Total share capital	212 514	167 943	212 995	168 424

(*) Refer to Business Combination note 7 on contingent consideration.

17. Treasury Shares

The Group entered a share incentive scheme for the benefit of employees during 2001. Share options totalling 4,866,667 had been allotted towards this scheme during the 2001 financial period through the issue of 4,866 667 shares to the share incentive scheme. In terms of the scheme, employees were entitled to exercise their options to purchase these shares in specific tranches within a five-year period from grant date. These options have subsequently expired or have been exercised. Included in the share capital are 3 210 023 Labat Africa Limited shares that have been issued to the share incentive scheme and remain in the custody of the Group through the Share Incentive Scheme with a value of R481 503.

18. Non-controlling interest

	Group	
	2021 R'000	2020 R'000
CannAfrica		
- Business combination at acquisition	6 429	6 429
- Retained loss-prior year	(257)	(257)
- Profit-current year	18	-
	6 190	6 172
BioData		
- Business combination at acquisition	3 526	-
- Loss -current year	(3)	-
	3 523	-
Total Non-Controlling Interest		
- Business combination at acquisition	9 955	6 429
- Retained loss	(242)	(257)
Total	9 713	6 172

NOTES TO THE CONSOLIDATED AND SEPARATE ANNUAL FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 AUGUST 2021 (CONTINUED)

19. Non-distributable reserves - revaluation reserves

Non-distributable reserves - revaluation reserves

The revaluation reserve arose as result of the revaluation of plant and equipment in accordance with the Group's accounting policies.

	GROUP		Company	
	2021 R'000	2020 R'000	2021 R'000	2020 R'000
Opening balance	170	214	-	-
Realisation of revaluation reserve through use	(42)	(44)	-	-
	128	170	-	-

20. Capital contributions

A loan owing to the wholly owned subsidiary company SAMES was acquired at a discount on acquisition of the subsidiary by Labat Africa. This loan was treated as a capital contribution at acquisition of the subsidiary, as the loan is not repayable by Labat Africa to the subsidiary. Movements in the loan during the year, arising from transactions in the current year are considered as part of capital contributions.

	GROUP		Company	
	2021 R'000	2020 R'000	2021 R'000	2020 R'000
Opening balance	-	-	36 872	36 016
Current year contributions	-	-	959	856
	-	-	37 831	36 872

21. Lease liabilities

	Group		Company	
	2021 R'000	2020 R'000	2021 R'000	2020 R'000
Maturity analysis				
- within one year	2 365	2 119	1 360	1 620
- in second to sixth year inclusive	10 529	9 435	7 920	9 435
	12 894	11 554	9 280	11 055
Less: future finance charges	(3 481)	(3 913)	(2 740)	(3 913)
	9 413	7 641	6 540	7 142
Presented as follows:				
Non-current liabilities	8 145	6 320	5 729	6 320
Current liabilities	1 268	1 321	811	823
	9 413	7 641	6 540	7 142
Net carrying value of related right-of-use asset:				
- Vehicles	2 960	3 866	2 960	3 866
- Buildings	4 974	2 947	2 206	2 482
	7 934	6 813	5 166	6 348

Lease payments not recognised as a liability

The Group has elected not to recognise a lease liability for leases of low value assets. Payments made under such leases are expensed on a straight-line basis. In addition, certain variable lease payments are not permitted to be recognised as lease liabilities and are expensed as incurred.

NOTES TO THE CONSOLIDATED AND SEPARATE ANNUAL FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 AUGUST 2021 (CONTINUED)

The expense relating to payments not included in the measurement of the lease liability is as follows:

	Group		Company	
	2021	2020	2021	2020
	R'000	R'000	R'000	R'000
Leases of low value assets	164	164	36	36

The Group has entered into lease agreements for motor vehicles.

The average lease term on motor vehicles is 6 years and the remaining term of the leases are between 4 years (2020: 5 years) and 4.5 years (2020: 5.5 years). the average effective borrowing rate was 11% (2020 – 11%).

The lease term on buildings is renewable on a yearly basis. and escalates at 10% per annum. The average effective borrowing rate was 11% (2020 – 11%).

All lease liabilities have fixed repayments and no arrangements have been entered into for contingent rent. The Group's obligations under lease liabilities are secured by the lessor's charge over the financed assets, as disclosed in note 4.

There are no extension or termination options on any of the lease agreements. There are no residual guarantee values and no restrictions or covenants imposed by the leases. No arrangements have been entered into for contingent rent. There were no Covid-19 related rental concessions received.

There are no leases to which the Group is committed to, which have not yet commenced.

Low value assets are classified as assets which are of low value when new (such as tables or personal computer items) regardless of the age of the asset at inception of the lease.

Exposure to liquidity risk

Refer to Note 47 Financial instruments and risk management for the details of liquidity risk exposure and management.

22. Other financial liabilities

	Group		Company	
	2021	2020	2021	2020
	R'000	R'000	R'000	R'000
Directors remuneration liability				
B van Rooyen	8 605	7 487	8 605	7 487
D O'Neil	7 856	7 215	7 856	7 215
	16 461	14 702	16 461	14 702
These liabilities are unsecured, bear no interest, are not repayable in the next 12 months and have no fixed repayment date.				
	1 801	1 121	1 801	-
Other financial liability	1 801	1 121	1 801	-
These liabilities are unsecured, interest free, and have no repayment date.				
	18 262	15 823	18 262	14 702
Total				
Non-current liabilities	16 461	15 823	16 461	14 702
Current liabilities	1 801	1 121	1 801	-
	18 262	15 823	18 262	14 702
Fair value of other financial liabilities				
The carrying amount of the current financial liabilities approximates its fair value, due to the short-term nature thereof.	1 801	1 121	1 801	-
The fair value of the non-current liabilities is discounted at the rate of 7% per annum to arrive at its present value.	15 384	13 740	15 384	13 740
	17 185	14 861	17 185	13 740

NOTES TO THE CONSOLIDATED AND SEPARATE ANNUAL FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 AUGUST 2021 (CONTINUED)

23. Loss of control of subsidiaries

2020

Disposal of Force Fuel (Pty) Ltd and Force Fuel Properties (Pty) Ltd

The disposal of Force Fuel (FF) and Force Fuel Properties (FFP) were placed under business rescue on 5 May 2020 and 10 June 2020 respectively. At these dates, Labat no longer had control over the operations.

The net assets of these subsidiaries were accordingly de-consolidated.

The profit on loss of control is included in the profit for the year from discontinued operations in the consolidated statement of comprehensive income.

	FORCE FUEL R'000's	FORCE FUEL PROPERTIES R'000's	TOTAL R'000's
Assets			
Property, plant and equipment	9 459	14 719	24 178
InterCompany loan	3 047	-	3 047
Cash at bank	-	62	62
Inventory	2 449	-	2 449
Debtors	14 150	1 447	15 597
SARS	-	1 458	1 458
Other	-	1 840	1 840
Other financial assets - InterCompany loans	5 021	80	5 101
Long Term Liabilities	(76 506)	-	(76 506)
Deferred Taxation	(7 402)	(555)	(7 957)
Bank Overdrafts	(6 652)	-	(6 652)
Creditors	(56 560)	(7 237)	(63 797)
Provisions	(3 673)	(73)	(3 746)
Other financial liabilities – Inter Company loan	-	(5 082)	(5 082)
SARS	(1 630)	(900)	(2 530)
(Profit) / loss on loss of control	(118 297)	5 759	(112 538)

24. Loan from Group companies

	GROUP		COMPANY	
	2021 R'000	2020 R'000	2021 R'000	2020 R'000
SAMES Properties (Pty) Ltd	-	-	318	319
Force Fuel Properties (Pty) Ltd	-	-	-	80
Total	-	-	318	399

The loans are unsecured, bear no interest and have no fixed term repayments.

Fair value of loans from subsidiaries

The carrying value of loans approximates its fair value, due to the short-term nature thereof.

NOTES TO THE CONSOLIDATED AND SEPARATE ANNUAL FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 AUGUST 2021 (CONTINUED)

25. Trade and other payables

	GROUP		COMPANY	
	2021	2020	2021	2020
	R'000	R'000	R'000	R'000
Trade payables	10 660	10 221	9 550	9 173
Accruals	596	654	596	278
Factoring payable	-	1 921	-	1 921
Leave pay	1 138	831	816	831
Prepayments	-	150	-	-
Sundry payables	679	390	220	137
Total Trade and other payables	13 073	14 167	11 182	12 340
Financial instruments	11 935	13 336	10 366	11 509
Non-financial instruments	1 138	831	816	831
	13 073	14 167	11 182	12 340

Fair value of trade and other payables

The carrying value of trade and other payables approximates its fair value, due to the short-term nature thereof.

26. Financial guarantees

	GROUP		COMPANY	
	2021	2020	2021	2020
	R'000	R'000	R'000	R'000
Financial guarantees (*)	9 800	24 800	9 800	24 800

Group – 2021

Reconciliation	Opening balance	Fair value adjustments	Payments	Total
	R'000	R'000	R'000	R'000
Financial guarantees	24 800	-	(15 000)	9 800

Group – 2020

Reconciliation	Opening balance	Fair value adjustments	Payments	Total
	R'000	R'000	R'000	R'000
Financial guarantees (*)	-	24 800	-	24 800
	-	24 800	-	24 800

(*)Financial guarantee liabilities

Labat Africa has provided financial guarantees in the amount of R105 million for fuel trading facilities to Force Fuel. During the prior financial year the fuel business was placed in voluntary business rescue as noted in notes 37, 44 and 49. The total exposure in relation to the PCGs as at the business rescue date was approximately R54 million (2020:R 69 million). Labat has recognised a liability at fair value of R9.8 million (2020-R24.8 million). The fair value was based on the best estimate of the financial guarantee payable. The fair value hierarchy level was a 3.

NOTES TO THE CONSOLIDATED AND SEPARATE ANNUAL FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 AUGUST 2021 (CONTINUED)

27. Provisions

Group and company – 2020

Reconciliation	Opening balance R'000	Fair value adjustments R'000	Utilised during the year R'000	Reclassification R'000	Total R'000
Salaries(**)	13 034	-	-	(13 034)	-
Workmen's compensation	38	-	(38)	-	-
	13 072	-	(38)	(13 034)	-

(**)Salaries

The provision relates to salaries which have been reclassified to Other Long Term liabilities in the prior year.

28. Revenue

28.1 Disaggregation of Revenue

The Group has disaggregated revenue into various categories in the following table which is intended to:

- depict how the nature, amount, timing and uncertainty of revenue and cash flows are affected by economic date; and
- enable users to understand the relationship with revenue segment information provided in note 49.

	GROUP		Company	
	2021 R'000	2020 R'000	2021 R'000	2020 R'000
Revenue from contracts with customers				
Sale of goods	14 484	15 017	-	-
Rendering of services	14 786	25 234	14 786	30 354
	29 270	40 251	14 786	30 354
Disaggregation of revenue from contracts with customers				
The Company disaggregates revenue from customers as follows:				
Sale of goods				
Information technology sales	7 632	14 126	-	-
Medical cannabis sales	6 852	891	-	-
	14 484	15 017	-	-
Rendering of services				
Management Fees	-	-	7 893	5 120
Bulk logistics	14 786	25 234	14 786	25 234
Total revenue from contracts with customers	29 270	40 251	22 679	30 354
Primary Geographic Markets				
South Africa	29 270	40 251	22 679	30 354
	29 270	40 251	22 679	30 354
Timing of revenue recognition				
At a point in time	23 551	39 360	14 786	25 234
Over time	5 719	891	7 893	5 120
	29 270	40 251	22 679	30 354

NOTES TO THE CONSOLIDATED AND SEPARATE ANNUAL FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 AUGUST 2021 (CONTINUED)

28.2 Deferred Revenue

The vast majority of the Group's contracts are for the delivery of goods and services within the next 12 months for which the practical expedient in paragraph 121(a) of IFRS 15 applies. However, certain franchise agreement contracts have been entered into for which both:

- the original contractual period was greater than 12 months; and
- the Group's right to consideration does not correspond directly with the performance.

The amount of revenue that will be recognised in future periods on these contracts when those remaining performance obligations will be satisfied is analysed as follows:

	2022 R'000	2023 R'000	2024 R'000	2025 - 2030 R'000
Revenue from contracts with customers				
Sale of goods	600	-	-	-
Franchise Agreements	283	278	278	1 708
	883	278	278	1 708

Disclosed as follows:

	GROUP		Company	
	2021 R'000	2020 R'000	2021 R'000	2020 R'000
Deferred Revenue				
Current Liabilities	883	-	-	-
Non – Current Liabilities	2 264	-	-	-
	3 147	-	-	-

29. Cost of sales

Disaggregation of cost of sales from contracts with customers

The Company disaggregates cost of sales from customers as follows:

	GROUP		COMPANY	
	2021 R'000	2020 R'000	2021 R'000	2020 R'000
Sale of goods	3 887	3 610	-	-
Cost of services	12 801	23 890	12 801	23 890
	16 688	27 500	12 801	23 890
Cost of sales of goods				
Information technology	2 459	3 114	-	-
Medical cannabis	1 428	496	-	-
Total cost of sales of goods	3 887	3 610	-	-
Cost of services				
Bulk logistics	12 801	23 890	12 801	23 890
Total cost of sales of goods and services	16 688	27 500	12 801	23 890

NOTES TO THE CONSOLIDATED AND SEPARATE ANNUAL FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 AUGUST 2021 (CONTINUED)

30. Other income

	GROUP		COMPANY	
	2021 R'000	2020 R'000	2021 R'000	2020 R'000
Gains on foreign exchange differences	-	632	-	-
Bargain purchase (*)	-	-	-	-
-Ace Genetics	2 307	-	-	-
-Bio Data	770	-	-	-
Expense recoveries	-	-	5 084	7 000
Other -SARS accrual (**)	18 000	134	-	134
	21 077	766	5 084	7 134

(*) Refer to Business combinations note no.7

(**) Refer to South African Revenue Services note no.13

31. Operating loss

Note(s)	GROUP		COMPANY	
	2021 R'000	2020 R'000	2021 R'000	2020 R'000
Operating loss includes the following:				
Auditor's remuneration - external Audit fees	730	1 036	423	645
Consulting and professional services	4 423	-	3 936	-
Employee costs	17 011	15 374	10 279	12 532
Retirement benefits plans: defined contribution expense	242	173	123	123
Lease charges				
Equipment – low value lease	164	164	36	36
	164	164	36	36

31.1 EBITDA:Earnings/(Loss) Before Interest, Tax, Depreciation and Amortisation

Revenue	26	29 270	40 251	22 679	30 354
Cost of sales	27	(16 688)	(27 500)	(12 801)	(23 890)
Gross profit		12 582	12 751	9 878	6 464
Other income	28	21 077	766	5 084	7 134
Impairments	8 / 11	-	(2 293)	-	(2 293)
Operating expenses		(31 456)	(23 397)	(23 678)	(45 523)
EBITDA		2 203	(12 173)	(8 716)	(34 218)
Depreciation	3&4	(2 095)	(4 498)	(1 199)	(892)
Amortisation	6	(28 243)	(22 025)	-	-
Loss for the year before interest and taxation		(28 135)	(38 696)	(9 915)	(35 110)

NOTES TO THE CONSOLIDATED AND SEPARATE ANNUAL FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 AUGUST 2021 (CONTINUED)

32. Investment income

	GROUP		COMPANY	
	2021 R'000	2020 R'000	2021 R'000	2020 R'000
Interest income per category:				
Bank and other cash	46	271	-	193
Total finance income	46	271	-	193

33. Finance costs

	GROUP		COMPANY	
	2021 R'000	2020 R'000	2021 R'000	2020 R'000
Finance costs per category:				
Lease liabilities	948	946	787	873
South African Revenue Services	26	471	-	443
Directors loans	441	399	441	399
Factoring facility finance charges	-	308	-	308
Total finance costs	1 389	2 124	1 228	2 024

NOTES TO THE CONSOLIDATED AND SEPARATE ANNUAL FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 AUGUST 2021 (CONTINUED)

34. Earnings per share

	2021 R'000	2020 R'000
Basic Earnings		
The Profit and (Loss) used in the calculation of basic earnings per share is as follows:		
Profit /(loss) for the year	(20 755)	10 119
Adjusted for:		
Non-controlling interest in profit / (loss) for the year	15	(257)
(Loss) / Profit attributable to owners of the parent	(22 770)	10 376
Adjusted for discontinued operations:		
- Loss from discontinued operations	-	(66 298)
Loss for the purpose of basic and diluted earnings per share from continuing operations	(22 770)	(55 922)
HEADLINE LINE EARNINGS/ (LOSS)		
Headline loss from continuing operations		
Profit/(loss) for the year	(22 770)	(55 922)
Adjusted for:		
Gain on bargain purchase	(3 076)	-
Profit / (loss) on disposal of property, plant and equipment	-	(135)
Impairment of loan	-	2 293
Taxation impact on the above adjustments	-	-
Headline (loss) from continuing operations	(25 846)	(53 764)
Headline loss from discontinuing operations		
Basic earnings for the year	-	66 298
Adjusted for:		
Profit / (Loss) on disposal of Property, Plant and Equipment	-	(1 685)
Impairment of intangible assets and goodwill	-	59 888
Profit on loss of control	-	(112 538)
Taxation impact on the above adjustments	-	-
Profit for the year from discontinued operations	-	11 963
Total headline loss	(25 846)	(41 800)
Per share information(cents)		
Basic(loss)/earnings per share(cents)	(5.7)	3.1
-continuing	(5.7)	(16.4)
-discontinued	-	19.5
Headline loss per share(cents)	(6.5)	(12.3)
-continuing	(6.5)	(15.8)
-discontinued	-	3.5
Diluted basic(loss) per share (cents)	(5.7)	3.1
Diluted headline (loss) per share (cents)	(6.4)	(12.3)
Number of Shares('000):		
Weighted number of shares in issue(net of treasury shares)	396 769	339 612
Number of ordinary shares in issue (net of treasury shares)	479 538	386 989
Shares in issue at the end of the year(including treasury shares)	498 998	390 199

Diluted earnings per share

There are a total of 900 000 shares that are Potential Ordinary Shares (POS) as a consequence of a contingent consideration resulting from the purchase of Ace Genetics. Refer to note on Business combinations note 7.

Headline earnings per share

Appropriate adjustments are made in calculating headline earnings per share. Headline earnings per share is calculated using the weighted average number of ordinary shares in issue during the year and is based on earnings attributable to ordinary shareholders, after excluding those items as required by Circular 1/2021 issued by the South African Institute of Chartered Accountants as required by the JSE Limited.

NOTES TO THE CONSOLIDATED AND SEPARATE ANNUAL FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 AUGUST 2021 (CONTINUED)

35. Taxation

	2021 R'000	2020 R'000	2021 R'000	2020 R'000
Major components of the tax income				
Current				
Originating and reversing temporary differences	(6 724)	(9 174)	-	-
Reconciliation of the tax expense				
Reconciliation between accounting profit and tax				
Accounting loss	(29 478)	(40 549)	(11 143)	(36 941)
Tax at the applicable tax rate of 28%	(8 254)	(11 354)	(3 120)	(10 344)
Tax effect of adjustments on taxable income				
Income not taxable				
- Prior year VAT now recognised	(5 040)	-	-	-
Expenses not deductible				
- Interest and penalties	-	124	-	124
- Impairments	-	642	-	642
Tax losses not recognised	6 570	1 414	3 120	9 578
	(6 724)	(9 174)	-	-

36. Cash generated from/(used in) operations

		Group		Company	
	Note	2021 R'000	2020 R'000	2021 R'000	2020 R'000
(Loss) / Profit before taxation		(29 478)	946	(11 140)	(39 588)
Adjustments for:					
Depreciation	3&4	2 095	4 498	1 200	892
Intangible amortisation	6	28 243	22 025	-	-
Impairment of loan		-	2 293	-	2 293
Goodwill/Intangible impairments – Force Fuel		-	59 888	-	-
Profit on de-consolidation of Force Fuel		-	(112 538)	-	-
Provision for Force Fuel	26	-	-	-	24 800
Gain on bargain purchase	7	(3 077)	-	-	-
Investment income				-	-
-Continuing operations	32	(46)	(271)	-	(193)
-discontinued operations		-	(548)	-	-
Finance costs					
-Continuing operations	33	1 389	2 124	1 228	2 024
-Discontinuing operations		-	6 508	-	-
(Profit) / Loss on disposal of property, plant and equipment		-	(1 820)	-	(135)
Other non-cash flow items		2	(40)	-	(171)
Accrual for VAT interest receivable	13	(18 000)	-	-	-
Movement in provision for directors remuneration	22	3 759	944	3 759	-
Changes in working capital					
Inventories	10	(426)	524	-	-
Deferred revenue	28	3 989	-	-	-
Trade and other receivables	14	8 240	(14 791)	(7 799)	(22 499)
Trade and other payables	25	(1 010)	53 173	6 228	23 294
Cash (utilised in) / generated from operations		(4 320)	22 915	(6 524)	(9 283)

NOTES TO THE CONSOLIDATED AND SEPARATE ANNUAL FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 AUGUST 2021 (CONTINUED)

37. Discontinued operations

Loss for the year from discontinued operations (2020)

The results of the Fuel Business viz Force Fuel (Pty) Ltd and Force Fuel Properties (Pty) Ltd business were included in discontinued operations in the 2020 financial year. The results of earnings are accounted for up to the date that they were placed into voluntary business rescue. On appointment of the Business Rescue Practitioner the Holding Company gave up its control and its rights to direct the relevant activities that significantly affect the returns of each Company in terms of Chapter 6 of the Companies Act of both subsidiaries which were placed under supervision of the Business Rescue Practitioner.

Both Force Fuel and Force Fuel Properties were placed under voluntary business rescue on 5 May 2020 and 10 June 2020 respectively. The approved business rescue plan envisages a disposal to an investor of both Companies whether by way of a subscription of shares for the majority of the issued shares or a disposal of the businesses. The plans, which were approved by the general body of creditors, have given the BRP an irrevocable mandate to dispose of the subsidiaries and the plans do not anticipate any benefit being received by the Holding Company for its equity investments in both Companies.

The Business Rescue Practitioner has appointed an independent legal counsel to evaluate the bids received and a recommendation on which bid is the most favourable to the creditors will be provided by the Business Rescue Practitioner prior to the commencement of the meeting of Creditors to be held for purposes of selecting the successful bid. The outcome of the Creditors' vote on the successful bid will be final and binding on all parties.

The Business Rescue Practitioner actively engaged with more than 11 potential investors and a firm offer is presently being considered. The reason why the bids have not materialised is presumably due to the economic climate and the stop start incidents of further COVID-19 lockdowns.

The practitioner is confident that a suitable investor will be found and has been approached again in January 2022 by further investors and this process is ongoing. This process is expected to be completed by 28 February 2022.

The net assets and accumulated earnings of these subsidiaries were de-consolidated in the 2020 financial year.

Some key extracts of the financial results are presented below:

	Force Fuel	Force Fuel Properties	Total
	2020	2020	2020
	R'000	R'000	R'000
Statement of Comprehensive Income			
Revenue	223 968	3 269	227 237
Cost of Sales	(212 063)	-	(212 063)
Operating costs	(24 898)	(707)	(25 605)
Impairments-goodwill	(30 430)	-	(30 430)
Impairments – intangible assets	(29 458)	-	(29 458)
(Loss) / profit for the year	(75 494)	4 451	(71 043)
Statement of Cash Flows			
Cash generated from operations	7 415	10 656	18 071
Cash from investing activities	3 544	(10 925)	(7 381)
Cash from financing activities	(11 377)	215	(11 162)
Cash movement for the year	(418)	(54)	(472)
Cash at beginning of year	(6 234)	116	(6 118)
Cash at end of the period	(6 652)	62	(6 590)

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FOR THE YEAR ENDED 31 AUGUST 2021 (CONTINUED)

38. Reconciliation of lease liabilities

	Group		Company	
	2021	2020	2021	2020
	R'000	R'000	R'000	R'000
Balance at the beginning of the year	7 641	3 478	7 142	3 478
Right-of-use of assets initial recognition (non-cash flow)	-	3 224	-	2 759
New leases entered into (non-cash flow)	3 017	1 584	-	1 584
Repayment of lease liabilities (cash flow)	(1 215)	(998)	(1 215)	(998)
Leases cancelled (non-cash flow)	(30)	353	613	319
Balance at the end of the year	9 413	7 641	6 540	7 142
Total cash outflow from leases	(1 215)	(998)	(1 215)	(998)

39. Reconciliation of directors' and shareholders loans

	Group		Company	
	2021	2020	2021	2020
	R'000	R'000	R'000	R'000
Balance at the beginning of the year	5 014	4 790	5 014	2 755
Loans received during the year (cash flow)	1 250	2 100	1 250	2 100
Loans repaid during the year (cash flow)	(6 175)	(240)	(6 175)	(240)
Deconsolidation of Force Fuel (non-cash flow)	-	(2 035)	-	-
Other transactions with directors (non-cash flow)	4 401	399	4 401	399
Balance at the end of the year	4 490	5 014	4 490	5 014

40. Reconciliation of loans from Group companies

	Group		Company	
	2021	2020	2021	2020
	R'000	R'000	R'000	R'000
Balance at the beginning of the year	-	-	399	-
Account set-off with accounts receivable (non – cash flow)	-	-	(81)	-
Other transactions with directors (non-cash flow)	-	-	-	399
Balance at the end of the year	-	-	318	399

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41. Reconciliation of loans to Group companies

	Group		Company	
	2021	2020	2021	2020
	R'000	R'000	R'000	R'000
Balance at the beginning of the year	-	-	12 075	467
Transfer from accounts receivable (non-cash flow)	-	-	-	11 875
Loans advanced during the year (cash flow)	-	-	1 650	2 070
Loans repaid during the year (cashflow)	-	-	-	(267)
Inter-company transactions (non-cash flow)	-	-	12 625	223
Impairment provision	-	-	-	(2 293)
Balance at the end of the year	-	-	26 350	12 075

42. Reconciliation of other financial liabilities

	Group		Company	
	2021	2020	2021	2020
	R'000	R'000	R'000	R'000
Balance at the beginning of the year	15 823	94 205	14 702	-
Business combinations (non-cash flow)	-	1 121	-	-
Loan repayments during the year (cash flow)	-	(17 699)	-	-
Provisions (non-cash flow) (note 22)	2 439	14 702	3 560	14 702
Deconsolidation (non-cash note 23)	-	(76 506)	-	-
Balance at the end of the year	18 262	15 823	18 262	14 702

43. Reconciliation of capital contribution

	Group		Company	
	2021	2020	2021	2020
	R'000	R'000	R'000	R'000
Balance at the beginning of the year	-	-	36 872	36 016
Contribution received during the year (cash flow)	-	-	2 555	4 891
InterCompany transactions (non-cash flow)	-	-	(1 596)	(4 035)
Balance at the end of the year	-	-	37 831	36 872

*Intercompany transaction (non-cashflow) relate to fees charged by the holding company to its subsidiary.

44. Contingencies

There are various claims and counter claims made by and against the Group which have risen in the normal course of business which may have a material effect on the Group's financial position. Estimates of the financial effect, when reliable estimates are available, are provided for, in the Fuel Business as follows:

44.1 Other Contingent Liabilities:

Parent Company Guarantees (PCGs) covering the obligation of a subsidiary Company

Labat Africa has provided financial guarantees for an amount of R105 million for fuel trading facilities to Force Fuel. During the prior financial year the fuel business was placed in voluntary business rescue as noted in notes 23, 26 and 50. The total current exposure in relation to the PCGs is approximately R54million (2020:R69m as at the business rescue date). Labat has made a provision of R9.8million (2020:R24.8 m) against these PCGs.

	2021	2020
• Total PCGs exposure	R54 million	R69 million
• Less: Liability recognised	(R9.8 million)	(R24.8 million)

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FOR THE YEAR ENDED 31 AUGUST 2021 (CONTINUED)

The guarantees above do not have an exposure to Labat Africa Limited. This is for information purposes only given that the guarantees were provided during the 2019/20 financial year.

45. Related parties

The following are the related party relationships of the company:

Subsidiaries

South African Micro-Electronic Systems Proprietary Limited
SAMES Properties Proprietary Limited
The Highly Creative Proprietary Limited
CannAfrica Proprietary Limited
Labat Investments (Namibia) Proprietary Limited
BioData Proprietary Limited
African Cannabis Enterprises Proprietary Limited (ACE Genetics)
Force Fuel Proprietary Limited (2020)
Force Fuel Properties Proprietary Limited (2020)

Shareholders and directors with significant influence

Link Private Equity Investments Proprietary Limited
Chronos Logistics Services Proprietary Limited
New Generation Capital Proprietary Limited
Herschel Maasdorp
Dr Shiksha Gallow

Directors

Brian van Rooyen (Executive)
David O'Neill (Executive)
Rowena Majiedt (Non-executive)
Beverley Penny (Non-executive)
Rustum Mohamed (Non-executive)
Gorden Walters (Executive)
Tebogo Mogapi (Non-executive) – resigned 31 December 2020
Mike Stringer (Executive) – resigned 2 September 2021

NOTES TO THE CONSOLIDATED AND SEPARATE ANNUAL FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 AUGUST 2021 (CONTINUED)

46. Directors' emoluments and interests in shares

Related parties Figures in Rand	Group		Company	
	2021 R'000	2020 R'000	2021 R'000	2020 R'000
Related party balances				
Loans				
SAMES Properties Proprietary Limited	-	-	(318)	(318)
The Highly Creative Proprietary Limited	-	-	12 665	7 000
CannAfrica (Pty) Ltd	-	-	13 014	4 875
African Cannabis Enterprises (Pty) Ltd	-	-	1 725	-
Brian Van Rooyen	(50)	(2 053)	(50)	(2 053)
David O'Neil	(2 149)	(1 919)	(2 149)	(1 919)
Dawood Asmal	(285)	(285)	(285)	(285)
Herschel Maasdorp	2 698	-	-	-
Dr Shiksha Gallow	(162)	-	-	-
Directors remuneration loans				
- Brian Van Rooyen	(8 605)	(7 487)	(8 605)	(7 487)
- David O'Neil	(7 856)	(7 215)	(7 856)	(7 215)
Link Private Equity Investments Proprietary Limited	(2 006)	(757)	(2 006)	(757)
Capital contribution				
South African Micro-Electronic Systems Proprietary Limited	-	-	(37 831)	(36 872)
Related party transactions				
South African Micro-Electronic Systems Proprietary Limited	-	-	435	2 400
- Management Fees / recovery of costs				
Force Fuel Proprietary Limited	-	-	-	2 720
- PCG / Management Fees				
The Highly Creative Proprietary Limited	-	-	7 458	7 000
- Management Fees / recovery of costs				
African Cannabis Enterprises Proprietary Limited	-	-	1 783	-
- Management Fees / recovery of costs				
CannAfrica Proprietary Limited	-	-	3 301	-
- Management Fees / recovery of costs				
Link Equity Investments Proprietary Limited				
- Rent paid to (received from) related parties	600	600	600	600
Compensation to directors and other key management				
Short-term employee benefits	9 140	10 955	8 180	10 555
Directors' loan interest				
- Brian Van Rooyen	211	193	211	193
- David O'Neil	230	206	230	206
- Ntebele Mogapi	-	68	-	-
- Gordon Walters	-	68	-	-

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FOR THE YEAR ENDED 31 AUGUST 2021 (CONTINUED)

Executive

2021	Emoluments R'000	Provident fund R'000	Medical aid R'000	Travel R'000	Total R'000
B.G. van Rooyen	3 074	145	126	300	3 645
D.J. O'Neill	2 588	51	126	180	2 945
GRI Walters	-	-	-	-	-
NS Mogapi	-	-	-	-	-
M Stringer	2 550	-	-	-	2 550
	8 212	196	252	480	9 140

2020	Emoluments	Provident fund	Medical aid	Travel	Total
B.G. van Rooyen	3 074	145	126	300	3 645
D.J. O'Neill	2 588	51	126	180	2 945
GRI Walters	1 600	-	-	-	1 600
NS Mogapi	1 750	-	-	-	1 750
M Stringer	1 015	-	-	-	1 015
	10 027	196	252	480	10 955

Non-executive

2021	Directors' fees	Total
R. Majiedt	75	75
R. Mohamed	60	60
B. Penny	60	60
	195	195

Non-executive	Directors' fees	Total
2020		
R. Majiedt	40	40
R. Mohamed	45	45
B. Penny	45	45
	130	130

Directors' interests in shares

	August 2021			August 2020		
	Direct*	Beneficial Indirect	% *	Direct*	Beneficial Indirect	% *
BG Van Rooyen	-	52 240 984	10.47	-	52 514 908	13.28
DJ O'Neill	-	52 240 984	10.47	-	52 514 907	13.28
GRI Walters	-	1 218 750	0.24	-	1 218 750	0.30
NS Mogapi	-	3 250 000	0.65	-	3 250 000	0.82
M Stringer	-	-	-	-	20 000 000	5.06
	-	108 950 718	21.83	-	129 498 565	32.74

There were no changes in the interests of directors in the Company's securities between the end of the financial year and the date of approval of these annual financial statements.

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FOR THE YEAR ENDED 31 AUGUST 2021 (CONTINUED)

47. Risk management

Capital risk management

The Group and Company's capital structure consists of consists of cash and cash equivalents, debt which includes non-interest bearing borrowings, and equity attributable to equity holders of the Company which comprises issued share capital, share premium and accumulated earnings. The Group's capital management objective is to achieve an effective weighted average cost of capital while continuing to safeguard the Group's ability to meet its liquidity requirements, repay borrowings as they fall due and continue as a going concern. Management reviews the capital structure, analyses interest rate exposure and re-evaluates treasury management strategies in the context of economic conditions and forecasts regularly. This could lead to an adjustment to the dividend yield and / or an issue or repurchase of shares.

There have been no changes to what the entity manages as capital, the strategy for capital maintenance or externally imposed capital requirements from the previous year. This policy is consistent with that of the comparative period. The Group is not subject to any external capital requirements.

Financial risk management

The Group and Company is exposed to risks from its use of financial instruments. This note describes the Group's objective, policies and processes for managing those risks and the methods used to measure them. As the risk management is addressed on a Group wide basis, the policies and procedures governing the risk management processes are addressed at Group level and information specific to the Company is added. Further quantitative information in respect of these risks is presented throughout these financial statements.

There have been no substantive changes to the Group's exposure to financial instrument risks, its objectives, policies and processes for managing those risks or the methods used to measure them from previous periods unless otherwise stated in this note. Information disclosed has not been disaggregated as the financial instruments used by the Group share the same economic characteristics and market conditions.

The principal financial instruments used by the Group, from which financial risk arises, are as follows:

- Trade and other receivables;
- Cash and cash equivalents;
- Loans to/ from Group companies;
- Financial guarantees;
- Other financial liabilities;
- Loans from directors and shareholders;
- Trade and other payables; and
- Bank overdraft

The Group is currently exposed to credit risk, liquidity risk and market risk (which comprises cash flow interest rate risk, currency risk and price risk).

Risk management is carried out by management under policies approved by the Board. The Board provides principles for overall risk management, as well as policies covering specific areas, such as interest rate risk and credit risk. The directors monitor their collections from the Group's receivables, movement in prime lending rates and the risks that the Group is exposed to base on current market conditions, on a monthly basis.

The main purpose of financial liabilities is to raise finance to fund the acquisition of plant and equipment, working capital and any future acquisitions. Procedures for avoiding excessive concentration of risk include:

- Maintaining a wide customer base;
- Continually looking for opportunities to expand the customer base;
- Reviewing current developments in technology in order to identify any product line which may increase margins in the future;
- Reviewing the trade debtors' age analysis regularly with the intention of minimising the Group's exposure to bad debt;
- Maintaining cash balances and agreed facilities with reputable financial institutions;
- Effecting necessary price increases as and when required; and
- Reviewing the Group's bank accounts daily.

Liquidity risk

Liquidity risk is the risk that the Group will experience financial difficulty in meeting its financial obligations as they fall due. The Group's policy is to ensure that it will always have sufficient cash or funding facilities to allow it to meet its obligations when they fall due. To achieve this, it seeks to maintain cash balances and agreed facilities with reputable financial institutions. This is also achieved by monitoring the economy to ensure that necessary price increases are affected. There have been no defaults or breaches on financial liabilities during the course of the current financial year. Management of liquidity risk in regard to financial liabilities includes a daily review of the Group's bank accounts and transfer of excess funds from the main current account to other facilities in order to increase the Group's interest earnings.

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FOR THE YEAR ENDED 31 AUGUST 2021 (CONTINUED)

The table below analyses the Group's financial liabilities into relevant maturity Groupings based on the remaining period at the consolidated statement of financial position to the contractual maturity date. The amounts disclosed in the table are the contractual undiscounted cash flows.

Group	R'000	R'000	R'000	R'000
Financial liabilities by category	Financial liabilities at amortised cost	Financial liabilities at amortised cost	Financial liabilities at fair value	Financial liabilities at fair value
At 31 August 2021	Less than 1 year	Between 2 and 5 years	Less than 1 year	Between 2 and 5 years
Trade and other payables	13 073	-		
Other financial liabilities	1 801	16 461		
Contingent consideration			900	-
Loans from directors and shareholders	5 029	-		
Lease liability	2 365	10 529		
Financial guarantees			-	9 800
Bank overdraft	3	-		
At 31 August 2020	Less than 1 year	Between 2 and 5 years	Less than 1 year	Between 2 and 5 years
Trade and other payables	14 167	-		
Other financial liabilities	-	15 823		
Loans from directors and shareholders	5 616	-		
Lease liability	2 119	9 435		
Financial guarantees			-	24 800
Bank overdraft	7	-		
Company	R'000	R'000	R'000	R'000
At 31 August 2021	Less than 1 year	Between 2 and 5 years		
Loan from subsidiaries	318	-		
Trade and other payables	11 182	-		
Other financial liabilities	1 801	16 461		
Contingent consideration			900	-
Loans from directors	5 029	-		
Bank overdraft	3	-		
Financial guarantees			-	9 800
Lease liabilities	1 360	7 920		
At 31 August 2020	Less than 1 year	Between 2 and 5 years		
Loan from subsidiaries	399	-		
Trade and other payables	12 340	-		
Loans from directors	5 616	-		
Other financial liabilities	-	14 702		
Bank overdraft	7			
Financial guarantees			-	24 800
Lease liabilities	1 620	9 435		

Interest rate risk

Interest rates on lease liabilities and cash and cash equivalents are linked to prime rate. The prime rate as at year end was 7% (2020:7%).

The Group is exposed to cash flow interest rate risk. Excess funds are deposited with reputable financial institutions on a rate quotation basis. This ensures that the Group earns the most advantageous rates of interest available.

The Group has used a sensitivity analysis technique that measures the estimated change to the Statement of Comprehensive Income of an instantaneous increase or decrease in market interest rates on financial instruments from the applicable rate as at 31 August 2021, for each class of financial instrument with all other variables remaining constant. The calculations were done with reference to the outstanding financial liability and financial asset balances for the year. This represents no change from the prior period in the method and assumptions used. This analysis is for illustrative purposes only and represents management's best estimate.

At 31 August 2021, if interest rates on Rand-denominated borrowings had been 1% higher/lower with all other variables held constant, pre-tax profit for the year would have been R144 404 (2020: R13 480) lower/higher, mainly as a result of higher/lower interest expense on floating rate borrowings.

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FOR THE YEAR ENDED 31 AUGUST 2021 (CONTINUED)

Interest rate profile

The interest rate profile of interest bearing financial instruments at the end of the reporting period was as follows:

	Note(s)	2021 R'000	2020 R'000	Group 2021 R'000	2020 R'000	Company 2021 R'000	2020 R'000
Assets		Average effective interest rate			Carrying amount		
Cash and cash equivalents	15	0.39%	2.62%	14 444	9 013	10 932	1 850
Liabilities							
Bank overdraft	15	7.00 %	10.00 %	(3)	(7)	(3)	(7)
Net variable rate financial instruments				14 441	9 006	10 929	1 843
		Average effective interest rate			Carrying amount		
		2021	2020	2021	2020	2021	2020
Liabilities							
Loans from directors and shareholders	12	12.00 %	12.00 %	(4 490)	(5 014)	(4 490)	(5 014)
Lease liabilities	21	11.00 %	11.00 %	(9 413)	(7 641)	(6 540)	(7 143)
Fixed rate financial instruments				(13 903)	(12 655)	(11 030)	(12 157)

Credit risk

Credit risk arises from trade receivables, loans to Group companies and cash and cash equivalents. The credit quality of customers and counterparties are assessed by taking into account the financial position, past experience and other factors. Individual risk limits are set internally and are regularly monitored. It is the Group's policy that all customers be subjected to a credit verification procedure before agreements are entered into. In addition, the trade receivables age analysis is reviewed weekly with the intention of minimising the Group's exposure to bad debts.

When a customer is identified as having cash flow problems, the credit manager will take the following steps:

- Confirm the situation with the customer;
- Advise the director of the situation during the monthly meeting at which outstanding debtors balances are reviewed;
- Place the customer on hold to mitigate further risks; and
- Issue letters of demand and decide whether to proceed with further legal action.

No credit limits were exceeded during the reporting period, and management does not expect any losses from non-performance by these counterparties. No collateral has been provided for any of the financial assets held by the Group.

The Group only deposits cash with major banks with high quality credit standing

The company has considered qualitative factors when considering whether or not there has been any significant increase in credit risk from loans to subsidiary companies :

- Adverse forecasts for subsidiary operating results
- Evidence of working capital deficiencies or liquidity problems in the subsidiary which could be as a result of cash management or financing decisions taken by the company (head office)
- Changes in the enterprise value of the underlying operations and indicators of a decline in values.

The maximum exposure of financial assets to credit risk equates to the carrying amounts as presented on the Statement of Financial Position.

	Group		Company	
	2021 R'000	2020 R'000	2021 R'000	2020 R'000
Financial assets by category	Amortised Cost	Amortised Cost	Amortised Cost	Amortised Cost
Trade and other receivables	6 954	8 846	3 221	10 061
Loans to Group companies	-	-	26 350	12 075
Loans to shareholders	2 698	-	-	-
Cash & cash equivalents	14 428	8 996	10 932	1 852

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Market risk

The Group's activities expose it primarily to the market risk that arises from the Group's use of interest bearing, tradable and foreign currency financial instruments. It is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in interest rates (interest rate risk), foreign exchange rates (currency risk) or other market factors (other price risk).

Foreign currency risk refers to the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. Refer to the currency risk disclosure as stated below where the sensitivity analysis on the effect of currency fluctuations is shown.

Price risk refers to the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices other than those arising from currency risk.

Currency risk

The Group operates internationally and is exposed to foreign exchange risk arising from various currency exposures, primarily with respect to the US Dollar. Foreign exchange risk arises from future commercial transactions, and financial instruments. The Group does not hedge foreign exchange fluctuations.

At 31 August 2021, if the currency had weakened/strengthened by 10% against the US dollar with all other variables held constant, pre-tax profit for the year would have been R36 700 (2020: R37 500) higher, mainly as a result of foreign exchange gains or losses on translation of US dollar denominated trade receivables, and trade payables.

The Group reviews its foreign currency exposure, including commitments on an ongoing basis.

Foreign currency exposure at the end of the reporting period

Figures in Rand	Group		Company	
	2021 R'000	2020 R'000	2021 R'000	2020 R'000
Current assets				
Trade debtors	429	467	-	-
Liabilities				
Trade payables	(63)	(92)	-	-
Exchange rates used for conversion of foreign items were:				
USD	14.53	16.95		
Foreign amount USD	25.2	22.1		

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FOR THE YEAR ENDED 31 AUGUST 2021 (CONTINUED)

48. Going concern

The Board has performed an assessment of the Group's operations relative to available cash resources and is confident that the Group is able to continue operating for the next 12 months. The Board remains reasonably confident that it will manage the uncertainties that exist as detailed below. The consolidated annual financial statements presented have therefore been prepared on a going concern basis.

The Group's total assets exceed its total liabilities by R101.3million (2020: R75.9m), has accumulated losses of R(121.1) million (2020: R(98.3m), current assets exceed its current liabilities by R25.9 million (2020: R6.1m) and the Group incurred a Total Comprehensive Loss for the year of R(22.8)million (2020: Profit of R10.1).

Following the restructuring of the business and recent acquisitions, the Group, notably the SAMES and Logistics businesses, performed reasonably well given the impact of COVID-19. The Company is actively turning the businesses around with a targeted focus on the Healthcare business. The Company has also identified new synergistic business opportunities in order to improve margins and Group profitability.

The directors have successfully raised additional funds during the year under review to support the turnaround and to fund its expansion program. This has yielded R14m and has helped to finance the start-up operations of the healthcare business as well as providing much needed working capital for the Group. The Company intends raising additional funds in 2022 to facilitate the growth of the healthcare business.

The Group has entered into an agreement with USA based funding Group GR Global Investments whereby GR Global Investments has agreed to invest an amount of up to ZAR 300 million over the next three years in equity (the "Capital Commitment") in exchange for new ordinary shares in Labat. This Capital Commitment will be drawn down by Labat by performing capital calls which Labat has the right to exercise the timing and price at its sole discretion. As part of the Capital Commitment agreement, the Purchaser is also entitled to receive warrants for up to 30 million new ordinary shares of Labat at an exercise price of 50 cents per ordinary share representing more than a 100% premium on the current Labat trading price.

The annual financial statements are prepared on the basis of accounting policies applicable to a going concern. This basis presumes that the Group will continue to receive the support of its holding Company and directors and that the realisation of assets and settlement of liabilities will occur in the ordinary course of business. The Group is projecting positive cash flows for the year ahead from its existing and new businesses, noting in particular the opening of the first 4 CannAfrica retail stores and additional new stores are in the pipeline for the 2022 financial year.

49. COVID-19

The Board supports the actions taken by the South African Government with regards to the Covid-19 pandemic. Our objective during this time was to support our customers whilst safeguarding our employees.

The COVID-19 pandemic and lockdowns have had a severe impact on the businesses of Labat, especially our SAMES business and Labat Healthcare business. The impact on SAMES was due to the problem around the supply of semi-conductors, as mentioned earlier. The Labat Healthcare business was impacted through the delayed roll out of CannAfrica stores in particular.

The business was fortunately not impacted by the July 2021 social unrest.

The Board has carefully considered the current cash position and facilities available to the Group. Various options taking into consideration the impact of COVID-19, were discussed and assessed in terms of the Group's financial obligations. The Group pro-actively engaged with its financiers and suppliers and constructive proposals to mitigate the impact of the national lockdown were considered.

The Group is taking appropriate steps to assist with limiting the spread of the virus, including working from home, where possible. Labat has implemented stringent measures to combat the spread of the COVID-19 virus at all its operations, in line with the government guidelines so as to ensure the well-being of our employees and stakeholders.

The Group has continued on its strategy of rolling out of its Labat Healthcare businesses in order to ensure a successful launch of the Labat Healthcare retail business during the year under review. The group was also represented at the recent Cannabis Expo, where its products sold out.

50. Events after the reporting period

Labat financing

On 2 December 2021 Labat announced that it has entered into a put option agreement with GR Global Ventures LLC ("GRGV"), a United States of America ("USA") based investment group, to provide the Company with up to R300 million in committed equity capital in cash over the next 36 months. The access to capital comes at an opportune time for Labat Africa in line with its strategy on developing its Cannabis focussed health care business.

The funding will support the growth of the Labat Healthcare business, with a particular focus on the cannabis business.

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FOR THE PERIOD ENDED 31 AUGUST 2021 (CONTINUED)

GRGV has agreed to commit an amount of up to R300 million (the "Capital Commitment") in cash within a maximum of three years in exchange for new ordinary shares in Labat Africa. In addition, the agreement provides for the issue of 30 million warrants to GRGV at a price of R0.50 (Fifty) cents (more than a 100% premium on the current share price of Labat Africa).

This Capital Commitment will be released based on drawdowns by Labat Africa in the form of put options that Labat Africa has the right to exercise against GRGV at its sole discretion. The amount of the drawdowns will also be decided by the Company and be dependent upon certain parameters such as the Company's trading volume during the previous 15-day period and the price per share during the forward-looking 30-day pricing period.

The strike price of the put option is determined by the volume weighted average price (VWAP) of Labat Africa's shares during such 30-day pricing period on each put option exercise.

This funding commitment will allow Labat to deploy cash on an as-needed basis. The funding commitment will strengthen the Company's balance sheet and is intended to support the commercialisation of the Company's various initiatives, including:

- Research project to replace Opioids with Cannabis for pain management through its subsidiary BioData;
- The ramping up of the distribution of CBD infused "Ace and Axle" smokables;
- The establishment of a Hemp Processing facility; and
- The roll out of additional CannAfrica retail stores in South Africa.

Both Labat Africa and GTGV view this capital allocation not only as an investment into the Company but also as a starting point for a long-term strategic partnership to advance Labat Africa's promising projects in the field of Cannabis related healthcare and lifestyle as well as the development of the latest treatments for complex diseases. GRGV's investment will accelerate Labat Healthcare projects in all aspects. The Company's business plan until 2025 allows for the introduction of several highly profitable original drugs and other finished dosage forms to the domestic market, an entry into the production of active pharmaceutical ingredients, and the launch of the new drugs.

The legal agreement remains subject to Board and other regulatory approvals. The agreement also provides for loan shares, from the largest shareholder in the group, which is controlled by two executive directors of Labat. This is in the process of being put into place. A further announcement will be made in this regard.

A circular to shareholders will be prepared to approve a Specific Authority to issue shares for cash as well as the issue of 30 million warrants to GRGV at a price of R0.50 (Fifty) cents per share.

Frankfurt stock exchange listing

Labat has received approval to list its shares as a secondary listing on the Frankfurt Stock Exchange. With a focus on pharmaceutical grade Medicinal Cannabis, Labat Africa is one of two cannabis businesses listed on the Johannesburg Stock Exchange offering South African and international investors exposure to high growth investments in Cannabis Healthcare. The shares were admitted to trading when the market opened on Monday 06 December 2021, without restriction. The application was for the dual listing of the equity (the "Listing") quoted under the ISIN ZAE000018354 on the open market segment "Quotation Board" of Frankfurt Stock Exchange ("FSE") with the LEI NO 9845000R73DF5EE41J88. Labat remains primary listed on the Johannesburg Stock Exchange under the Ticker Symbol "LAB", with the stock price in Frankfurt linked to the stock price in Johannesburg. Any issue of shares shall be placed as a private placement. The listing was handled and successfully conducted by Renell bank, a CRR credit institution within the meaning of Section 1 Paragraph 3d Sentence 1 KWG in conjunction with Article 4 Paragraph 1 No. 2 of Regulation (EU) 575/2013 of the European Parliament and of the Council of June 26, 2013.

Force Fuel (Pty) Ltd (FF) and Force Fuel Properties (Pty) Ltd (FFP)

The COVID-19 pandemic and subsequent lockdown had a severe impact on the businesses of Labat especially the fuel business (FF & FFP) that went into business rescue on the 5 May 2020 and 10 June 2020 respectively which was during the National lockdown period. The lockdown had the effect of reducing the fuel business by 90% of normal turnover which ultimately was the main reason for the fuel business being placed into business rescue due to lack of demand for fuel. The immediate impact was that Intangible assets and Goodwill in the fuel business was impaired by a combined R63.8m during the 2020 financial year, in addition to the severe impact on cashflows. The fuel business was deconsolidated. During the year the Business Rescue Practitioner (BRP) evaluated the bids received and a meeting with the creditor of the fuel business will be held to approve the nominated bidder. A buyer for the business has been secured and the parties is in the process to conclude on the definitive agreements. This process is expected to be concluded by latest the first half of the 2022 financial year.

Echo Life (Pty) Ltd

On 17 January 2022 Labat entered into an agreement to acquire 100% of Miami based business Echo Life Brands. Labat signed a Sale of Shares Agreement between Springbok Capital LLC Limited, Onecomm Holdings Limited, Coffee Creative Holdings Proprietary Limited and Labat Africa Limited in respect of the equity of Echo Life, for a purchase consideration of R2.5 million. This was settled by way of a cash portion of R500 000 and an issue of 2 million Labat shares at R1-00 (one rand) per share.

Through this acquisition, Labat, which owns CannAfrica a multi-faceted entity active in the CBD health and beauty arena, powers its growth within the CBD marketplace, expanding an already mature transition from a logistics-focused business, to a fully-integrated cannabis health and wellness operation.

NOTES TO THE CONSOLIDATED AND SEPARATE ANNUAL FINANCIAL STATEMENTS

FOR THE PERIOD ENDED 31 AUGUST 2021 (CONTINUED)

Echo Life is a science-forward health and wellness company that develops natural CBD products for the purpose of helping people improve their health naturally. Echo Life products are produced from premium hemp grown in the United States, Europe and South Africa. All Echo products comply with local and international government regulations and are made in a medicinally rated factory, involving pharmacists and strict quality control, supported by certificates of analysis on each ingredient.

The current Echo Life product spectrum has five offerings. High quality and lab-tested *Echo Effect* consists of CBD-infused oil tinctures, topical creams and pain sticks that offer key body health benefits, including Sleep, Calm, Pain and Boost. The topical *Echo Aura* range which includes lip balm, hair serum, tissue oil and body butter is the brand's first entry into the CBD beauty market, *Echo Beverages* and *Echo Bars* which includes boost and calm variations, with *Echo Life for Pets* rounding out an impressive product catalogue.

The book value of the net assets acquired is as follows:

	30 November 2021 R'000
Inventory	449
Receivables	180
VAT receivable	16
Cash	82
Payables	(22)
Total	705

At the date of authorisation of these financial statements a detailed assessment of the fair value of the identifiable net assets has not been completed.

On acquisition Echo Life Limited held trade receivables with a book value of R180k representing contractual receivables of R180k. The group is still assessing the debtor book and is not yet in a position to accurately assess the final level of uncollectable contractual cash flows.

Fair value of consideration paid

	30 November 2021 R'000
Cash	500
Labat shares	2 000
Total consideration	2 500

CannAfrica (Pty) Ltd

Of significance is the retail operations of CannAfrica, which has opened 4 stores to date in the Cape, Hartbeespoort, Melrose Arch and Umhlanga with another 10 new stores planned for 2022. Furthermore, subsequent to year end, Labat has secured new product ranges, which includes those from Echo Life as mentioned above.

Leaf Botanical (Pty) Ltd

The Leaf Botanicals transaction was cancelled by the vendor, which cancellation has been accepted by the Company subsequent to year-end. The 11.3m shares allocated for the transaction have been included in treasury shares. There is no financial impact on the company or group as a result of the cancellation of the transaction.

Royale Energy (Pty) Ltd

On Royale Energy, the Company also has an obligation to repurchase by December 2022 the 10 000 000 shares at R1.50 from Royale Energy, in respect of a Parent Company Guarantee, if the share price of Labat Africa does not reach R1.50. This share repurchases will require the approval of Labat Africa shareholders in a General Meeting, unless waived by the two parties.

Other than the matters noted above, there have been no further events after the reporting period and up to the date of this report.

51. Segment reporting

IFRS 8 requires an entity to report financial and descriptive information about its reportable segments, which are operating segments or aggregations of operating segments that meet specific criteria. Operating segments are components of an entity about which separate financial information is available that is evaluated regularly by the Chief Operating Decision Maker. The Chief Executive Officer is the Chief Operating Decision Maker of the Group.

NOTES TO THE CONSOLIDATED AND SEPARATE ANNUAL FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 AUGUST 2021 (CONTINUED)

Our geographical locations of operations are restricted to a single area, South Africa.

No single customer makes up more than 10% of the Group's Revenue.

The Company has four segments as follows:

- Technology which manufactures and distributes integrated circuits South African Micro - Electronic Systems;
- Logistics which transports coals and minerals for some of the major mines of South Africa;
- Head office operations which provide management services, logistics and seeks further investment opportunities for the Group; and
- Healthcare which focusses on medical cannabis industry in South Africa

The following factors have been utilised to differentiate between the individual reporting segments:

- The nature of products /services delivered by these individual segment's operational activities; and
- The financial significance of the individual segment

Reconciliation of Segment Reporting Group 2021

31 August 2021	Technology	Bulk Logistics	Healthcare	Operational Total	Head Office	Inter-Segment Eliminations	Total
Statement of Profit or loss							
External revenue	7 632	14 786	6 852	29 270	-	-	29 270
Management Fees	(435)	-	-	(435)	7 893	(7 458)	-
Cost of revenues	7 197	14 786	6 852	28 835	7 893	(7 458)	29 270
	(2 460)	(12 801)	(1 427)	(16 688)	-	-	(16 688)
Gross Profit	4 737	1 985	5 425	12 147	7 893	(7 458)	12 582
Other income	18 000	-	-	18 000	-	-	18 000
Gain on bargain purchase	-	-	-	-	-	3 077	3 077
Cost recovery	-	-	-	-	5 084	(5 084)	-
Operating expenses	(4 861)	-	(6 757)	(11 618)	(23 678)	3 840	(31 456)
Operating profit/(loss) for the year	17 876	1 985	(1 332)	18 529	(10 701)	(5 625)	2 203
Amortisation	-	-	-	-	-	(28 243)	(28 243)
Depreciation	(865)	(905)	(30)	(1 800)	(295)	-	(2 095)
Recurring operating profit/(loss)	17 011	1 080	(1 362)	16 729	(10 996)	(33 868)	(28 135)
Investment income	46	-	-	46	-	-	46
Finance cost	(161)	(1 228)	-	(1 389)	-	-	(1 389)
Profit/(loss) before taxation	16 896	(148)	(1 362)	15 386	(10 996)	(33 868)	(29 478)
Taxation	41	-	(1 225)	(1 184)	-	7 908	6 724
Profit/(loss) for the year	16 937	(148)	(2 587)	14 202	(10 996)	(25 961)	(22 755)
Segment Assets	91 543	7 393	118 410	217 346	139 759	(134 541)	222 564
Segment Liabilities	55 365	33 371	26 624	115 360	35 856	(29 957)	121 259

Reconciliation of Segment Reporting Group 2020

31 August 2020	Technology	Bulk Logistics	Healthcare	Operations I Total	Head Office	Inter-Segment Eliminations	Total
Statement of Profit or loss							
External revenue	14 126	25 234	891	40 251	-	-	40 251
Management Fees	-	-	-	-	5 120	(5 120)	-
Total Revenue	14 126	25 234	891	40 251	5 120	(5 120)	40 251
Cost of revenues	(3 114)	(23 890)	(496)	(27 500)	-	-	(27 500)
Gross Profit	11 012	1 345	395	12 751	5 120	(5 120)	12 751
Other income	631	-	-	631	7 135	(7 000)	766
Gain on bargain purchase	-	-	-	-	-	-	-
Impairments	-	-	-	-	(2 293)	-	(2 293)
Operating expenses	(6 353)	(2 191)	(8 251)	(16 796)	(18 849)	12 248	(23 397)
Amortisation	-	-	-	-	-	(22 024)	(22 024)
Depreciation	(1 147)	-	-	(1 147)	(3 351)	-	(4 498)
Recurring operating profit/(loss)	4 143	(847)	(7 856)	(4 560)	(12 238)	(21 896)	38 695
Investment income	78	-	-	78	193	-	271
Finance cost	(100)	(309)	-	(409)	(1 715)	-	(2 124)
Profit/(loss) before taxation	4 121	(1 156)	(7 856)	(4 892)	(13 760)	(21 896)	(40 549)
Fair Value Adjustments	-	-	-	-	-	-	-
Taxation	1 048	-	1 960	3 008	-	6 166	9 174
Loss from discontinued operation	-	-	-	-	(71 043)	-	(71 043)
Profit on loss of control	-	-	-	-	112 538	-	112 538
Non-controlling interest	-	-	257	257	-	-	257
Profit/(loss) for the year	5 168	(1 156)	(5 639)	(1 627)	27 735	(15 731)	10 377
Segment Assets	61 301	1 234	119 008	181 543	120 287	(111 943)	189 887
Segment Liabilities	42 119	12 570	8 121	62 810	65 232	(14 118)	113 924

50.Shareholder analysis

Labat's shareholder spread as at 31 August 2021 is set out below:

ANALYSIS OF SHAREHOLDERS

Labat's shareholder spread as at 31 August 2021 is set out below:

Category	No. of Shareholders	No. of Shares	% Holding
Companies and Other Institutions	119	17 773 898	35.63%
Close Corporations	11	404 385	0.08%
Trusts	29	24 233 903	4.86%
Individuals	13 086	296 585 699	59.44%
Total	13 245	498 997 885	100.00%

Size of Shareholding	No. of Shareholders	No. of Shares	% Holding
1 - 10 000	12 063	12 549 502	2.51%
10 001 - 25 000	531	8 352 897	1.67%
25 001 - 100 000	402	21 365 783	4.28%
100 001 - 500 000	178	43 561 071	8.73%
500 001 and over	71	413 168 632	82.80%
Total	13 245	498 997 885	100.00%

Public vs. Non-Public	No. of Shares	% Holding
Shareholders holdings more than 10% of total issued capital	319 515 917	64.03%
<i>Link Private Equity and Investments (Pty) Ltd</i>	104 481 968	20.94%
<i>Stanton van Rooyen (as nominee)</i>	75 000 000	15.03%
Directors and Associates	-	-
Public	-	-
Total	498 997 885	100.00%

Shareholders holding more than 4% of the issued share capital

Shareholder	No. of Shares	% Holding
Link Private Equity and Investments (Pty) Ltd - <i>(including loan shares)</i>	104 481 968	20.94%
Stanton van Rooyen (as nominee)	75 000 000	15.03%
Mr Nassar Gutta	34 416 690	6.90%
J and M Equities	25 030 215	5.02%
Total	238 928 873	47.88%

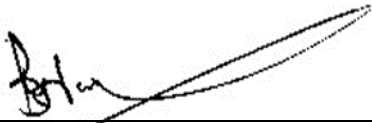


FINANCIAL STATEMENTS

The financial statements have been prepared by Labat's Financial Director, Gorden Walters.

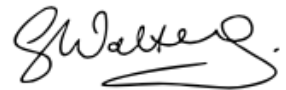
The consolidated and company financial statements have been audited in compliance with the applicable requirements of the Companies Act and the JSE Limited Listings Requirements ("JSE Listings Requirements").

The above financial statements and group financial statements were approved by the board of directors of Labat Africa Limited on 20 February 2022 and are signed on its behalf.



BRIAN VAN ROOYEN
CHIEF EXECUTIVE OFFICER

20 FEBRUARY 2022



GORDEN WALTERS
FINANCIAL DIRECTOR

20 FEBRUARY 2022

ADMINISTRATION

NOTICE OF ANNUAL GENERAL MEETING

LABAT AFRICA LIMITED

(Incorporated in the Republic of South Africa)

Registration number 1986/001616/06

JSE Code: LAB ISIN: ZAE 000018354

("Labat" or "the Company")

Notice is hereby given in terms of section 62(1) of the Companies Act 71 of 2008, as amended ("Companies Act"), that an annual general meeting ("AGM") of shareholders of the Company will be held at 10:00 on Tuesday, 10 May 2022, to consider and, if deemed fit, to approve the resolutions referred to below, with or without modification.

The AGM will be conducted entirely by electronic communication as contemplated in Section 63(2)(a) of the Companies Act.

The Board has determined, in terms of section 62(3)(a), as read with sections 59(1)(a) and (b) of the Companies Act, the following dates in respect of the AGM:

	2022
Record date for determining those shareholders entitled to receive the notice of AGM	Friday, 11 February
Last day to trade in order to be eligible to participate in, and vote at the AGM	Monday, 25 April
Record date (for voting purposes at the AGM)	Friday, 29 April

WHO MAY ATTEND

- 1 If you are the registered holder of certificated shares or you hold dematerialised shares with "own name" registration:
- 2 you may attend the AGM through a video conference facility; or
- 3 you may appoint a proxy to represent you at the AGM by completing the attached form of proxy in accordance with the instructions contained therein and by returning it to the transfer secretaries to be received by no later than 10:00 on Friday, 6 May 2022 for administrative purposes or thereafter to the company by hand no later than the commencement of the AGM on Tuesday, 10 May 2022. A proxy need not be a shareholder of the company.
- 4 Certificated shareholders or own-name dematerialised shareholders may attend and vote at the AGM, or alternatively appoint a proxy to attend, speak, and, in respect of the applicable resolutions, vote in their stead by completing the attached form of proxy and returning it to the company's transfer secretaries, Computershare Investor Services Proprietary Limited, at Rosebank Towers, 15 Biermann Avenue, Rosebank, Johannesburg, 2196 or posted to the transfer secretaries at Private Bag X9000, Saxonwold, 2132, to be received by no later than 10:00 on Friday, 6 May 2022 for administrative purposes or thereafter to the company by hand by no later than 10:00 on Tuesday, 10 May 2022.
- 5 If you hold dematerialised shares which are not registered in your name:
 - and you wish to attend the AGM in person, you must obtain the necessary letter of representation from your Central Securities Depository Participant (CSDP) or broker or nominee (as the case may be); or
 - if you do not wish to attend the AGM but would like your vote to be recorded at the meeting, you should contact your CSDP or broker or nominee (as the case may be) and furnish them with your voting instructions; and
 - you must not complete the attached proxy form.

NOTICE OF ANNUAL GENERAL MEETING (continued)

ELECTRONIC PARTICIPATION IN THE GENERAL MEETING

The company will make provision for shareholders, or their proxies, to participate in the AGM by way of electronic communication. Should you wish to participate in the AGM by way of electronic communication, you will need to contact the company at 011 675 6841 (contact person: Alred van Rooyen or email: alred@labat.co.za) by Friday, 6 May 2022, so that the company can provide for a video conference dial-in facility. Please ensure that if you are participating in the AGM via a video conference facility that the voting proxies are sent through to the Company Secretary, Light Consulting Proprietary Limited (contact person Cidalina Rodrigues, email address: cidalina@light-consulting.co.za), so as to be received by no later than 10:00 on Friday, 6 May 2022.

The costs of accessing any means of electronic participation provided by the company will be borne by the shareholder.

GENERAL

Shareholders are reminded that:

- 1 a shareholder entitled to attend and vote at the AGM is entitled to appoint a proxy (or more than one proxy) to attend, participate in and vote at the AGM in the place of the shareholder, and shareholders are referred to the form of proxy attached to this notice in this regard;
- 2 a proxy need not also be a shareholder of the company; and
- 3 in terms of section 63(1) of the Companies Act, any person attending or participating in an AGM of shareholders must present reasonably satisfactory identification and the person presiding at the AGM must be reasonably satisfied that the right of any person to participate in and vote (whether as shareholder or as proxy for a shareholder) has been reasonably verified. A green bar-coded identification document issued by the South African Department of Home Affairs, a driver's licence or a valid passport will be accepted as sufficient identification.

PURPOSE OF THE MEETING

The purpose of the meeting is to present to the shareholders of the company:

- a. the group audited financial statements for the financial year ended 31 August 2021;
- b. the directors' report;
- c. the report of the Audit and Risk Committee;
- d. the report of the Social and Ethics Committee; and
- e. to deal with any other business that may lawfully be dealt with at the AGM, and to consider and, if deemed fit, to pass, with or without modification, the resolutions set out below:

PRESENTATION OF AUDITED ANNUAL FINANCIAL STATEMENTS

The audited consolidated annual financial statements of the Group, including the reports of the directors, Group Audit Committee and the independent external auditors, for the year ended 31 August 2021 will be presented to shareholders as required in terms of sections 30(3)(d) and 61(8)(a) of the Companies Act.

REPORT FROM SOCIAL AND ETHICS COMMITTEE

In accordance with Regulation 43(5) (c) of the Companies Act, the chairperson of the Social and Ethics Committee, or in her absence, any member of that Committee, will present the Committee's report to shareholders at the annual general meeting. Shareholders are advised that a written report, as detailed on page 34 is presented in lieu of a verbal report.

NOTICE OF ANNUAL GENERAL MEETING (continued)

1. ORDINARY RESOLUTION NUMBER 1 – ACCEPTANCE OF THE ANNUAL FINANCIAL STATEMENTS

“RESOLVED THAT the annual financial statements of the Company and its subsidiaries for the year ended 31 August 2021, including the directors’ report, the independent auditors’ report, the audit and risk committee report and the social and ethics committee report, be received, considered and adopted.”

Explanatory Note:

The annual financial statements are required to be approved in terms of the Companies Act, 2008 (No 71 of 2008) (“the Companies Act”).

The minimum percentage of voting rights that is required for ordinary resolution 1 to be adopted is 50% (fifty percent) of the voting rights plus 1 (one) vote to be cast on this resolution.

2. ORDINARY RESOLUTION NUMBER 2 – DIRECTOR RETIREMENT AND RE-ELECTION – MS BA PENNY

“RESOLVED THAT Ms BA Penny, which director retires in terms of the Company’s MOI and, being eligible, offers herself for re-election as a director of the Company be and is hereby approved.”

Ms BA Penny’s curriculum vitae is set out on page 15 of this Annual Report.

Explanatory Note:

In accordance with the MOI of the Company, one-third of the non-executive directors or any interim appointed directors are required to retire at each meeting and may offer themselves for re-election. In terms of the MOI of the Company the executive directors, during the period of their service contract, are not taken into account when determining which directors are to retire by rotation.

The minimum percentage of voting rights that is required for ordinary resolution 2 to be adopted is 50% (fifty percent) of the voting rights plus 1 (one) vote to be cast on the resolution.

3. ORDINARY RESOLUTION NUMBER 3 – RE-ELECTION OF A DIRECTOR WHO RETIRES IN TERMS OF THE COMPANY’S POLICY ON NON-EXECUTIVE DIRECTOR TENURE

“RESOLVED THAT the following director, who is retiring in accordance with the Company’s policy on non-executive director tenure and is eligible for reappointment, be and is hereby re-elected with immediate effect as a director of the Company for the ensuing year.

Ms RM Majiedt is an independent non-executive director and Chairman of the Board

Ms RM Majiedt curriculum vitae is set out on page 14 of this Annual Report.

Explanatory Note:

With respect to Ms RM Majiedt who has been on the Board for longer than nine years, the Board has conducted a particularly careful assessment of her independence. There is no shareholding, control, employment, consulting or other business relationship between the Labat group and Ms RM Majiedt. Ms RM Majiedt has extensive commercial experience and in-depth knowledge of the role and independence of judgement required of a non-executive director. The other members of the Board considered her respective contributions to the Board’s activities and concluded that Ms RM Majiedt acts independently and in the interest of Labat and that her knowledge of the group is particularly valuable to the deliberations of the Board.

NOTICE OF ANNUAL GENERAL MEETING (continued)

Retiring directors are eligible and offer themselves for re-election as directors of Labat in accordance with the provisions of the MOI of Labat and in terms of section 61(8)(b) of the Companies Act

The minimum percentage of voting rights that is required for ordinary resolution 3 to be adopted is 50% (fifty percent) of the voting rights plus 1 (one) vote to be cast on the resolution.

4. ORDINARY RESOLUTION NUMBER 4 – RE-APPOINTMENT AND REMUNERATION OF AUDITORS

“RESOLVED THAT the re-appointment of Nexia SAB&T as nominated by the Group’s Audit Committee, as the independent external auditor of the Group be and is hereby approved and that the Audit Committee be and are hereby authorised to determine the remuneration of the auditors. It is noted that Miss Shamira Mahomed is the individual registered auditor who will undertake the audit for the financial year ending 31 August 2022, being the designated auditor.”

Explanatory Note:

Nexia SAB&T has indicated their willingness to be reappointed as the Company’s auditor until the next AGM. The Audit Committee has satisfied itself as to the independence of Nexia SAB&T and Miss Shamira Mahomed and has also considered the requirements for the reappointment of the audit firm and audit partner in accordance with recent amendments to the JSE Listings Requirements. It is noted that the audit firm is due for rotation after the year ended 31 August 2023. Further details are set out in the Audit Committee Report on page 37 of this integrated report.

The Audit Committee has the power in terms of the Companies Act to approve the remuneration of the external auditors. The remuneration paid to the auditors during the year ended 31 August 2021 is set out in note 31 of the Annual Financial Statements.

The minimum percentage of voting rights that is required for ordinary resolution 4 to be adopted is 50% (fifty percent) of the voting rights plus 1 (one) vote to be cast in favour of the resolution.

5. ORDINARY RESOLUTION NUMBER 5 –REAPPOINTMENT OF AUDIT AND RISK COMMITTEE MEMBER – MR R MOHAMED

“RESOLVED THAT Mr R Mohamed be and is hereby approved to be reappointed as a member and Chairman of the Audit and Risk Committee.”

Mr R Mohamed’s curriculum vitae is set out on page 15 of this Annual Report.

6. ORDINARY RESOLUTION NUMBER 6 –REAPPOINTMENT OF AUDIT AND RISK COMMITTEE MEMBER – MS BA PENNY

“RESOLVED THAT, subject to the passing of Ordinary Resolution Number 2, Ms BA Penny be and is hereby approved to be reappointed as a member of the Audit and Risk Committee.”

Ms BA Penny’s curriculum vitae is set out on page 15 of this Annual Report.

7. ORDINARY RESOLUTION NUMBER 7 – REAPPOINTMENT OF AUDIT AND RISK COMMITTEE MEMBER – MS RM MAJIEDT

“RESOLVED THAT, subject to the passing of Ordinary Resolution Number 3, Ms RM Majiedt be and is hereby approved to be reappointed as member of the Audit and Risk Committee.”

Ms RM Majiedt’s curriculum vitae is set out on page 14 of this Annual Report.

NOTICE OF ANNUAL GENERAL MEETING (continued)

Explanatory Note for ordinary resolutions number 5 to 7:

In terms of Section 61 (8)(c)(ii) of the Companies Act, shareholders are required to approve the appointment of the Audit Committee members.

The minimum percentage of voting rights that is required for each of ordinary resolutions 5 to 7 to be adopted is 50% (fifty percent) of the voting rights plus 1 (one) vote to be cast on each resolution.

8. ORDINARY RESOLUTION NUMBER 8 - ENDORSEMENT OF LABAT'S REMUNERATION POLICY

"RESOLVED THAT, the company's remuneration policy as set out in Part I of the Remuneration Report, be and is hereby approved."

Explanatory Note:

In terms of King IV dealing with boards and directors, companies are required to table their remuneration policy every year to shareholders for a non-binding advisory vote at the AGM. This vote enables shareholders to express their views on the remuneration policies adopted and on their implementation.

Part I of the company's Remuneration Report is contained on page 30 of this integrated annual report.

Ordinary resolution 8 is of an advisory nature only and failure to pass this resolution will therefore not have any legal consequences relating to existing arrangements. However, the board will take the outcome of the vote into consideration when considering the company's remuneration policy.

9. ORDINARY RESOLUTION NUMBER 9 - ENDORSEMENT OF THE IMPLEMENTATION OF LABAT'S REMUNERATION POLICY

"RESOLVED THAT, the implementation of the company's remuneration policy as set out in Part II of the company's Remuneration Report, be and is hereby approved."

Explanatory Note:

In terms of King IV dealing with boards and directors, companies are required to table their remuneration policy every year to shareholders for a non-binding advisory vote at the AGM. This vote enables shareholders to express their views on the remuneration policies adopted and on their implementation.

Part II of the company's Remuneration Report is contained on page 33 of this integrated annual report.

Ordinary resolution 9 is of an advisory nature only and failure to pass this resolution will therefore not have any legal consequences relating to existing arrangements. However, the board will take the outcome of the vote into consideration when considering the company's remuneration policy.

Should more than 25% of the total votes cast be against either ordinary resolutions 8 or 9, the company will issue an announcement on the Stock Exchange News Services ("SENS") inviting shareholders who voted against the resolutions to meet with members of the Remuneration Committee. The process to be followed will be set out in a SENS announcement.



NOTICE OF ANNUAL GENERAL MEETING (continued)

10. ORDINARY RESOLUTION NUMBER 10 – GENERAL AUTHORITY TO ALLOT AND ISSUE SHARES FOR CASH

“RESOLVED THAT, subject to the provisions of the Companies Act, the Listings Requirements of the JSE and the company’s memorandum of incorporation, as a general authority valid until the next Annual General Meeting of the company and provided that it shall not extend past 15 months from the date of this Annual General Meeting, the authorised but unissued ordinary shares of the company be and are hereby placed under the control of the directors who are hereby authorised to allot, issue, grant options over or otherwise deal with or dispose of these shares to such persons at such times and on such terms and conditions and for such consideration whether payable in cash or otherwise, as the directors may think fit, provided that:

- the shares which are the subject of the issue for cash must be of a class already in issue, or where this is not the case, must be limited to such equity securities or rights that are convertible into a class already in issue;
- this authority shall not endure beyond the next Annual General Meeting of the company nor shall it endure beyond 15 months from the date of this meeting;
- the shares must be issued only to public shareholders (as defined in the Listings Requirements of the JSE) and not to related parties (as defined in the Listings Requirements of the JSE);
- Upon any issue of shares for cash which represent, on a cumulative basis within a financial year, 5% (five percent) of the number of shares in issue prior to that issue, the company shall publish an announcement containing full details of the issue, (including the number of shares issued, the average discount to the weighted average traded price of the shares over the 30 days prior to the date that the price of the issue is agreed in writing between the company and the party/(ies) subscribing for the shares and the effects of the issue on the Statement of Financial Position, net asset value per share, net tangible asset value per share, the Statement of Comprehensive Income, earnings per share, headline earnings per share, and if applicable diluted earnings per share and diluted headline earnings per share), or an explanation, including supporting information (if any), of the intended use of the funds, or any other announcements that may be required in such regard in terms of the Listings Requirements which may be applicable from time to time;
- the number of ordinary shares issued for cash shall not, in the current financial year, in aggregate, exceed 30% or 148,856,359 of the Company’s issued ordinary shares (including securities which are compulsorily convertible into shares of that class and excluding treasury shares) provided that:
 1. any equity securities issued under the authority during the period contemplated above must be deducted from the 148,856,359 ordinary shares as stated above; and
 2. in the event of a sub-division or consolidation of issued equity securities during the period contemplated above, the existing authority must be adjusted accordingly to represent the same allocation ratio.
- the maximum discount at which shares may be issued is 10% of the weighted average traded price of the company’s shares over the 30 business days prior to the date that the price of the issue is determined or agreed by the directors of the Company.”

Explanatory Note:

An ordinary resolution is required in terms of the Listings Requirements of the JSE in order for shareholders to place the authority to issue shares for cash under the control of the directors.

In order for this resolution to be adopted, it must be approved by 75% (seventy five percent) of the voting rights exercised on ordinary resolution 10 by shareholders present or represented by proxy at the Annual General Meeting and entitled to exercise voting rights on the resolution is required.

NOTICE OF ANNUAL GENERAL MEETING (continued)

11. SPECIAL RESOLUTION NUMBER 1 – AUTHORITY TO ISSUE SHARES, SECURITIES CONVERTIBLE INTO SHARES OR RIGHTS THAT MAY EXCEED 30% OF THE VOTING POWER OF THE CURRENT ISSUED SHARE CAPITAL

“RESOLVED THAT: the authorised but unissued shares of the Company be and are hereby placed under the control of the directors (to the extent that this is necessary in terms of the Company’s memorandum of incorporation) and the Directors be and are hereby authorised, to the extent required in terms of section 41(3) of the Companies Act, to allot and issue such number of shares in the authorised but unissued share capital of the Company as may be required for purposes of issuing shares, securities convertible into shares, or rights exercisable for shares in a transaction or series of integrated transactions notwithstanding the fact that such number of ordinary shares may have voting power equal to or in excess of 30% of the voting rights of all ordinary shares in issue immediately prior to such issue. This authority specifically includes the authority to allot and issue any ordinary shares in the authorised but unissued share capital of the Company to any underwriter(s) of a rights or claw-back offer (whether or not such underwriter is a related party to Labat (as defined for purposes of the Listings Requirements) and/or person falling within the ambit of section 41(1) of the Companies Act, being a director, future director, prescribed officer or future prescribed officer of the Company or a person related or inter-related to the Company or related or inter-related to a Director or prescribed officer of the Company or a nominee of any of the foregoing persons.”

Explanatory Note:

The reason for special resolution number 1 is to:

- obtain approval from the shareholders of the Company, in terms of the provisions of sections 41(1) and (3) of the Companies Act (to the extent required), to issue additional ordinary shares in the authorised but unissued share capital of the Company to enable the Company to issue shares, securities convertible into shares, or rights exercisable for shares in a transaction or series of integrated transactions notwithstanding the fact that such number of ordinary shares may have voting power equal to or in excess of 30% of the voting rights of all ordinary shares in issue immediately prior to such issue; and
- to provide for the possibility of such shares being issued to persons and parties considered to be related and/or inter-related parties as defined in section 2 of the Companies Act, 2008 and the Listings Requirements of the Johannesburg Stock Exchange (“JSE”), which issue will be subject to the JSE Listings Requirements.

In order for this resolution to be adopted, the support of at least 75% of the voting rights exercised on the resolution by shareholders present or represented by proxy at the AGM and entitled to exercise voting rights on the resolution is required.

12. SPECIAL RESOLUTION NUMBER 2 – NON-EXECUTIVE DIRECTORS’ REMUNERATION

“RESOLVED THAT the approval of the remuneration payable to the non-executive directors for the financial year commencing 01 September 2021 as follows:

	Chairman	Other directors / members of committees
Board:		
Remuneration per meeting (Maximum):	R25 000	R20 000

The above fees are proposed net of VAT which may become payable thereon to directors depending on the status of the individual director’s tax position.

NOTICE OF ANNUAL GENERAL MEETING (continued)

Explanatory Note:

In terms of Section 66(9) of the Companies Act, shareholders are required to approve the remuneration of directors.

The minimum percentage of voting rights that is required for this special resolution to be adopted is 75% (seventy five percent) of the voting rights to be cast on this resolution.

13. SPECIAL RESOLUTION NUMBER 3 – GENERAL AUTHORITY TO ENTER INTO FUNDING AGREEMENTS, PROVIDE LOANS OR OTHER FINANCIAL ASSISTANCE

“RESOLVED that in terms of Section 45 of the Companies Act, as amended, the Company be and is hereby granted a general approval authorising that the Company and or any one or more of and/or its wholly-owned subsidiaries incorporated in the Republic to enter into direct or indirect funding agreements or to provide loans or financial assistance between any one or more of the subsidiaries from time to time, subject to the provisions of the JSE Listings Requirements, for funding agreements and as the directors in their discretion deem fit.

Explanatory Note:

The purpose of this resolution is to enable the Company to enter into funding arrangements with its subsidiaries and to allow intergroup loans between subsidiaries.

The minimum percentage of voting rights that is required for this special resolution to be adopted is 75% (seventy five percent) of the voting rights to be cast on this resolution.

14. SPECIAL RESOLUTION NUMBER 4: GENERAL AUTHORITY TO ACQUIRE (REPURCHASE) SHARES

“RESOLVED THAT, subject to the approval of 75% of the shareholders present in person and by proxy, and entitled to vote at the Annual General Meeting, the Company and/or any subsidiary of the Company is hereby authorised, by way of a general authority, from time to time, to acquire ordinary shares in the share capital of the Company from any person in accordance with the requirements of Labat’s memorandum of incorporation, the Companies Act and the JSE Listings Requirements, provided that:

- any such acquisition of ordinary shares shall be effected through the order book operated by the JSE trading system and done without any prior understanding or arrangement with the counterparty;
- this general authority shall be valid until the earlier of the Company’s next Annual General Meeting or the variation or revocation of such general authority by special resolution at any subsequent general meeting of the Company, provided that it shall not extend beyond 15 months from the date of passing of this special resolution number 4;
- an announcement will be published as soon as the Company or any of its subsidiaries have acquired ordinary shares constituting, on a cumulative basis, 3% of the number of ordinary shares in issue and for each 3% in aggregate of the initial number acquired thereafter, in compliance with paragraph 11.27 of the JSE Listings Requirements;
- acquisitions of shares in aggregate in any one financial year may not exceed 5% of the Company’s ordinary issued share capital, as the case may be, as at the date of passing of this special resolution number 4;
- ordinary shares may not be acquired at a price greater than 10% above the weighted average of the market value at which such ordinary shares are traded on the JSE as determined over the five business days immediately preceding the date of acquisition of such ordinary shares;
- the Company has been given authority by its memorandum of incorporation;
- the board of directors authorises the acquisition and that the Company passed the solvency and liquidity test, as set out in Section 4 of the Companies Act, and that since the solvency and liquidity test was performed there have been no material changes to the financial position of the Company;
- in terms of section 48 (2)(b) of the Companies Act, the board of a subsidiary Company may

NOTICE OF ANNUAL GENERAL MEETING (continued)

- determine that it will acquire shares of its holding company, but (i) not more than 10%, in aggregate, of the number of issued shares of any class of shares of a Company may be held by, or for the benefit of, all of the subsidiaries of that Company, taken together; and (ii) no voting rights attached to those shares may be exercised while the shares are held by the subsidiary, and it remains a subsidiary of the Company whose shares it holds;
- in terms of section 48 (8)(b) of the Companies Act, the repurchase of any shares is subject to the requirements of sections 114 and 115 if, considered alone, or together with other transactions in an integrated series of transactions, it involves the acquisition by the Company of more than 5% of the issued shares of any particular class of the Company's shares;
- at any point in time, the Company and/or its subsidiaries may only appoint one agent to effect any such acquisition; and
- the Company and/or its subsidiaries may not acquire any shares during a prohibited period, as defined in the Listings Requirements of the JSE unless a repurchase program is in place, where dates and quantities of shares to be traded during the prohibited period are fixed and full details of the program have been disclosed in an announcement over the SENS prior to the commencement of the prohibited period.

Explanatory Note:

The reason for and effect of this special resolution is to grant the Company and its subsidiaries a general authority to facilitate the acquisition by the Company and/or its subsidiaries of the Company's own shares, which general authority shall be valid until the earlier of the next Annual General Meeting of the Company or the variation or revocation of such general authority by special resolution at any subsequent general meeting of the Company, provided that this general authority shall not extend beyond 15 months from the date of the passing of this special resolution number 4.

Any decision by the directors, after considering the effect of an acquisition of up to 5% of the Company's issued ordinary, as the case may be, to use the general authority to acquire shares of the Company will be taken with regard to the prevailing market conditions and other factors and provided that, after such acquisition, the directors are of the opinion that:

- the Company and its subsidiaries will be able to pay their debts in the ordinary course of business;
- recognised and measured in accordance with the accounting policies used in the latest audited annual group financial statements, the assets of the Company and its subsidiaries will exceed the liabilities of the Company and its subsidiaries;
- the share capital and reserves of the Company and its subsidiaries will be adequate for the purposes of the business of the Company and its subsidiaries; and
- the working capital of the Company and its subsidiaries will be adequate for the purposes of the business of the Company and its subsidiaries, for the period of 12 months after the date of the notice of the Annual General Meeting. The Company will ensure that its designated advisor will provide the necessary letter on the adequacy of the working capital in terms of the Listings Requirements of the JSE, prior to the commencement of any purchase of the Company's shares on the open market.

The JSE Listings Requirements require, in terms of section 11.26, the following disclosures, which appear in this annual report:

- a) Major shareholders – refer to page 11 of this annual report.
- b) Share capital of the Company – refer to Note 16 on page 92 of this annual report.

Directors' responsibility statement

The directors, whose names appear on page 14 of this annual report, collectively and individually accept full responsibility for the accuracy of the information pertaining to this special resolution and certify that, to the best of their knowledge and belief, there are no facts that have been omitted which would make any statements false or misleading, and that all reasonable enquiries to ascertain such facts have been made and that this special resolution contains all information required by law and the JSE Listings Requirements.

NOTICE OF ANNUAL GENERAL MEETING (continued)

Material changes

Other than the facts and developments reported on in this annual report, there have been no material changes in the financial or trading position of the Company and its subsidiaries since the date of signature of the audit report and up to the date of the notice of Annual General Meeting. The directors have no specific intention, at present, for the Company or its subsidiaries to acquire any of the Company's shares but consider that such a general authority should be put in place should an opportunity present itself to do so during the year, which is in the best interests of the Company and its shareholders.

The directors are of the opinion that it would be in the best interests of the Company to extend such general authority and thereby allow the Company or any of its subsidiaries to be in a position to acquire the shares issued by the Company through the order book of the JSE, should the market conditions, tax dispensation and price justify such an action.

The minimum percentage of voting rights that is required for this special resolution to be adopted is 75% (seventy five percent) of the voting rights to be cast on this resolution.

By order of the Board

Light Consulting Proprietary Limited
(Registration Number 1998/025284/07)
Company Secretary
20 February 2022

FORM OF PROXY

LABAT AFRICA LIMITED

(Incorporated in the Republic of South Africa)

Registration number 1986/001616/06

JSE Code: LAB

ISIN: ZAE 000018354

LEI 9845000R73DF5EE41J88

2 ("Labat" or "the Company")

For use only by ordinary shareholders who:

- hold ordinary shares in certificated form ("certificated ordinary shareholders"); or
- have dematerialised their ordinary shares ("dematerialised ordinary shareholders") and are registered with "own-name" registration, at the annual general meeting of ordinary shareholders of the company to be held at 10:00 on Tuesday, 10 May 2022 and any adjournment thereof.

Dematerialised ordinary shareholders holding ordinary shares other than with "own-name" registration who wish to attend the annual general meeting must inform their CSDP or broker of their intention to attend the annual general meeting and request their CSDP or broker to issue them with the relevant Letter of Representation to attend the annual general meeting in person or by proxy and vote. If they do not wish to attend the annual general meeting in person or by proxy, they must provide their CSDP or broker with their voting instructions in terms of the relevant custody agreement entered into between them and the CSDP or broker. These ordinary shareholders must not use this form of proxy.

I/We _____ (please _____ print)

Of _____ (address)

being the holder/s of _____ ordinary shares of no par value, appoint:

- _____ or failing him,
- _____ or failing him,
- the chairperson of the annual general meeting,

as my/our proxy to act for me/us and on my/our behalf at the annual general meeting which will be held for the purpose of considering, and if deemed fit, passing, with or without modification, the resolutions to be proposed thereat and at any adjournment thereof; and to vote for and/or against the resolutions and/or abstain from voting in respect of the ordinary shares registered in my/our name/s, in accordance with the following instructions:



FORM OF PROXY (CONTINUED)

	Number of votes		
	For	Against	Abstain
Ordinary Resolution Number 1 – Approval of Financial Statements			
Ordinary Resolution Number 2 – Director Retirement and Re-election – Ms BA Penny			
Ordinary Resolution Number 3 – Re-election of a director who retires in terms of the Company's policy on non-executive director tenure– Ms RM Majiedt			
Ordinary Resolution Number 4 – Re-appointment and Remuneration of Auditors			
Ordinary Resolution Number 5 – Re-appointment of Audit Committee member – Mr R Mohamed			
Ordinary Resolution Number 6 – Re-appointment of Audit Committee member – Ms BA Penny			
Ordinary Resolution Number 7 – Re-appointment of Audit Committee member – Ms RM Majiedt			
Ordinary Resolution Number 8 – Endorsement of Labat's Remuneration Policy			
Ordinary Resolution Number 9 – Endorsement of the Implementation of Labat's Remuneration Policy			
Ordinary Resolution Number 10- General authority to allot and issue shares for cash			
Special Resolution Number 1 – Authority to issue shares that may exceed 30% of the voting power of the current issued share capital			
Special Resolution Number 2 – Non-Executive Directors' Remuneration			
Special Resolution Number 3 – General authority to enter into funding agreements, provide loans or other financial assistance			
Special Resolution Number 4 – General authority to acquire (repurchase) shares			

Signed at _____ on _____ 2022

Signature _____ Assisted by me (where applicable)

Name _____ Capacity _____ Signature _____

1. The form of proxy must only be used by shareholders who hold shares in certificated form or who are recorded on the sub-register in electronic form in "own name".
2. All other beneficial owners who have dematerialised their shares through a CSDP or broker and wish to attend the annual general meeting must provide the CSDP or broker with their voting instructions in terms of the relevant agreement entered into between them and the CSDP or broker.
3. A shareholder entitled to attend and vote at the annual general meeting may insert the name of a proxy or the names of two alternate proxies of the shareholder's choice in the space provided, with or without deleting "the Chairperson of the annual general meeting". The person whose name stands first on the form of proxy and who is present at the annual general meeting will be entitled to act as proxy to the exclusion of such proxy(ies) whose names follow.

FORM OF PROXY (CONTINUED)

4. A shareholder is entitled to one vote on a show of hands and, on a poll, one vote in respect of each ordinary share held. A shareholder's instructions to the proxy must be indicated by the insertion of the relevant number of votes exercisable by that shareholder in the appropriate space provided. If an "X" has been inserted in one of the blocks to a particular resolution, it will indicate the voting of all the shares held by the shareholder concerned. Failure to comply with this will be deemed to authorise the proxy to vote or to abstain from voting at the annual general meeting as he/she deems fit in respect of all of the shareholder's votes exercisable thereat. A shareholder or the proxy is not obliged to use all the votes exercisable by the shareholder or by the proxy, but the total of the votes cast and in respect of which abstention is recorded may not exceed the total of the votes exercisable by the shareholder or the proxy.
5. A vote given in terms of an instrument of proxy shall be valid in relation to the annual general meeting notwithstanding the death, insanity or other legal disability of the person granting it, or the revocation of the proxy, or the transfer of the shares in respect of which the proxy is given, unless notice as to any of the aforementioned matters shall have been received by the transfer secretaries not less than 48 hours before the commencement of the annual general meeting.
6. If a shareholder does not indicate on this form that his/her proxy is to vote in favour of or against any resolution or to abstain from voting, or gives contradictory instructions, or should any further resolution(s) or any amendment(s) which may properly be put before the annual general meeting be proposed, such proxy shall be entitled to vote as he/she thinks fit.
7. The Chairperson of the annual general meeting may reject or accept any form of proxy which is completed and/or received other than in compliance with these notes.
8. A shareholder's authorisation to the proxy, including the Chairperson of the annual general meeting, to vote on such shareholder's behalf, shall be deemed to include the authority to vote on procedural matters at the annual general meeting.
9. The completion and lodging of this form of proxy will not preclude the relevant shareholder from attending the annual general meeting and speaking and voting in person thereat to the exclusion of any proxy appointed in terms hereof.
10. Documentary evidence establishing the authority of a person signing the form of proxy in a representative capacity must be attached to this form of proxy, unless previously recorded by the company's transfer secretaries or is waived by the Chairperson of the annual general meeting.
11. A minor or any other person under legal incapacity must be assisted by his/her parent or guardian, as applicable, unless the relevant documents establishing his/her capacity are produced or have been registered by the transfer secretaries of the company.
12. Where there are joint holders of shares:
 - any one holder may sign the form of proxy;
 - the vote(s) of the senior shareholders (for that purpose seniority will be determined by the order in which the names of shareholders appear in the company's register of shareholders) who tenders a vote (whether in person or by proxy) will be accepted to the exclusion of the vote(s) of the other joint shareholder(s).
13. Forms of proxy should reach the transfer secretaries, Computershare Investor Services Proprietary Limited, at Rosebank Towers, 15 Biermann Avenue, Rosebank, Johannesburg, 2196 (Private Bag X9000, Saxonwold, 2132), to be received by 10:00 (SA time) on Friday, 6 May 2022. Alternatively, they may be handed to the Chairman at the commencement of the annual general meeting.
14. A deletion of any printed matter and the completion of any blank space need not be signed or initialled. Any alteration or correction must be signed and not merely initialled.

FORM OF PROXY (CONTINUED)

Summary of the rights of a shareholder to be represented by proxy, as set out in section 58 of the Companies Act

A proxy appointment must be in writing, dated and signed by the shareholder appointing a proxy and, subject to the rights of a shareholder to revoke such appointment (as set out below), remains valid only until the end of the relevant shareholders' meeting.

A proxy may delegate the proxy's authority to act on behalf of a shareholder to another person, subject to any restrictions set out in the instrument appointing the proxy.

The appointment of a proxy is suspended at any time and to the extent that the shareholder who appointed such proxy chooses to act directly and in person in the exercise of any rights as a shareholder.

The appointment of a proxy is revocable by the shareholder in question cancelling it in writing, or making a later inconsistent appointment of a proxy, and delivering a copy of the revocation instrument to the proxy and to the company. The revocation of a proxy appointment constitutes a complete and final cancellation of the proxy's authority to act on behalf of the shareholder as of the later of:

- (a) the date stated in the revocation instrument, if any; and
- (b) the date on which the revocation instrument is delivered to the company as required in the first sentence of this paragraph.

If the instrument appointing the proxy or proxies has been delivered to the company, as long as that appointment remains in effect, any notice that is required by the Act or the company's Mol to be delivered by the company to the shareholder, must be delivered by the company to:

- (a) the shareholder; or
- (b) the proxy or proxies, if the shareholder has:
 - (i) directed the company to do so in writing; and
 - (ii) paid any reasonable fee charged by the company for doing so.

Attention is also drawn to the "Notes to proxy".

The completion of a form of proxy does not preclude any shareholder from attending the annual general meeting.

LABAT AFRICA LIMITED

(Incorporated in the Republic of South Africa)

Registration number 1986/001616/06

JSE Code: LAB ISIN: ZAE 000018354

FSE Code: LAB ISIN: ZAE 000018354

LEI NO: 9845000R73DF5EE41J88

("Labat" or "the Company")

For use only by ordinary shareholders who:

- hold ordinary shares in certificated form ("certificated ordinary shareholders"); or
- have dematerialised their ordinary shares ("dematerialised ordinary shareholders") and are registered with "own-name" registration, at the annual general meeting of ordinary shareholders of the company to be held at 10:00 on Tuesday, 10 May 2022 and any adjournment thereof.

Dematerialised ordinary shareholders holding ordinary shares other than with "own-name" registration who wish to attend the annual general meeting must inform their CSDP or broker of their intention to attend the annual general meeting and request their CSDP or broker to issue them with the relevant Letter of Representation to attend the annual general meeting in person or by proxy and vote. If they do not wish to attend the annual general meeting in person or by proxy, they must provide their CSDP or broker with their voting instructions in terms of the relevant custody agreement entered into between them and the CSDP or broker. These ordinary shareholders must not use this form of proxy.

FORM OF PROXY (CONTINUED)

I/We _____ (please _____ print)

Of _____ (address) _____

being the holder/s of _____ ordinary shares of no par value, appoint:

- _____ or failing him,
- _____ or failing him,
- the chairperson of the annual general meeting,

as my/our proxy to act for me/us and on my/our behalf at the annual general meeting which will be held for the purpose of considering, and if deemed fit, passing, with or without modification, the resolutions to be proposed thereat and at any adjournment thereof; and to vote for and/or against the resolutions and/or abstain from voting in respect of the ordinary shares registered in my/our name/s, in accordance with the following instructions:

CONTACT



23 Kroton Avenue
Weltevreden Park, 1709
Private Bag X09-248, Weltevreden Park, 1715



E-mail: labatafrica@mwebbiz.co.za
Tel: (011) 675 6841
Fax: (011) 675 1019
Website: www.labat.co.za